

AP BUSINESS WITH PERSONAL FINANCE

Case Handouts

Student Print Edition

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TOTAL CASES

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1.1-1.8 • Business Foundations

2.1-2.7 • Marketing

3.4-3.9 • Finance

4.1-4.4 • Management & Strategy

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Bombas — Case Handout

Topic 1.1 What Is a Business · Read before class. Be ready to discuss.

1. Company Introduction

Bombas is an American apparel company that sells premium socks and underwear with a **buy-one-give-one** mission: for every item purchased, Bombas donates one to someone in need, primarily through homeless shelters.

- **Founded:** 2013 by **David Heath** and **Randy Goldberg** in New York City
- **Product:** Premium socks, underwear, and T-shirts — engineered for comfort (seamless toe, arch support, blister tab)
- **Mission:** Buy one, give one — every purchase donates an item to a homeless shelter
- **Industry:** Apparel / E-commerce

The founders were inspired by a statistic: **socks are the most requested clothing item in homeless shelters**. They built a company where every product sold generates a direct donation. Bombas appeared on **Shark Tank** in 2014 and secured a deal with Daymond John. As of 2024, Bombas has donated over **100 million items**.

2. Key Events

Year	Event
2013	David Heath and Randy Goldberg found Bombas after learning socks are the #1 requested item in homeless shelters
2013	Launches Kickstarter campaign — raises \$140,000 in 30 days; validates the buy-one-give-one model with real customers
2014	Appears on Shark Tank Season 6 ; secures a deal with Daymond John (\$200,000 for 17.5% equity)
2014–2018	Rapid growth through online sales; expands product line from socks to underwear and T-shirts
2020	Reaches 50 million items donated ; expands retail partnerships (Nordstrom, Dick's Sporting Goods)
2023	Surpasses 100 million items donated ; becomes one of the most recognized mission-driven apparel brands in the U.S.

Questions

Q1. Bombas solves two problems at once: consumers want better socks, and shelters need socks. Using the framework from Topic 1.1, explain how Bombas **creates value** for its customers and how it **captures value** for itself. What is the relationship between the buy-one-give-one mission and the premium price?

Q2. Bombas sells socks (a good) and also offers customer support and easy returns (a service). Does Bombas sell **goods, services, or both**? Explain using the definitions from class.

Q3. The founders tested their idea with a Kickstarter campaign before manufacturing at scale. How does this relate to the concept of **testing a hypothesis** about a business idea? What was the hypothesis, and what did the \$140,000 in Kickstarter funding tell them?

Q4. For every pair of socks Bombas sells, one pair is donated to a homeless shelter. In this transaction, who is the **customer** and who is the **consumer** of the donated pair? Explain the difference between the two terms using this example.

Q5. Compare Bombas's path to **VANCL's (凡客)** path (see the VANCL handout). Both are apparel companies. What is **one key difference** in how each company created and captured value? Why did one grow sustainably while the other collapsed?

Keep this handout for reference during class discussion and the Business Canvas Project.

VANCL (凡客诚品) — Case Handout

Topic 1.1 What Is a Business · Read before class. Be ready to discuss.

1. Company Introduction

VANCL (凡客诚品) was a Chinese e-commerce company that sold affordable apparel and lifestyle products directly to consumers online. At its peak, VANCL was one of China's most recognized internet brands — a symbol of "people's fast fashion" (人民快时尚).

- **Founded:** 2007 by **Chen Nian (陈年)** in Beijing, China
- **Product:** Affordable T-shirts, casual clothing, shoes, and eventually a wide range of lifestyle products — all sold online at low prices
- **Founder background:** Chen Nian was a co-founder of Joyo.com (卓越网), one of China's early e-commerce platforms, which was later acquired by Amazon. He launched VANCL with the vision of building a direct-to-consumer apparel brand for young, price-sensitive Chinese consumers.
- **Industry:** E-commerce / Fast fashion / Apparel

VANCL grew explosively between 2008 and 2011, fueled by aggressive online advertising and a simple value proposition: decent-quality clothing at the lowest possible price, delivered to your door. At its peak, VANCL sold **tens of millions of items per year** and was valued at over \$3 billion.

2. Key Events

Year	Event
2007	Chen Nian founds VANCL in Beijing; launches with a small selection of men's shirts and casual wear sold exclusively online
2008–2010	Explosive growth: aggressive internet advertising (banner ads, search engine marketing) drives massive traffic; revenue grows rapidly; VANCL becomes one of China's most recognized e-commerce brands
2010	Peak valuation exceeds \$3 billion ; VANCL is seen as a challenger to established retail brands
2011	Company begins expanding product lines far beyond apparel — into electronics, home goods, cosmetics, and even kitchenware; inventory management becomes chaotic
2011–2012	Over-expansion leads to massive unsold inventory; product quality declines as the brand tries to cover too many categories; the brand identity becomes diluted — customers no longer know what VANCL stands for
2013–2014	Revenue collapses; the company lays off thousands of employees; attempts to refocus on core apparel products
2014–present	VANCL shrinks dramatically; brand fades from public consciousness; the company survives at a fraction of its former scale

Questions

Q1. VANCL created value by offering affordable clothing to price-sensitive consumers. Explain how VANCL **created value** for its customers and how it **captured value** for itself. What was the relationship between low price and high volume in VANCL's business model?

Q2. VANCL sold apparel (goods) through its online store. Does VANCL also sell **services**? Think about what else customers receive when they buy from an online retailer — customer support, delivery, easy returns. Explain using the definitions from class.

Q3. VANCL expanded from T-shirts into dozens of unrelated product categories (electronics, home goods, cosmetics). Explain why this over-expansion **eroded the company's value creation and capture**. What happened to product quality, inventory management, and brand identity?

Q4. Compare VANCL's target customer strategy with **Bombas's** target customer strategy (see the Bombas handout). VANCL targeted **price-sensitive mass-market buyers**; Bombas targeted **premium, mission-minded buyers**. How did each choice of target customer affect the company's ability to create and capture value?

Q5. VANCL's original value proposition was "人民快时尚" — affordable, decent-quality fashion for the masses. Using the concept of **competitive advantage** from Topic 1.2, explain what VANCL's advantage was in 2008 and why that advantage disappeared by 2013. What would VANCL have needed to do to maintain its advantage?

Keep this handout for reference during class discussion and the Business Canvas Project.

ofo (小黄车) — Case Handout

Topic 1.1 What Is a Business · Read before class. Be ready to discuss.

1. Company Introduction

ofo was a Chinese bike-sharing company — one of the first and largest dockless共享单车 (shared bicycle) platforms in the world. Users could unlock and ride yellow bicycles anywhere using a smartphone app, then leave them at their destination for the next rider.

- **Founded:** 2014 by **Dai Wei (戴威)** at Peking University, Beijing
- **Product:** Dockless shared bicycle service — users unlock bikes via a mobile app, ride, and park anywhere
- **Founder background:** Dai Wei was a Peking University student who started by running a campus bike-sharing program for students. He expanded the concept to cities across China and eventually internationally.
- **Industry:** Shared mobility / Transportation / Gig economy

At its peak in 2017, ofo operated over **10 million bicycles** in more than 200 cities across 20 countries. The company raised over **\$2 billion** in venture capital and was valued at approximately **\$3 billion**. It was one of the most visible symbols of China's startup boom.

2. Key Events

Year	Event
2014	Dai Wei founds ofo at Peking University as a campus bike-sharing project — students share bikes within the university
2015	Receives angel funding; expands to other university campuses across Beijing
2016	Raises significant VC funding; expands to cities across China; dockless model (no fixed stations) attracts millions of users
2016–2017	Intense competition with Mobike (摩拜) — both companies engage in a subsidy war, offering rides for as little as 1 yuan or even free
2017	Peak: over 10 million bicycles deployed in 200+ cities in 20 countries; raises \$2 billion+ in total funding; valued at ~\$3 billion
2018	Cash flow crisis: too many bicycles, too few profitable rides; maintenance costs explode; subsidy war burns through cash; users report millions of broken or abandoned bikes
2018–2019	Reports of ofo unable to pay suppliers; user deposit refund crisis — millions of users queue online to withdraw their deposits; Dai Wei reportedly borrows money personally to keep the company alive
2019–2020	Company effectively ceases major operations; most remaining bikes are abandoned or scrapped; legal disputes with suppliers and users continue
2020–present	ofo survives at a tiny fraction of its former scale; Dai Wei is reportedly restricted from high-speed rail and flights due to unpaid debts (被列入失信被执行人名单)

Questions

Q1. ofo started as a campus bike-sharing project and expanded to cities across China. Using the concept of **hypothesis testing** from Topic 1.4, explain why the business model that worked on a university campus might **not** automatically work in a city. What changed when ofo scaled up?

Q2. ofo offered rides at subsidized prices (sometimes free) to attract users and beat competitors. Apply the **risk-return framework** from Topic 1.4 to evaluate this strategy. What risk did ofo accept? What return was it pursuing? Why did the strategy ultimately fail?

Q3. ofo created value for users (cheap, convenient rides) but **could not capture enough value** to cover its costs. Explain the **value creation vs. value capture** distinction using ofo as an example. Why is creating value for customers not enough to build a sustainable business?

Q4. ofo raised over \$2 billion in venture capital. Identify the **PESTEL factors** (from Topic 1.3) that enabled ofo's rapid growth and the factors that contributed to its collapse. Which factors were within ofo's control, and which were not?

Q5. Compare ofo's path to **VANCL's (凡客)** path (see the VANCL handout). Both companies grew explosively and then collapsed. What is **one similarity** in the reasons for their collapse? What lesson does this teach about the relationship between **growth and sustainability**?

Keep this handout for reference during class discussion and the Business Canvas Project.

Coca-Cola vs. Chinese Soda Brands — Case Handout

Topic 1.2 Markets and Competitive Advantage · Read before class. Be ready to discuss.

1. Case Introduction

This case compares **Coca-Cola** — the world's largest beverage company — with **Chinese domestic soda brands** (such as 天府可乐 Tianfu Cola, 崂山可乐 Laoshan Cola, 北冰洋 Beipingyang, and 冰峰 Bingfeng) to explain how **cost structures, pricing strategies, and competitive advantage** determine which companies survive in a competitive market.

Key observation: Coca-Cola sells a bottle of cola for about **3 yuan (~\$0.40)** in China and still makes a profit. Chinese domestic soda brands sell their cola for **7 yuan (~\$1.00)** or more — and many still lose money. Why?

2. Key Context

Factor	Coca-Cola	Chinese Soda Brands
Scale	Global operations in 200+ countries; billions of bottles/year	Regional operations; millions of bottles/year
Supply chain	Massive, optimized global supply chain; negotiates the lowest prices for sugar, packaging, and logistics	Smaller supply chains; higher per-unit costs for ingredients and packaging
Distribution	Owns or controls bottling plants and distribution networks worldwide	Relies on regional distributors; limited national reach
Brand recognition	Among the most recognized brands on Earth	Strong regional loyalty (e.g., 北冰洋 in Beijing, 冰峰 in Xi'an) but limited national awareness
Price per bottle (China)	~3 yuan	~7 yuan or more
Profitability	Profitable at 3 yuan	Many brands struggle to break even at 7 yuan

Market structure: The Chinese cola market is an oligopoly dominated by two global giants: Coca-Cola and Pepsi. Domestic brands survive through regional loyalty built on nostalgia and local taste preferences — for example, 北冰洋 is preferred in Beijing and 冰峰 in Xi'an.

Questions

Q1. Coca-Cola sells cola for 3 yuan in China and profits. Chinese soda brands sell for 7 yuan and struggle. Using the concept of **cost advantage** from Topic 1.2, explain **why** Coca-Cola's costs are lower per bottle. Identify at least **two specific factors** that contribute to Coca-Cola's cost advantage.

Q2. Chinese soda brands like 北冰洋 and 冰峰 have strong **regional loyalty** — consumers in Beijing and Xi'an prefer them over Coca-Cola. Is regional loyalty a form of **competitive advantage**? If so, what type (cost advantage or differentiation)? Explain why this advantage works locally but not nationally.

Q3. The Chinese cola market is dominated by a few large firms (Coca-Cola, Pepsi). What **market structure** does this describe? How does this market structure affect the pricing power of smaller domestic brands?

Q4. Some Chinese soda brands have tried to compete by emphasizing **nostalgia, local identity, and unique flavors** rather than price. Using the concept of **differentiation** from Topic 1.2, explain how this strategy works. What customer segment is it targeting, and why might these customers be willing to pay more?

Q5. Coca-Cola's cost advantage comes from scale — producing billions of bottles globally. If a Chinese soda brand wanted to **build a similar cost advantage**, what would it need to do? Is this realistic? What alternative strategies might be more achievable?

Keep this handout for reference during class discussion and the Business Canvas Project.

Dewu / Poizon (得物) — Case Handout

Topic 1.2 Markets and Competitive Advantage · Read before class. Be ready to discuss.

1. Company Introduction

Dewu (得物), known internationally as **Poizon**, is a Chinese e-commerce platform specializing in **authenticated sneakers, streetwear, and luxury goods**. It is the largest sneaker resale and authentication platform in China.

- **Founded:** 2015 by **Yang Bing (杨冰)** as a feature within **Hupu (虎扑)**, China's largest sports fan community; became an independent app in 2017
- **Product:** A C2C2C platform where sellers list sneakers and streetwear, Dewu **authenticates** every item before shipping to the buyer, ensuring genuineness
- **Founder background:** Yang Bing was a sneaker enthusiast and Hupu user who noticed that sneaker trading was booming in Hupu's forums but plagued by counterfeit products. He built an authentication service to solve the trust problem.
- **Industry:** E-commerce / Sneaker resale / Luxury goods authentication

As of 2024, Dewu has over **300 million registered users**, primarily Gen Z consumers. The platform processes millions of transactions annually and has expanded beyond sneakers into streetwear, luxury bags, watches, cosmetics, and electronics.

Revenue model: Dewu generates revenue through two sources: (1) a **commission fee** on each transaction between buyers and sellers on the platform, and (2) an **authentication fee** charged for verifying the authenticity of sneakers and luxury goods before they are shipped to the buyer.

2. Key Events

Year	Event
2015	Sneaker trading feature launches within Hupu (虎扑) — users buy, sell, and discuss sneakers in dedicated forums
2017	Spun off as an independent app called " 毒 (Poison/Du) "; introduces authentication service — every sneaker is verified by experts before shipping to the buyer
2018–2019	Rapid growth among Gen Z sneaker collectors; app gains millions of users; becomes the go-to platform for authentic sneakers in China
2020	Rebrands from "毒" to " 得物 (Dewu) " — meaning "get good stuff" — to appeal to a broader audience beyond sneakerheads
2020–2022	Expands product categories: streetwear, luxury bags, watches, cosmetics, electronics, and collectible toys; reaches 300 million registered users
2023–2024	Becomes one of China's most popular e-commerce platforms among Gen Z; challenges established players like Taobao and JD.com in specific categories

Questions

Q1. Dewu authenticates every sneaker before it reaches the buyer. How does this create a **competitive advantage** over platforms like Taobao or eBay, where counterfeits are a known risk? What **type** of competitive advantage is this — cost advantage or differentiation?

Q2. Dewu targets Gen Z sneaker collectors specifically, not the mass market. Using the concept of **target customer selection** from Topic 1.2, explain why focusing on a specific customer segment can be a more effective strategy than trying to serve everyone.

Q3. Dewu is a platform — it does not own the products sold on it. Explain how Dewu **creates value** for both buyers and sellers. How does the platform **capture value** for itself?

Q4. Dewu rebranded from "毒" (Poison) to "得物" (Get Good Stuff) to appeal to a broader audience. What does this tell you about the relationship between **brand identity** and **target customers**? How might the name change affect Dewu's competitive position?

Q5. Compare Dewu's **differentiation strategy** with Coca-Cola's **cost advantage strategy** (see the Cola vs. Chinese Soda handout). Both are forms of competitive advantage. In what situations is differentiation more effective than cost advantage? Give an example from each case.

Keep this handout for reference during class discussion and the Business Canvas Project.

Genki Forest (元气森林) — Case Handout

Topic 1.2 Markets and Competitive Advantage · Read before class. Be ready to discuss.

1. Company Introduction

Genki Forest (元气森林) is a Chinese beverage company that disrupted the soft drink market by launching **zero-sugar, zero-calorie sparkling water** in a market dominated by sugary sodas and traditional tea drinks. The zero-sugar formula uses erythritol and stevia (natural sweeteners) instead of sugar. The brand became one of China's fastest-growing consumer companies.

- **Founded:** 2016 by **Tang Binsen (唐彬森)** in Beijing, China
- **Product:** Zero-sugar sparkling water, zero-sugar tea drinks, and other health-oriented beverages — sold in distinctive minimalist packaging with Japanese-inspired branding
- **Founder background:** Tang Binsen was a tech entrepreneur (founder of a mobile gaming company) who applied a data-driven, rapid-testing approach to the beverage industry. He identified the growing health-consciousness trend among Chinese consumers and designed products to match.
- **Industry:** Beverage / Consumer packaged goods (CPG)

Genki Forest grew from zero to over **\$1.5 billion in annual revenue** within five years. The brand is now sold in convenience stores, supermarkets, and online platforms across China, and has expanded internationally to Southeast Asia, Japan, and North America.

Branding: Genki Forest uses the Japanese kanji character "気" (ki, meaning "spirit" or "energy") in its branding instead of the simplified Chinese character "气." The product packaging and visual identity are designed to evoke a Japanese aesthetic, positioning the brand as a premium imported product in the minds of Chinese consumers — even though Genki Forest is a Chinese company.

2. Key Events

Year	Event
2016	Tang Binsen founds Genki Forest; launches first product — zero-sugar sparkling water in minimalist, Japanese-inspired packaging
2017-2018	Early growth through convenience store distribution — the brand places products in FamilyMart, 7-Eleven, and other chains where young urban consumers shop
2019	Product goes viral on social media — health-conscious consumers embrace zero-sugar drinks; sales grow 300%+ year-over-year
2020	Annual revenue reportedly exceeds 3 billion yuan (~\$450M) ; brand becomes a household name among young Chinese consumers; raises significant VC funding
2021	Annual revenue reportedly exceeds 7 billion yuan (~\$1 billion) ; expands product line to include milk tea, juice, and sports drinks — all zero-sugar or low-sugar
2022-2024	Competition intensifies — Coca-Cola launches "AH!HA!" sparkling water, Pepsi launches "Bubly," and numerous Chinese brands enter the zero-sugar market; Genki Forest faces pressure to maintain market share; continues international expansion

Questions

Q1. Genki Forest differentiated itself through **zero-sugar positioning, Japanese-inspired packaging, and targeting health-conscious young consumers.**

Using the concept of **differentiation** from Topic 1.2, explain which of these three factors is most important for sustaining competitive advantage. Which factor is easiest for competitors to copy?

Q2. Tang Binsen was a tech entrepreneur, not a beverage expert. He applied a **data-driven, rapid-testing approach** to developing drinks. How does this relate to the concept of **testing and refining a hypothesis** from Topic 1.4 ? What was the hypothesis, and how did Genki Forest test it?

Q3. Genki Forest uses the Japanese kanji "気" in its brand name and Japanese-inspired packaging — even though it is a Chinese company. Using **PESTEL factors** from Topic 1.3, explain why this branding choice might appeal to Chinese consumers. What **social factors** make Japanese-influenced branding attractive in China's consumer market?

Q4. By 2022–2024, Coca-Cola, Pepsi, and other large brands launched their own zero-sugar sparkling water products. Explain how this illustrates the concept that **competitive advantage can erode over time**. What does Genki Forest need to do to maintain its advantage against larger competitors with more resources?

Q5. Compare Genki Forest's **differentiation strategy** with **Zhong Xue Gao's differentiation strategy** (see the Zhong Xue Gao handout). Both positioned themselves as premium alternatives in a mass market. Why has Genki Forest **succeeded** (so far) while Zhong Xue Gao **failed**? What is the key difference in how each brand delivered on its differentiation promise?

Keep this handout for reference during class discussion and the Business Canvas Project.

Haidilao (海底捞) — Case Handout

Topic 1.2 Markets and Competitive Advantage · Read before class. Be ready to discuss.

1. Company Introduction

Haidilao International Holding Ltd. (海底捞) is China's largest hot pot restaurant chain, known worldwide for its **extreme customer service** — free manicures while waiting, birthday celebrations, noodle-pulling performances, and staff who anticipate customer needs before they are expressed.

- **Founded:** 1994 by **Zhang Yong (张勇)** in Jianyang, Sichuan Province, China
- **Product:** Sichuan-style hot pot dining experience — customers cook their own ingredients in a shared pot of broth at the table
- **Founder background:** Zhang Yong started with a single four-table restaurant. With no formal culinary training, he built the business by focusing obsessively on customer experience and employee satisfaction.
- **Core competency:** Haidilao's core competency is not cooking — it is employee training and empowerment. Staff are trained to anticipate customer needs and empowered to solve problems on the spot without manager approval. Employees who provide exceptional service receive bonuses and promotion opportunities. Zhang Yong's philosophy: "Take care of your employees first; they will take care of your customers."
- **Industry:** Restaurant / Food & Beverage / QSR (Quick Service Restaurant)

Haidilao went public on the Hong Kong Stock Exchange in 2018. As of 2024, it operates over **1,400 restaurants** in China and internationally (including the U.S., U.K., Japan, South Korea, Singapore, and Australia). Annual revenue exceeds **\$5 billion**.

2. Key Events

Year	Event
1994	Zhang Yong opens the first Haidilao restaurant — a four-table hot pot shop in Jianyang, Sichuan
1999	Opens first branch outside Sichuan — in Xi'an, Shaanxi Province
2004	Begins expanding to major Chinese cities; gains national reputation for extraordinary customer service
2010s	Becomes a cultural phenomenon in China — viral stories of Haidilao's service (staff offering free phone cases, charging cables, lap blankets for children, birthday song performances) spread on social media
2018	IPO on the Hong Kong Stock Exchange ; market cap exceeds HK\$100 billion
2020	COVID-19 forces restaurant closures; Haidilao pivots to delivery hot pot kits and takeout; demonstrates resilience
2021	Over-expansion during recovery leads to financial strain; Haidilao announces closure of ~300 underperforming restaurants
2022–2024	Refocuses on profitability and operational efficiency; international expansion continues (U.S., U.K., Southeast Asia)

Questions

Q1. Haidilao's hot pot is not fundamentally different from other hot pot restaurants. Using the concept of **differentiation** from Topic 1.2, explain what makes Haidilao's competitive advantage **different from a cost advantage**. Why are customers willing to pay more at Haidilao?

Q2. Haidilao's core competency is **employee training and empowerment** — not cooking. Explain the difference between a **core value** and a **core competency** (from Topic 1.5) using Haidilao as an example. Which of the following is a core value and which is a core competency: (a) "customer first" and (b) "the ability to train staff to anticipate customer needs"?

Q3. Zhang Yong said: "Take care of your employees first; they will take care of your customers." How does this illustrate the relationship between **internal stakeholders** (employees) and **external stakeholders** (customers) from Topic 1.6? What happens to Haidilao's competitive advantage if employee satisfaction declines?

Q4. In 2021, Haidilao closed ~300 restaurants after over-expanding. Compare this to **VANCL's** over-expansion (see the VANCL handout) and **ofo's** over-expansion (see the ofo handout). What is **one common lesson** about the relationship between growth and sustainability?

Q5. Haidilao expanded internationally to the U.S., U.K., Japan, and other countries. Using **PESTEL factors** from Topic 1.3, identify at least **two factors** that might make it harder for Haidilao to succeed in a foreign market than in China. How might cultural differences affect the effectiveness of Haidilao's service model?

Keep this handout for reference during class discussion and the Business Canvas Project.

Zhong Xue Gao (钟薛高) — Case Handout

Topic 1.2 Markets and Competitive Advantage · Read before class. Be ready to discuss.

1. Company Introduction

Zhong Xue Gao (钟薛高) was a Chinese premium ice cream brand that positioned itself as a luxury alternative to mass-market ice cream. The name is a play on words — it sounds like a traditional Chinese name but is also a homophone for "中雪糕" (Chinese ice cream).

- **Founded:** 2018 by **Lin Sheng (林盛)** in Shanghai, China
- **Product:** Premium ice cream bars priced at **13-66 yuan** (~\$2-\$9 USD) per bar — marketed as high-quality, natural ingredients with sophisticated flavors and distinctive packaging (a curved瓦片/wafer-tile shape)
- **Founder background:** Lin Sheng was a marketing veteran who previously worked on branding for other food companies. He designed Zhong Xue Gao to be a "Chinese luxury ice cream" brand that could compete with Häagen-Dazs.
- **Industry:** Ice cream / Frozen desserts / Premium food

The brand grew rapidly in 2019–2021 through social media marketing and premium positioning. However, a series of controversies — including pricing backlash and product quality issues — led to a dramatic collapse. By 2024, the brand had largely disappeared from the market.

2. Key Events

Year	Event
2018	Lin Sheng founds Zhong Xue Gao in Shanghai; launches premium ice cream bars priced at 13–66 yuan — 3–10× the price of standard ice cream
2019	Brand goes viral on social media; marketed as "Chinese luxury ice cream" with natural ingredients; becomes popular among young urban consumers
2020–2021	Expands distribution to convenience stores, supermarkets, and online platforms; annual sales reportedly exceed 1 billion yuan ; raises venture capital funding
2022 (summer)	Pricing backlash: consumers discover that some products are sold at inflated prices in convenience stores; viral social media posts call Zhong Xue Gao an "雪糕刺客" (ice cream assassin) — products that look affordable but shock you at the register
2022	Product quality controversy: reports emerge that some products do not melt even when left at room temperature for extended periods — consumers question ingredient safety and quality claims
2023	Lin Sheng publicly defends the brand but loses consumer trust; multiple retail partners reduce orders; unsold inventory accumulates
2024	Brand effectively exits the market; most products disappear from store shelves; the company faces lawsuits from suppliers and partners

Questions

Q1. Zhong Xue Gao priced its ice cream at 13–66 yuan — 3–10× the price of standard brands. Using the concept of **differentiation** from Topic 1.2, explain what Zhong Xue Gao needed to deliver to justify this premium price. Did the brand ultimately deliver on its promise? Why or why not?

Q2. Consumers called Zhong Xue Gao an "雪糕刺客" (ice cream assassin) — products that look affordable but shock you at the register. How does this controversy relate to the concept of **trust** and **brand loyalty**? What happens to a differentiation strategy when customers feel deceived?

Q3. Reports that some Zhong Xue Gao products "do not melt" raised questions about ingredient quality. Explain how **product quality** relates to **competitive advantage**. Can a premium brand survive if its product does not match its marketing claims?

Q4. Social media built Zhong Xue Gao's brand — and then destroyed it. Using **PESTEL factors** from Topic 1.3, explain how **social and technological factors** contributed to both the brand's rise and its fall. Is social media a double-edged sword for businesses?

Q5. Compare Zhong Xue Gao's collapse with **Seesaw Coffee's** collapse (see the Seesaw handout, Topic 1.5). Both were premium brands that failed. What is **one similarity** and **one difference** in the reasons for their failure? What lesson do these cases teach about the relationship between **premium pricing and sustainability**?

Keep this handout for reference during class discussion and the Business Canvas Project.

China's "Double Reduction" Policy & New Oriental (新东方) — Case Handout

Topic 1.3 PESTEL Factors · Read before class. Be ready to discuss.

1. Company Introduction

New Oriental Education & Technology Group (新东方) was China's largest private education company, offering after-school tutoring, test preparation, and English language training to millions of students.

- **Founded:** 1993 by **Yu Minhong (俞敏洪)** in Beijing, China
- **Product:** K-12 after-school tutoring, English language training, overseas test preparation (TOEFL, IELTS, SAT), and education technology
- **Founder background:** Yu Minhong (also known as "Yu Minhong") was a former Peking University English professor who started by teaching English to students preparing to study abroad. He built New Oriental into the dominant player in China's private education market.
- **Industry:** Education / EdTech

New Oriental went public on the New York Stock Exchange in 2006 and grew to operate over 100 learning centers across China with more than 50,000 teachers. At its peak, the company served millions of students annually and was valued at over \$20 billion.

2. Key Events

Year	Event
1993	Yu Minhong founds New Oriental in Beijing; starts by teaching English to students preparing to study abroad
2006	IPO on the New York Stock Exchange ; becomes the first Chinese education company listed in the U.S.
2006–2020	Massive expansion: over 100 learning centers, 50,000+ teachers, millions of students; diversifies into K-12 tutoring, online education, and education technology
2021 (July)	Chinese government announces " Double Reduction " (双减) policy — banning for-profit K-12 academic tutoring; stock crashes 90%+ in days
2021–2022	New Oriental lays off 60,000+ employees , closes most learning centers, and pivots to non-academic tutoring and other business lines
2022	Yu Minhong launches Oriental Selection (东方甄选) — a live-stream e-commerce platform where former teachers sell agricultural products and consumer goods on camera
2022–2024	Oriental Selection becomes a hit; Yu Minhong transforms from educator to live-stream host; new business grows rapidly

Transferable skills: Former teachers brought specific skills from the classroom to live-streaming: audience engagement (holding attention for extended periods), clear communication (explaining product features as if teaching a lesson), on-camera presentation skills (comfort speaking to large audiences), and storytelling (connecting products to relatable narratives).

Questions

Q1. The Double Reduction policy **banned for-profit K-12 tutoring** in China. Classify this as a **PESTEL factor** and explain why it is political rather than economic, social, or legal. What makes a government ban different from a change in consumer preferences?

Q2. New Oriental's stock crashed **90%+** after the Double Reduction announcement. Explain how a **single political factor** can affect a business's **revenue, costs, and viability** so dramatically. Use the chain from PESTEL to profitability in your answer.

Q3. Yu Minhong pivoted New Oriental from education to **live-stream e-commerce**. Identify the **core competencies** (from Topic 1.5) that transferred from the old business to the new business. Why were former teachers effective as live-stream hosts?

Q4. The Double Reduction policy affected **all** K-12 tutoring companies in China — not just New Oriental. Explain why the **same external factor** can affect different businesses in different ways. What determined whether a tutoring company survived or failed?

Q5. Compare the impact of China's Double Reduction policy on New Oriental with the impact of **the 9.9-yuan price war** on Seesaw Coffee (see the Seesaw handout, Topic 1.5). Both are examples of external forces that destroyed a business model. What is **one similarity** and **one difference** in how each company responded?

Keep this handout for reference during class discussion and the Business Canvas Project.

Labubu Goes Global (2024) — Case Handout

Topic 1.3 PESTEL Factors · Read before class. Be ready to discuss.

1. Background Introduction

Labubu is a character designed by Hong Kong-born, Netherlands-based artist **Kasing Lung (龙家升)**. It is a mischievous forest creature with a wide grin and spiky ears — part of a series of characters called "The Monsters." Labubu is sold as a collectible figurine by **Pop Mart (泡泡玛特)**, China's leading designer toy company.

In 2024, Labubu went viral — not because of a marketing campaign, but because of **social and cultural trends** that the company did not directly control. The character became a global pop culture phenomenon, particularly in Southeast Asia.

Key context:

- Labubu figurines are sold as **blind boxes** — sealed packaging, random designs, collectors do not know which version they will get until they open the box
 - The "surprise" element of blind boxes taps into **collecting culture, dopamine-driven purchasing, and social media sharing**
 - Resale prices on the secondary market reached **5-10× the retail price** for rare designs
 - Fans lined up overnight at Pop Mart stores; some locations required police crowd control
-

2. Key Events

Year	Event
2015	Kasing Lung creates the "The Monsters" character series, including Labubu
2019	Pop Mart signs an exclusive licensing deal with Kasing Lung; begins selling Labubu blind boxes in China
2019–2023	Labubu grows steadily in China as part of Pop Mart's collectible toy ecosystem — popular but not yet a global phenomenon
2024 (early)	Labubu goes viral in Southeast Asia — particularly Thailand, Malaysia, Singapore, and the Philippines — driven by social media, celebrity endorsements, and collector communities
2024 (mid)	Pop Mart stores across Southeast Asia see overnight queues and stockouts; resale prices on secondary markets reach 5-10x retail ; Labubu keychains become a fashion accessory and status symbol
2024 (late)	The trend spreads to Europe and the U.S. ; international celebrities and influencers are seen with Labubu; Pop Mart's international revenue surges

Questions

Q1. Labubu went viral because of **social trends** (collecting culture, unboxing dopamine, status signaling), not because of a Pop Mart marketing campaign. Classify these trends as **PESTEL factors** and explain why they are **social** rather than technological or economic. What makes a social trend different from a marketing strategy?

Q2. The Labubu craze was amplified by **celebrities and social media**. Identify the **technological factors** that enabled the trend to spread across countries. Without social media platforms, would the trend have reached the same scale? Why or why not?

Q3. Pop Mart did not create the Labubu viral trend — but the company **benefited enormously** from it. Explain how a business can take advantage of an **external social factor** it does not control. What did Pop Mart do right (before and during the trend) that positioned it to benefit?

Q4. During the Labubu craze, resale prices reached **5-10× the retail price**.

Explain what this tells you about the **demand** for the product. If Pop Mart had raised its retail prices to match resale prices, what might have happened to customer loyalty and brand perception?

Q5. Compare the impact of **social factors** on Labubu's success with the impact of **political factors** on New Oriental's collapse (see the Double Reduction handout).

Both are examples of external PESTEL forces that dramatically changed a business's fortunes. What is **one similarity** and **one difference** between how social factors and political factors affect businesses?

Keep this handout for reference during class discussion and the Business Canvas Project.

Copa Di Vino — Case Handout

Topic 1.4 How Business Ideas Originate · Read before class. Be ready to discuss.

1. Company Introduction

Copa Di Vino is an American company that produces **single-serve, ready-to-drink wine** in patented sealed cups — wine by the glass, no bottle required.

- **Founded:** 2005 by **James Martin** in The Dalles, Oregon
- **Product:** Premium wine in a patented single-serve container (187 ml), sold in convenience stores, stadiums, airlines, and grocery stores
- **Founder background:** Martin discovered the concept of wine in a sealed cup while traveling in southern France. He brought the packaging technology back to the U.S. and built a brand around it.
- **Industry:** Beverage / Alcoholic drinks

Copa Di Vino is notable in entrepreneurship education because James Martin **appeared on Shark Tank twice** — and **turned down offers both times**, choosing to grow the company on his own terms.

2. Key Events

Year	Event
2005	James Martin founds Copa Di Vino after discovering sealed-cup wine packaging in France
2005-2010	Slow early growth; builds distribution in Pacific Northwest; invests in patented packaging technology
2011	Appears on Shark Tank Season 2, Episode 5 — the sharks offer \$600,000 for 51% equity; Martin rejects the deal
2011-2016	Shark Tank exposure drives massive brand awareness; sales grow significantly; distribution expands nationally
2016	Appears on Shark Tank Season 7 (follow-up episode) — receives another offer; Martin rejects again
2016-present	Continues independent growth; product line expands; distribution in major retail chains, stadiums, and airlines

Questions

Answer these questions based on the case information above and the concepts from Topic 1.4. Be prepared to discuss your answers in class.

Q1. Copa Di Vino's single-serve wine concept was inspired by what James Martin saw in France. Using the framework from Topic 1.4, identify **which source(s) of business ideas** (individual experience, market research, existing products/services in other markets) apply to Copa Di Vino. Explain your reasoning with evidence from the case.

Q2. James Martin rejected a \$600,000 offer on Shark Tank, choosing to grow Copa Di Vino independently. Apply the **risk-return framework** from Topic 1.4 to evaluate his decision. What risks did he accept? What potential returns was he pursuing? Do you think this was a good decision based on what happened afterward?

Q3. Copa Di Vino's packaging technology was **patented** — meaning competitors could not legally copy it. Explain how this relates to the concept of **hypothesis testing and refining** a business idea. How did investing in a patent help Martin test and protect his business hypothesis?

Q4. The Shark Tank appearances generated enormous publicity even though Martin rejected the deals. Identify at least **two external factors** (from Topic 1.3 PESTEL) that contributed to Copa Di Vino's growth after the show. How do these external factors interact with the **ideation and opportunity recognition** process from Topic 1.4?

Q5. Compare Copa Di Vino's path to the snack box's path (from the running story in class). Both identified a gap and filled it. What is **one similarity** and **one difference** in how each business originated and grew?

Keep this handout for reference during class discussion and the Business Canvas Project.

Pop Mart (泡泡玛特) — Case Handout

Topic 1.4 How Business Ideas Originate · Read before class. Be ready to discuss.

1. Company Introduction

Pop Mart is a Chinese designer toy company that pioneered the **blind box** model — collectible figurines sold in sealed packaging so buyers do not know which design they will receive until they open it.

- **Founded:** 2010 by **Wang Ning** (王宁) in Beijing, China
- **Product:** Designer collectible toys (blind boxes), figurines, and IP-based merchandise
- **Founder background:** Wang Ning was a university graduate who noticed that young Chinese consumers had limited access to designer collectible toys — a category already popular in Japan and Hong Kong. He started by opening a small retail shop selling lifestyle products, then pivoted to focus entirely on designer toys.
- **Industry:** Designer toys / Consumer products

Pop Mart operates over 400 retail stores and 2,000+ robotic vending machines across China and internationally, with presence in Japan, South Korea, Southeast Asia, the U.S., and Europe. The company went public on the Hong Kong Stock Exchange in December 2020.

2. Key Events

Year	Event
2010	Wang Ning opens the first Pop Mart store in Beijing — a lifestyle retail shop selling a variety of trendy products
2015	Pivots to focus on designer toys after noticing that collectible figurines were the store's best-selling category
2016	Signs an exclusive licensing deal with Hong Kong artist Kasing Lung for the Molly character — launches the blind box format; sales explode
2017– 2019	Rapid expansion: opens hundreds of stores and robotic vending machines across China; builds a platform connecting independent toy designers with consumers
2019	Begins international expansion — enters Japan, South Korea, and Southeast Asia
2020 (Dec)	IPO on the Hong Kong Stock Exchange ; market cap exceeds HK\$100 billion on the first day
2021– 2023	Continues global expansion; enters the U.S. and European markets; launches pop-up stores in major cities worldwide
2023– 2024	The Labubu character (designed by Kasing Lung) goes viral internationally, especially in Southeast Asia; becomes a global pop culture phenomenon; drives a new wave of collector demand

Questions

Q1. Wang Ning noticed that designer toys outsold other products in his store and pivoted the entire business. Using the framework from Topic 1.4, identify **which source(s) of business ideas** apply to Pop Mart's origin. Is this an example of individual experience, market research, or identifying existing products in other markets? Explain.

Q2. The blind box model was adapted from Japan's gashapon and trading card markets. Explain how this illustrates the concept that **business ideas can originate from existing products and services in other markets**. What made the adaptation successful in China's market?

Q3. Pop Mart tested which characters sold best before investing heavily in IP partnerships. Explain how this process relates to the concept of **testing and refining a hypothesis** about a business idea. What was the hypothesis, and what data did Wang Ning use to test it?

Q4. Pop Mart's international growth was partly driven by the Labubu character going viral on social media. Identify at least **two external factors** (from Topic 1.3 PESTEL) that contributed to this growth. Were these factors within Pop Mart's control?

Q5. Compare Pop Mart's path to Copa Di Vino's path (see the Copa Di Vino handout). Both identified a gap in their market and built a business around it. What is **one similarity** and **one difference** in how each business originated? Which business faced greater **risk**, and why?

Keep this handout for reference during class discussion and the Business Canvas Project.

Patagonia — Case Handout

Topic 1.5 Vision · Read before class. Be ready to discuss.

1. Company Introduction

Patagonia is an American outdoor clothing and gear company known for its commitment to environmental activism and ethical business practices.

- **Founded:** 1973 by **Yvon Chouinard** in Ventura, California
- **Product:** Outdoor clothing, climbing gear, camping equipment, and food products — all designed with environmental responsibility
- **Founder background:** Chouinard was a lifelong climber and environmentalist who started by forging his own climbing pitons. He built the company around the idea that business could be a force for environmental good.
- **Industry:** Outdoor apparel and gear

Patagonia is frequently cited as one of the most mission-driven for-profit companies in the world. In September 2022, Chouinard transferred ownership of the company to a nonprofit and a trust, effectively dedicating all future profits to fighting climate change.

2. Key Events

Year	Event
1973	Yvon Chouinard founds Patagonia; begins selling climbing gear from the back of his car
1980s	Company expands into outdoor clothing; adopts organic cotton and recycled materials
1996	Switches 100% of its cotton line to organic cotton , despite higher costs and supply chain challenges
2002	Launches " Footprint Chronicles " — publicly tracking and disclosing the environmental impact of its own supply chain, including failures
2011	Runs a full-page Black Friday ad in the New York Times: " Don't Buy This Jacket " — telling consumers to buy less and reduce waste
2012	Launches Worn Wear program — encouraging customers to repair and reuse clothing instead of buying new; offers free lifetime repairs
2013	Files as a Benefit Corporation — legally committing to consider environmental and social impact alongside profit
2022 (Sept)	Chouinard transfers ownership : 98% of shares to Holdfast Collective (a nonprofit fighting climate change), 2% to a trust ensuring mission enforcement. All future profit goes to environmental causes. Chouinard's public statement: " Earth is now our only shareholder. "

Financial impact of key decisions:

- The 1996 organic cotton switch increased raw material costs by an estimated **50%**, and Patagonia had to discontinue **one-third of its product line** because organic cotton suppliers could not produce certain weaves.
- The "Don't Buy This Jacket" campaign (2011) ran on Black Friday; despite the anti-consumption message, Patagonia's revenue grew approximately **30% the following year** (from ~\$540M to ~\$700M).
- The Worn Wear program encourages repair over replacement; Patagonia operates the **largest garment repair facility in North America**.

Questions

Q1. Patagonia's vision statement is: "*We're in business to save our home planet.*"

Is this a **vision statement** or a **mission statement**? Apply the test: does it describe a **future worth wanting** (vision), or does it describe **what the business does, for whom, and how** (mission)?

Q2. Identify **three specific decisions** Patagonia made that tested its core values at real cost. For each, explain which **core value** was tested and what **revenue or profit** was sacrificed.

Q3. Patagonia's **core competency** includes supply chain management and product durability. Explain the **difference between a core value and a core competency** (vs.) using Patagonia as your example. Which of the following is a core value, and which is a core competency: (a) "environmental responsibility" and (b) "the ability to source organic cotton globally"?

Q4. In 2022, Chouinard transferred ownership of Patagonia to a nonprofit. Using the **organization decision tree** (, 1.5.B.2), classify Patagonia **before** and **after** the transfer. What changed? What stayed the same?

Q5. Compare Patagonia's approach to values with **Seesaw Coffee's** approach (see the Seesaw handout). Both companies had stated values. What made the difference in outcomes? Use specific evidence from both cases.

Keep this handout for reference during class discussion and the Business Canvas Project.

Seesaw Coffee — Case Handout

Topic 1.5 Vision · Read before class. Be ready to discuss.

1. Company Introduction

Seesaw Coffee was a Chinese specialty coffee brand, once considered one of the pioneers of China's "third wave" coffee movement.

- **Founded:** 2012 in **Shanghai**, China
- **Product:** Specialty coffee drinks, curated café experience, and coffee-related retail products
- **Founder:** Zuo Zuojun (左佐君)
- **Industry:** Specialty coffee / Food & Beverage

Seesaw built its identity around **craft, innovation, and community** — positioning itself as a premium alternative to mass-market chains like Starbucks and later, budget chains like Luckin Coffee. The brand attracted venture capital funding and expanded aggressively into major cities across China.

2. Key Events

Year	Event
2012	Seesaw Coffee opens its first store in Shanghai; positions itself as a specialty coffee pioneer
2012-2017	Builds reputation for quality beans, skilled baristas, and curated café environments; develops a loyal following among urban professionals
2017-2021	Receives venture capital funding; begins aggressive expansion into multiple Chinese cities; store count grows rapidly
2023	Price war erupts in China's coffee market — Luckin Coffee and Cotti Coffee launch 9.9-yuan coupons (~\$1.35 USD per cup)
2023-2024	Seesaw responds by launching its own 9.9-yuan promotions to retain customers; margins collapse because specialty beans and trained baristas cost far more than 9.9 yuan per cup
2024	Reports of delayed supplier payments, employee salary arrears, and store closures surface
2024-2025	Mass store closures across China; debts remain unpaid; company enters bankruptcy/liquidation

Questions

Q1. Seesaw's vision was: "*Bring specialty coffee into everyone's daily life.*" Is this a **vision statement** or a **mission statement**? Apply the test: does it describe a **future worth wanting** (vision), or does it describe **what the business does, for whom, and how** (mission)?

Q2. Seesaw's core values included **craft**. At what specific point in the company's history did the business **stop testing that value at real decisions**? What did the 9.9-yuan promotion tell customers about Seesaw's commitment to craft?

Q3. Seesaw faced pressure from **venture capital investors** to expand and from **discount competitors** to lower prices. Identify these as **internal or external stakeholders** and explain how each influenced decisions that conflicted with the company's stated values.

Q4. Compare Seesaw's outcome with **Patagonia's** outcome (see the Patagonia handout). Both companies had stated values. Both faced pressure to compromise. What is **one specific difference** in how each company responded, and how does that difference explain their different outcomes?

Q5. Using the **organization decision tree** (, 1.5.B.2), classify Seesaw Coffee. Was it a **business**, a **social enterprise**, or a **nonprofit**? Explain your answer with evidence from the case.

Keep this handout for reference during class discussion and the Business Canvas Project.

Ctrip (携程) — Case Handout

Topic 1.6 Business Ethics · Read before class. Be ready to discuss.

1. Company Introduction

Ctrip International (携程) is China's largest online travel agency (OTA), offering hotel bookings, flights, train tickets, vacation packages, and corporate travel services.

- **Founded:** 1996 by **James Liang (梁建章)**, **Neil Shen (沈南鹏)**, **Ji Qi (季琦)**, and **Fan Min (范敏)** in Shanghai, China
- **Product:** Online travel booking platform — hotels, flights, trains, vacation packages, car rentals, and travel services
- **Industry:** Online travel / E-commerce / Technology

Ctrip dominates China's online travel market with a market share exceeding 50%. In 2016, Ctrip acquired its main competitor Qunar (去哪儿), further consolidating its market power. The company is listed on NASDAQ and the Hong Kong Stock Exchange. As of 2024, Ctrip serves hundreds of millions of users annually and has expanded into international markets under the Trip.com brand.

Vision: Ctrip's stated vision is "to become the world's leading travel service company by providing travelers with the most comprehensive and reliable travel products and services at the best prices."

2. Key Events

Year	Event
1996	Four co-founders establish Ctrip in Shanghai as one of China's first online travel booking platforms
2003	IPO on NASDAQ; becomes one of the first Chinese internet companies listed in the U.S.
2003–2013	Grows into China's dominant OTA through aggressive marketing, partnerships with hotels and airlines, and superior technology
2016	Acquires Qunar (去哪儿) — its main competitor — creating a near-monopoly in China's online travel market
2016–2019	Reports of 大数据杀熟 (big data price discrimination) begin surfacing — loyal users notice they are charged higher prices than new users for the same hotel room or flight
2019	Chinese media widely reports on 大数据杀熟 ; Ctrip denies the practice but pledges to improve pricing transparency
2020–2021	COVID-19 devastates travel industry; Ctrip's revenue drops sharply; company pivots to domestic travel and livestream commerce
2022–2024	Travel recovery; Ctrip's revenue rebounds; 大数据杀熟 complaints continue on social media; regulators begin investigating algorithmic pricing practices across the tech industry

Questions

Q1. Ctrip's algorithm charges loyal users higher prices than new users for the same product. Classify this situation: is it an **ethical dilemma**, **unethical behavior**, or **both**? Explain your reasoning using the definitions from class. What **core value** conflicts with what **business goal**?

Q2. Apply the **stakeholder arithmetic** framework to Ctrip's **大数据杀熟**. Create a table showing the **benefits and costs** for each stakeholder group (internal: company/investors; external: loyal customers, new customers, competitors). What does the arithmetic suggest about the **long-term** vs. **short-term** impact?

Q3. Ctrip's market dominance (after acquiring Qunar) gave it the power to implement price discrimination. Using **PESTEL factors** from Topic 1.3, explain how **political and legal factors** eventually constrained Ctrip's behavior. What role did government regulators play as an **external stakeholder**?

Q4. Compare Ctrip's ethical dilemma with **Seesaw Coffee's** dilemma (see the Seesaw handout, Topic 1.5). Both companies made decisions that conflicted with their stated values. What is **one similarity** and **one difference** in how each company's decision affected its relationship with customers?

Q5. If you were Ctrip's CEO, which approach would you take: (1) keep 大数据杀熟 for maximum short-term revenue, (2) stop the practice and reward loyalty with lower prices, or (3) adopt transparent dynamic pricing with open loyalty discounts? Apply **both lenses** from class — stakeholder arithmetic AND consistency with the company's vision — to justify your answer.

Keep this handout for reference during class discussion and the Business Canvas Project.

1.8 Zara Supply Chain — Case Handout

Topic 1.8 Supply Chains · Read before class. Be ready to discuss.

Company Overview

Zara is a Spanish fast fashion retailer and the flagship brand of the **Inditex Group**, the world's largest fashion retailer. Founded in 1975 in Arteixo, Spain, Zara operates over **6,000 stores** in 96 countries. Unlike most fashion brands, Zara's competitive advantage is built not on low prices or celebrity marketing, but on **speed** — a new design goes from sketch to store shelf in **2 weeks**, compared to the industry average of **6 months**.

Key Events

Year	Event	Significance
1975	First Zara store opens in Arteixo, Spain	Founder Amancio Ortega starts with a single shop
1985	Inditex Group formed	Zara becomes the core brand of a new parent company
1990s	Own factories + central distribution center built	The 2-week supply chain takes shape
2000s	Global expansion — stores in 60+ countries	Same supply chain model replicated worldwide
2010s	6,000+ stores, \$20B+ annual revenue	World's #1 fast fashion brand by revenue
2020s	Competitors (Shein, H&M) challenge on speed	Zara's model tested by even faster rivals

Zara Operations — Key Facts

Speed-to-shelf timeline

Stage	Zara Timeline	Industry Average
Trend spotted → design ready	Monday to Friday (same week)	Weeks to months
Sketch → store shelf	2 weeks	6 months

Production and inventory model

- Produces in **small batches** — not millions of units at once
- Store inventory is **refreshed twice a week**
- If a style does not sell, it is gone in weeks
- **No markdowns, no excess inventory**

Own factories vs. outsourcing

Factor	Zara (own factories)	Typical brand (outsourced)
Location	Spain and nearby countries	Asia and other low-cost regions
Unit cost	Higher	Lower
Speed and control	Maximum	Limited

Distribution center

- **Every garment** for every store worldwide passes through **one central facility** in Arteixo, Spain
- Garments arrive and ship out within **hours** — the facility does not hold inventory long-term
- **Distribution center** (moves inventory through) vs. **warehouse** (stores inventory) — Zara's facility is the former, not the latter

Supply chain as competitive barrier

- The 2-week turnaround is the barrier — rivals cannot easily copy a system that depends on own factories, centralized distribution, and small-batch production all working together
- Fewer links in the chain = fewer points of failure compared to brands that outsource globally

End-to-end chain

Stage	Zara Approach
Design	In-house, reacts to trends in days
Raw materials	Sourced directly
Manufacturing	Own factories (Spain and nearby)
Distribution	One central facility, garments move in hours
Retail	6,000+ stores, inventory refreshed twice a week

Questions

1. **Zara's strategy is speed, not low price.** How did this strategy **shape every stage** of its supply chain? Give one specific example for each stage (design, materials, manufacturing, distribution, retail). (Connect to, 1.8.C.2)
2. **Zara built own factories in Spain instead of outsourcing to cheaper countries.** Which of the five supplier factors did Zara **sacrifice**, and which did it **prioritize**? Why did the speed strategy make this tradeoff worthwhile?
3. **Zara's central distribution center in Arteixo handles every garment for the entire world.** Explain the difference between a warehouse and a distribution center — and why Zara's facility is the latter, not the former. (Connect to)
4. **Zara's supply chain is described as a "barrier to entry."** How is this different from a legal barrier (like an exclusive agreement with a supplier)? What makes Zara's chain **harder to copy** than a legal agreement? (Connect to)
5. **Zara produces small batches and refreshes stores twice a week.** How does this reduce **risk** compared to a traditional fashion brand that produces large batches months in advance? What happens to unsold inventory in each model? (Connect to)
6. **Compare Zara's supply chain to the candy seller's supplier decision** (supermarket vs. wholesale parent). Both involve choosing between a reliable/expensive option and a cheaper/riskier option. How are the **stakes** different for a global brand vs. a Saturday snack box — and what does that teach about **when to prioritize reliability over cost**?

Keep this handout for reference during class discussion and the Business Canvas Project.

2.1 HEYTEA (喜茶) — Marketing to Customers

Topic: 2.1 Marketing to Customers

Company: HEYTEA (喜茶)

Background

HEYTEA (喜茶) is a Chinese premium tea drink brand founded in 2012 in Jiangmen, Guangdong Province. The company pioneered the "**new-style tea**" category by introducing cheese-fruit tea and fresh-ingredient drinks that transformed tea from a traditional beverage into a lifestyle product. HEYTEA operates over **3,000 stores** across China and has expanded internationally to Singapore, the United Kingdom, Australia, and the United States. The company was valued at approximately **\$9 billion** in 2022.

HEYTEA's success is not built on traditional advertising. Instead, the brand relies on **social media virality, data-driven personalization, and cultural collaborations** to reach and retain customers. As of 2023, HEYTEA has **63 million registered members** through its mini-program, giving it one of the richest customer databases in the Chinese beverage industry.

Target customer profile: 20–30 years old, predominantly female, concentrated in tier-1 and tier-2 cities. These customers are not simply buying a drink — they are buying an **experience**. HEYTEA's typical customer waits 30–60 minutes in line, takes a photo of the cup, and posts it on WeChat Moments or Xiaohongshu before taking the first sip. The purchase is driven by **social check-in (打卡), lifestyle display, aesthetic experience, and trend-seeking** — not thirst.

Key Events

Year	Event
2012	Founded as "Royal Tea" (皇茶) in Jiangmen, Guangdong; later rebranded to HEYTEA (喜茶)
2016	Raises Series A funding; begins aggressive expansion into tier-1 cities (Shenzhen, Guangzhou, Shanghai, Beijing)
2017	Long queues at Shanghai stores go viral on social media — the brand becomes a cultural phenomenon; lines reportedly reach 3–4 hours
2018	Launches HEYTEA GO (喜茶GO) mini-program for mobile ordering — the brand begins collecting full behavioral data (order history, flavor preferences, frequency, location, time of day)
2019	Store count exceeds 300; international expansion begins (Singapore); launches membership program with points, birthday vouchers, and early access to new products
2020	Accelerates digitization — many stores become mini-program only (no cash accepted); data-driven product development becomes core strategy
2021	Store count exceeds 800; expands to UK and Australia; valued at approximately \$6 billion
2022	Valued at approximately \$9 billion ; store count exceeds 2,000; expands to the United States
May 2023	Fendi x HEYTEA collaboration — a 19-yuan drink with Fendi branding goes viral; "your first Fendi" becomes a social media meme; first day sells out at many locations; massive coverage on WeChat, Xiaohongshu, and Douyin. This was NOT a traditional ad campaign — it was a social media-driven cultural event
2023	Reaches 63 million registered members ; store count exceeds 3,000; regular collaborations with brands like Oatly, Chinese liquor brands, and local artists continue to drive social media engagement

Questions

Q1. HEYTEA's Fendi collaboration generated millions of social media impressions without a traditional ad campaign. Marketing encompasses more than advertising, explain why the Fendi collaboration qualifies as marketing even though HEYTEA did not pay for ad placement. What made customers voluntarily share the collaboration on social media?

Q2. HEYTEA's HEYTEA GO mini-program captures order history, flavor preferences, visit frequency, location, and time of day for 63 million members. Marketers use data collection tools such as click-tracking, subscriber lists, and social media monitoring, explain how HEYTEA uses each of these three data collection methods. Which method provides the most actionable data for product development, and why?

Q3. HEYTEA's target customer is described as a young urban woman (age 20–30, tier-1/2 cities) who values social check-in, aesthetics, and trend-seeking. Market segmentation involves dividing customers by demographics, psychographics, and geography, identify which type of segmentation — demographic, psychographic, or geographic — is **most useful** for HEYTEA's marketing strategy. Use specific case facts to justify your answer.

Q4. HEYTEA's membership program offers points, birthday vouchers, early access to new products, and member-exclusive drinks. Businesses use tactics like personalized service, member rewards, and feedback mechanisms to build customer relationships, evaluate which of these tactics is most effective at increasing customer lifetime value (LTV). How does HEYTEA's frequent launch of new products (seasonal, limited-edition, collaborations) reinforce these relationship tactics?

Q5. The Fendi x HEYTEA collaboration generated massive organic social media reach at a fraction of the cost of a traditional ad campaign. Customer acquisition cost measures the cost of gaining a new customer, explain how this collaboration kept CAC low. Compare this to what CAC might look like if HEYTEA had tried to achieve the same reach through paid advertising on WeChat, Xiaohongshu, and Douyin.

Q6. HEYTEA's mini-program-only stores require customers to order through the app, which collects location, order history, taste preferences, and visit frequency. Marketers must balance data collection with customer privacy, identify the specific privacy risks this creates for HEYTEA's 63 million members. Should HEYTEA be required to offer a cash-payment alternative for customers who do not want to share their data? Justify your reasoning.

Keep this handout for reference throughout Unit 2.

Luckin Coffee (瑞幸咖啡) — Case Handout

Topic 2.1 Marketing to Customers · Read before class. Be ready to discuss.

1. Company Introduction

Luckin Coffee (瑞幸咖啡) is a Chinese coffee chain that disrupted the market by combining technology-driven operations with aggressive pricing to challenge Starbucks in China.

- **Founded:** 2017 in Beijing, China
- **Stores:** 9,000+ locations across China — more stores in China than Starbucks
- **Model:** App-first ordering (no cash registers); all transactions happen through the Luckin app or WeChat mini-program
- **Industry:** Coffee / Food & Beverage

Luckin Coffee built its business around **data and technology** rather than traditional advertising. The company collects over **1,000 data tags per user** — including gender, iced/hot preference, social energy level, and coffee scenario (morning commute, afternoon break, meeting) — to drive personalized marketing and product decisions. This data-first approach allows Luckin to understand and serve customers at a level traditional coffee chains cannot match.

2. Key Events

Year	Event
2017	Luckin Coffee founded; opens first stores in Beijing and launches its app-only ordering model
2018	Rapid expansion; launches aggressive referral program — "Invite a friend, both get a free cup" — on launch day, new user registrations doubled and orders grew 40%
2019	Company goes public on NASDAQ; store count surpasses Starbucks in China
2020	Accounting scandal leads to delisting from NASDAQ; company restructures leadership and internal controls
2021-2022	Post-scandal recovery; focuses on operational efficiency and profitability; implements CDP (Customer Data Platform) for automated personalized marketing
2022	Builds WeChat private domain — 1.8 million users in community groups generate 35,000+ direct orders per day ; launches "Chief Welfare Officer Lucky" enterprise WeChat persona for community management
2023	Launches Moutai Latte collaboration (with Kweichow Moutai, China's most famous liquor brand); the product sells millions of cups on day one through social media buzz — not traditional advertising; repurchase rate at 3+ month stores exceeds 80%
2023-2024	Implements RFM user segmentation model (Recency, Frequency, Monetary value) and LBS (location-based) community targeting for hyper-local marketing

3. Luckin Coffee — Data-Driven Marketing Facts

Data Collection

Luckin's app records every customer interaction. The company collects **1,000+ data tags per user**, including:

- **Demographic data** (who the customer is): age, gender, location
- **Psychographic data** (how the customer thinks and behaves): iced vs. hot preference, social energy level, coffee scenario (morning commute vs. afternoon break vs. meeting), flavor preferences, spending patterns

Target Customer Profile

Attribute	Detail
Age	20–29 years old (50% of user base)
Occupation	Office workers (60%+ of users)
Location	Tier 1 cities — Beijing, Shanghai, Guangzhou (30%+ of users)
Behavior	Tech-savvy, mobile-first, price-sensitive but brand-aware

RFM Segmentation Model

RFM Dimension	What It Measures	How Luckin Uses It
Recency	When did the customer last order?	Identifies customers at risk of churning; sends targeted re-engagement offers
Frequency	How often does the customer order?	Distinguishes daily drinkers from occasional buyers; tailors rewards accordingly
Monetary	How much does the customer spend?	Identifies high-value customers for premium product promotions

Customer Acquisition Cost (CAC) and Lifetime Value (LTV)

Metric	Effect
Referral program impact on CAC	Reduces CAC — existing customers recruit new ones at the cost of one free cup per person
WeChat community impact on LTV	Monthly purchase frequency +30% ; weekly repurchase +28% ; at 3+ month stores, repurchase rate exceeds 80%

Questions

Q1. Luckin Coffee built a 9,000+ store business with almost no traditional advertising. Using the concept that **marketing is not the same as advertising**, explain how Luckin's app-based model functions as its primary marketing tool. What specific data does the app collect that makes traditional advertising unnecessary?

Q2. Luckin collects **1,000+ data tags per user**, including demographic data (age, gender, location) and psychographic data (iced/hot preference, social energy level, coffee scenario). Using the distinction between **demographic and psychographic data**, explain why psychographic data is more valuable for personalized marketing. Give one example of how a psychographic tag (e.g., "prefers iced coffee in the afternoon") could be used to send a targeted promotion.

Q3. Luckin uses the **RFM model** (Recency, Frequency, Monetary value) to segment its customers. Using the concept of **market segmentation**, explain how Luckin might treat a customer who scored high on Recency (ordered yesterday) but low on Frequency (orders once a month) differently from a customer who scored high on Frequency (orders daily) but low on Recency (last ordered 3 weeks ago). What specific marketing action would you take for each?

Q4. The referral program ("Invite a friend, both get a free cup") doubled new user registrations and grew orders by 40% on launch day. Using the concepts of **Customer Acquisition Cost (CAC)** and **Customer Lifetime Value (LTV)**, explain why this program is more cost-effective than traditional advertising. What must be true about LTV for this program to be profitable?

Q5. After joining Luckin's WeChat community groups, customers increased their monthly purchase frequency by **30%** and weekly repurchase by **28%**. Using the concept of **customer relationship tactics**, explain why a WeChat community group is more effective at building long-term customer relationships than a one-time coupon promotion. What role does the "Chief Welfare Officer Lucky" persona play in making the community feel personal rather than corporate?

Q6. Luckin Coffee's 2023 **Moutai Latte** collaboration sold millions of cups on day one through social media shares and word-of-mouth — not paid advertising. Using the concept of **social media as a marketing tool**, explain why this campaign went viral. What made the product shareable, and how could Luckin use data from the viral moment (new customer registrations, social media mentions) to convert one-time buyers into repeat customers?

Keep this handout for reference throughout Unit 2.

2.2 Keep -- Consumer Behavior

Topic: 2.2 Consumer Behavior

Company: Keep (Beijing Calorie Technology Co., Ltd.)

Background

Keep is a Chinese fitness and lifestyle app founded in 2014 in Beijing. The company went public on the Hong Kong Stock Exchange in 2023, making it "China's first fitness tech IPO." As of its IPO, Keep reported over 300 million registered users and more than 30 million monthly active users.

Keep operates four revenue streams:

- **Online fitness content** -- subscription-based access to workout classes and training plans
- **Smart fitness products** -- equipment and wearable devices sold under the Keep brand
- **Branded apparel** -- athletic clothing and accessories
- **Advertising** -- brand partnerships and in-app promotions

Keep's core users are 18--35 year olds in urban Chinese cities, with over 60% female users. Most are office workers with moderate incomes who find expensive gym memberships inaccessible. The brand's core values center on health, self-improvement, and discipline, and it has helped shift perceptions about home workouts from a lesser alternative to a legitimate fitness option.

The company's core mission is captured in its brand slogan: "自律给我自由" -- "Self-discipline gives me freedom."

Key Events

- **2014:** Keep founded in Beijing; launches as a free fitness app offering guided home workouts.
- **2015--2017:** Rapid user growth as smartphone penetration in China surges. Online fitness users in China grow from approximately 100 million to a much larger base. Keep introduces streak counters and workout completion badges to drive daily engagement.
- **2018--2020:** Keep expands into smart fitness products (yoga mats, resistance bands, stationary bikes) and branded apparel. Training camps (训练营) and

community features such as "Keep Running" local running clubs are introduced.

- **2021--2022:** Keep reaches 300 million registered users. The platform introduces leaderboards, user-generated content sharing to WeChat Moments, and group workout challenges. Premium subscription tiers are formalized at approximately 19 USD/month or 178 USD/year.
- **2023:** Keep completes its IPO on the Hong Kong Stock Exchange, becoming China's first publicly listed fitness technology company. Monthly active users exceed 30 million. Online fitness users in China have grown to approximately 400 million.

Questions

Question 1:

Before Keep launched, fitness participation in China required a gym membership costing 50--100 USD per month plus commute time and a fixed schedule. By 2023, online fitness users in China had grown to approximately 400 million. Using Keep as an example, explain how smartphone technology changed both the seller side (Keep's reach) and the buyer side (consumers' access to fitness). Why was this a "both sides" transformation rather than just one side gaining an advantage?

Question 2:

Keep's brand slogan is "自律给我自由" -- "Self-discipline gives me freedom." The app uses streak counters ("连续打卡天数") and workout completion badges to reinforce user identity. Explain how the consistency principle operates in Keep's case: how does a user's self-image as a "self-disciplined person" influence their purchasing and usage behavior over time? What happens when a user breaks their streak, and what does this reveal about the power of consistency?

Question 3:

Keep offers training camps (训练营) with group goals and leaderboards, "Keep Running" local running clubs, and easy sharing of workout screenshots to WeChat Moments. Analyze how these features apply the unity principle. In what ways does Keep transform what could be a solitary activity (exercising at home) into an in-group identity experience? How might this in-group identity affect a user's decision to subscribe to premium or purchase Keep-branded products?

Question 4:

Keep's product ecosystem includes free app usage, a premium subscription (19 USD/month or 178 USD/year), and smart fitness equipment. Classify each of these three products as either habitual or rational purchasing. Then explain how Keep's

app design -- reminders, streak counters, daily workout plans -- is specifically engineered to shift users from rational consideration to habitual use. Why is this shift strategically valuable for Keep?

Question 5:

Keep provides a large library of free workout content that delivers real value to users. The company also offers free trial periods of 7--14 days for its premium subscription tier, allowing users to access all features before committing to a paid plan. Apply the reciprocity principle to explain why users who have benefited from free content are more likely to eventually pay for a subscription or purchase Keep-branded equipment. Does a free trial period for premium strengthen or weaken the reciprocity effect? Justify your answer.

Question 6 (and -- Personal and Psychological Factors):

Keep's target demographic is 18--35 year olds in urban Chinese cities, with over 60% female users, mostly office workers with moderate incomes who cannot easily afford expensive gym memberships. The platform appeals to values of health, self-improvement, and discipline, and has worked to change the perception that home workouts are less effective than gym sessions. Identify and explain which personal factors and which psychological factors most influence Keep's target consumers. How does Keep's pricing structure (free tier plus premium) address both the personal factor of economic situation and the psychological factor of perception?

Face Test Application

Keep's marketing practices can be evaluated against the face test -- would the company be comfortable if consumers fully understood the tactic being used?

- **"自律给我自由" (Self-discipline gives me freedom):** Survives the face test. The slogan is aspirational and reflects the genuine value proposition of the app. It does not mislead consumers about what the product delivers.
- **Streak counters and completion badges:** Survive the face test. They display real data -- actual days of consecutive use and actual workouts completed. Users can see exactly what the numbers represent.
- **"Only 3 spots left in this training camp!" (when spots are unlimited):** Would fail the face test. This creates false scarcity to pressure immediate sign-up. If users understood that spots were not actually limited, they would feel manipulated.

Keep this handout for reference throughout Unit 2.

2.2 Tea Yan Yue Se (茶颜悦色) — Consumer Behavior

Topic: 2.2 Consumer Behavior

Company: Tea Yan Yue Se (茶颜悦色 / Modern China Tea Shop)

Background

Tea Yan Yue Se (茶颜悦色) is a Chinese tea drink brand founded in 2013 in Changsha, Hunan Province. The brand is known for its **Chinese-style (国风) cup designs** that feature classical poetry, traditional illustrations, and hand-written-style cultural references on every cup. Signature products include the **Youlan Latte (幽兰拿铁)**, **Shengsheng Oolong (声声乌龙)**, and **Zhixiao (栀晓)** — each named with poetic, literary flair that reflects the brand's fusion of traditional tea culture with modern drink trends.

For **seven years**, Tea Yan Yue Se was available **only in Changsha**. This geographic exclusivity turned the brand into a cultural phenomenon: tourists literally planned trips to Changsha around getting a cup. The phrase "排队2小时买一杯茶颜" ("queuing 2 hours for one cup of Tea Yan") became a social media meme and a badge of dedication. The brand began expanding to other cities — Wuhan, Chongqing, Nanjing — starting in 2020, but Changsha remains the "**spiritual home**" of the brand. As of 2025, Tea Yan Yue Se operates over **500 stores**, the vast majority still in Hunan Province.

Target customer profile: Young Chinese consumers (18–35) who value cultural identity, aesthetic experience, and social participation. These customers are not just buying milk tea — they are buying into a **cultural narrative**. A typical customer visits Tea Yan Yue Se not only for the drink but for the experience: reading the poetry on the cup, sharing a photo on Xiaohongshu, and telling friends "I went to Changsha and got Tea Yan." The purchase decision is shaped by scarcity, social proof, cultural identity, and emotional connection — not just taste or price.

Key Events

Year	Event
2013	Founded by Lü Liang (吕良) in Changsha, Hunan; opens first store with Chinese-style decor and hand-written product descriptions
2014–2019	Expands within Changsha only; builds a cult following among locals and tourists; limited geographic footprint creates extreme scarcity — no stores outside Hunan
2017	Social media buzz intensifies — "queuing 2 hours for Tea Yan" becomes a viral topic on Weibo and Xiaohongshu; Changsha travel guides begin listing Tea Yan Yue Se as a must-visit destination
2019	Seasonal limited flavors (季节限定) become a core strategy — rotating flavors create urgency and repeat visits; fans track release dates like product launches
2020	First expansion outside Changsha — opens stores in Wuhan; massive queues and social media coverage accompany each new city launch
2021	Expands to Chongqing and Nanjing; loyalty stamp card (积点卡) program formalized — buy 6 cups, get 1 free; Xiaohongshu posts about the brand exceed 1 million
2022	Some seasonal flavors designated as Changsha-exclusive — even after expansion, certain products remain available only in Changsha, reinforcing the city's special status
2023	Store count exceeds 500; WeChat mini-program ordering rolled out across locations; fan communities on WeChat and Weibo grow to millions of members
2024	Continues measured expansion; maintains focus on quality and cultural identity over rapid scaling; Changsha remains the brand's cultural anchor

In addition to its stamp card loyalty program, the brand uses other reciprocity tactics: stores provide free tasting samples of new teas to walk-in customers, and the brand gives small gifts during Chinese festivals, such as red envelopes during Spring Festival.

Questions

Q1. Tea Yan Yue Se was available only in Changsha for over seven years, and tourists planned entire trips around visiting the brand. Scarcity increases perceived value when supply is limited, explain how geographic scarcity — not artificial scarcity — drove consumer demand. Why does real scarcity (verifiable, consistent) build trust, while manipulative scarcity ("Only 10 left!" when 100 exist) erodes it? Apply the face test to both Tea Yan's scarcity and a manipulative example.

Q2. Founder Lü Liang personally writes product descriptions, and every Tea Yan cup features a hand-written-style poem or cultural reference. The brand positions itself as an authority on "authentic Chinese tea." Authority influences consumer decisions when a source is perceived as credible or expert, explain how Tea Yan Yue Se builds authority without celebrity endorsements or professional certifications. Is cultural authority different from professional authority? Use specific case facts to support your answer.

Q3. Tea Yan Yue Se has over one million Xiaohongshu posts, and "Tea Yan guide" is a standard section in Changsha travel guides. Social media shows massive queues, reinforcing the perception that "everyone is drinking it." Consensus or social proof influences decisions when people observe others' behavior, explain how the queue itself functions as social proof beyond just being a consequence of popularity. How does the feedback loop between social media posts and real-world queues amplify consensus?

Q4. Tea Yan Yue Se uses Chinese-style cup designs with classical poetry, literary product names like "Orchid Latte" and "Singing Oolong," and staff trained to explain each drink's cultural reference. Liking increases influence when people find a brand attractive, relatable, or culturally aligned, evaluate which element of the liking strategy — visual design, product naming, or staff interaction — is most effective at creating an emotional connection with customers. How does each element contribute differently to the overall sense of liking?

Q5. Tea Yan Yue Se's loyalty stamp card offers a free drink after six purchases, stores provide free tasting samples, and the brand gives small gifts during Chinese festivals such as red envelopes during Spring Festival. Reciprocity creates a sense of obligation to return a favor, analyze which of these three reciprocity tactics is most powerful in driving repeat purchases. Consider whether culturally meaningful gifts (red envelopes) create stronger reciprocity than transactional rewards (stamp cards). Use case facts to justify your reasoning.

Q6. Fans of Tea Yan Yue Se publicly identify as "茶颜粉" (Tea Yan fans), post check-in photos on social media, and participate in online fan communities with millions of members. Changsha locals describe the brand as "ours." Consistency leads people to act in ways that align with their past behavior and self-image and (unity strengthens when people feel part of an in-group), explain how consistency and unity work together to create brand loyalty that is difficult for competitors to break. Would a customer who has publicly identified as a Tea Yan fan and posted multiple check-in photos be more or less likely to switch to a new competitor? Why?

Keep this handout for reference throughout Unit 2.

2.3 New Coke — Market Research

Topic: 2.3 Market Research

Company: Coca-Cola

Background

In the 1980s, **Coca-Cola** was losing the "Cola Wars" to Pepsi. After World War II, Coca-Cola had owned **60% of the cola market**; by 1983, that share had fallen to **less than 24%**. Pepsi intensified the pressure by launching the "**Pepsi Challenge**" — blindfolded taste tests in which people overwhelmingly chose Pepsi over Coca-Cola. The public results were humiliating for a brand that had dominated the cola category for nearly a century.

Coca-Cola CEO **Roberto Goizueta** led the company's response. Born in Cuba and trained as a chemical engineer, Goizueta became president of Coca-Cola in 1979. Earlier in his career, he had successfully tweaked Coke's flavor for the Bahamas market — a past success that later created **confirmation bias** when he championed a much larger reformulation. Under his leadership, Coca-Cola launched "**Project Kansas**" — a secret plan to create a sweeter version of classic Coca-Cola that could defeat Pepsi in head-to-head taste tests.

Key Events

Date	Event
1983	Coca-Cola's market share falls below 24%, down from 60% after WWII. Pepsi's "Pepsi Challenge" campaign gains national attention
1983-1985	Project Kansas begins — Coca-Cola secretly develops a sweeter reformulation of classic Coca-Cola
1984	Coca-Cola spends approximately \$12 million (in today's dollars) conducting market research on New Coke, enrolling 200,000 participants in taste tests and focus groups. The taste test methodology gave participants only a small sip of each product — not a full can. This is significant because sip tests favor sweeter drinks (New Coke was sweeter), while drinking a full can favors less sweet, more familiar flavors (original Coca-Cola)
April 23, 1985 — "Black Tuesday"	Coca-Cola announces that New Coke will replace classic Coca-Cola. Pepsi had prepped 200+ reporters with tough questions before the press conference. Media immediately frames it as a "massive misstep"
April-July 1985	Coca-Cola's Atlanta headquarters receives 8,000+ angry calls per day . Demonstrations and letter-writing campaigns erupt across the country
July 1985 — 3 months later	Coca-Cola brings back the original formula as " Coca-Cola Classic "

Questions

Q1. Coca-Cola collected both quantitative data (200,000 taste tests) and qualitative data (focus groups) before launching New Coke. Businesses collect quantitative and qualitative data, explain how each type of data was collected in this case. Why was collecting both types insufficient to predict the outcome? What was the critical variable that neither data type measured?

Q2. Pepsi's market share growth (Coca-Cola declining from 60% to less than 24%) and the Pepsi Challenge results were both secondary data that Coca-Cola used to inform its strategy. Businesses interpret secondary data to assess opportunities and

threats, explain how Coca-Cola interpreted these two secondary data sources. How did action bias shape the interpretation, and what alternative explanation for the market share decline did Coca-Cola fail to consider?

Q3. Coca-Cola's hypothesis was: "Consumers prefer a sweeter cola; therefore, they will accept New Coke replacing Classic." A hypothesis is a testable statement, evaluate whether this hypothesis was properly formulated. What was missing from the hypothesis, and how did the incomplete hypothesis lead to a flawed research design?

Q4. The taste test gave participants a small sip of New Coke, not a full can. Sample design must reflect real-world conditions, explain why this sample design was flawed. How might the results have been different if participants had been given a full can to drink in a real-life setting (e.g., with a meal at home)? What does this case teach about the difference between a "taste test" and actual consumption?

Q5. Goizueta "believed that New Coke had to work so he ignored information that might have contradicted that belief." Confirmation bias can distort research interpretation, explain how confirmation bias affected this research. Identify two specific ways a neutral researcher — one without Goizueta's personal investment in the outcome — might have designed the research differently to avoid this bias.

Q6. Coca-Cola's taste test results could be displayed as a bar chart showing New Coke beating both Pepsi and Coke Classic. Data visualization helps communicate research findings, explain why this bar chart would be technically accurate but strategically misleading. What additional data — and what type of visualization — would have given Coca-Cola a more complete picture before the launch?

Keep this handout for reference throughout Unit 2.

2.4 Dyson — Case Handout

Topic: 2.4 Product

Background

Dyson Ltd. is a British technology company founded by James Dyson in 1993 (as Dyson Appliances Limited). The company is known for its premium vacuum cleaners, hand dryers, hair care products, and air treatment devices. As of 2024, Dyson generates over \$7 billion in annual revenue and sells products in more than 80 countries. James Dyson himself ranks 60th on the Bloomberg Billionaires Index with a net worth of \$26.2 billion.

James Dyson was born in 1947 in Cromer, Norfolk, England. He studied at the Byam Shaw School of Art and then the Royal College of Art (RCA), where his fascination with engineering was ignited. He collaborated with entrepreneur Jeremy Fry on projects like the Dyson Sea Truck, an amphibious landing craft, which honed his skills as a product designer. Before pursuing the vacuum cleaner, he invented the **Ballbarrow** — a wheelbarrow with a molded plastic trough and a ball instead of a wheel — demonstrating his pattern of identifying everyday problems and engineering better solutions. Despite initial UK success, the Ballbarrow design was replicated by US competitors, teaching Dyson an early lesson about protecting innovation.

Key Events

Year	Event
~1975	Invents the Ballbarrow (ball-wheelbarrow) while renovating his farmhouse; achieves UK success but loses to US copycats — learns the importance of protecting innovation
1978	Disassembles his Hoover vacuum cleaner; identifies root cause: clogged pores and reduced suction from accumulated dust in the bag
1978	Observes a sawmill's 30-foot conical centrifuge (dust removal system); recognizes the potential to miniaturize cyclone technology for a vacuum
1979	Begins building prototypes of a bagless vacuum in a barn behind his house
1979–1984	Builds 5,127 prototypes over five years, enduring financial strain and skepticism from others; wife supports the family by teaching art
1984	Perfects the Dual Cyclone technology (DC1 prototype) but every domestic manufacturer refuses to license it — they profit from selling replacement bags
~1985	Settles patent disputes with Amway over Dual Cyclone technology; learns to defend intellectual property
1986	Secures a licensing deal with Apex , a Japanese manufacturer; launches the G-Force vacuum in Japan at ~\$2,000
1986–1993	G-Force wins design awards in Japan and Europe; validates that customers will pay a premium for bagless technology
1993	Founds Dyson Appliances Limited in the UK, using his own savings and collateral; launches the DC01 with the campaign " Say goodbye to the bag "
1995	DC01 becomes the #1 selling vacuum in the UK, outselling established brands despite costing twice as much
1996–2001	Licenses technology to Phantom Technologies in North America; later takes direct control of US operations
~2000	Appoints Martin McCord as CEO so Dyson can refocus on design and engineering; McCord secures deals with Best Buy, Target, Home Depot
~2000	Launches the Contra Rotator washing machine (£1,000) — two drums rotating in opposite directions; positive reviews but commercial failure; discontinued after a few years
2002	

Year	Event
	Relocates manufacturing from Malmesbury, UK to Malaysia — frees up resources for R&D despite controversy over UK job losses
2006	Launches the Airblade hand dryer — enters a completely new product category
2016	Launches the Supersonic hair dryer at \$400 — disrupts a stagnant market through engineering innovation
2018	Launches the Airwrap multi-styler — becomes a viral social media phenomenon
2019	Attempts an electric car project — invests \$2.5 billion but ultimately cancels; demonstrates willingness to take bold risks
2020	Collaborates with TTP to develop ventilators during COVID-19 pandemic — showcases agility and social responsibility
2023	Launches the Airstrait wet-to-dry straightener; continues expanding the hair care portfolio
Ongoing	Dyson invests 15-20% of annual revenue in R&D, with research labs in the UK, Singapore, and the US; the company holds approximately 6,000 granted and pending patents

Questions

1. Prototype vs. MVP

Dyson built 5,127 prototypes before launching the G-Force in Japan. Why was the G-Force considered an MVP and not just another prototype? What specific characteristic makes an MVP different from a prototype?

2. Idea Screening

When Dyson approached vacuum manufacturers with his working prototype, every major brand refused to license it. Why? What does this tell us about the importance of screening for **business model conflicts**, not just technical feasibility?

3. Refinement

After the G-Force launched in Japan, Dyson spent seven years refining the product before launching the DC01 in the UK. What specific changes might he have made based on customer feedback? Why is this refinement stage critical?

4. Brand Equity

Dyson vacuums sell for 2–3x the price of competitors. Some customers say, "I know I'm paying for the brand." Is this a criticism or a compliment? What does it reveal about brand equity?

5. Portfolio Management

Dyson's vacuum line is in the maturity stage while its hair care products are in growth. How does managing products at different life cycle stages benefit the company? What would happen if all Dyson products were in the same stage?

6. Life Cycle Strategy

The Dyson Airwrap launched in 2018 and became a viral social media phenomenon. Meanwhile, Dyson's vacuum line has been on the market since 1993 and faces established competitors. Using the facts from the case, what PLC stage is each product likely in today? Given that Dyson invests 15–20% of annual revenue in R&D, what strategy should the company pursue for each product line?

2.4 Genki Forest (元气森林) — Case Handout

Topic: 2.4 Product

Background

Genki Forest (元气森林) is a Chinese beverage company founded in 2016 by **Binsen Tang** (唐彬森), a serial tech entrepreneur. The company produces sugar-free, zero-calorie sparkling water and other health-focused beverages. By 2021, annual sales reached approximately RMB 7 billion (~\$1 billion), and the company was valued at \$6 billion after its most recent funding round. Genki Forest products are now sold in over 40 countries.

Tang previously founded **ELEX Technology**, China's third-largest gaming company, which he sold for **\$434 million** in 2014. He then established **Challenger Ventures**, an investment firm supporting Chinese FMCG entrepreneurs. Tang and his founding team had **zero experience in the beverage industry** — they were all tech entrepreneurs. This outsider perspective became both a challenge and an advantage.

Genki Forest uses the Japanese kanji character '気' (**ki**) instead of the simplified Chinese '气' on its packaging, and the brand's visual identity is designed to appear Japanese. This positions Genki Forest as a premium imported product in consumers' minds, even though it is a Chinese company. The company also positions itself as a **"technology company"** rather than a traditional beverage company, applying data analytics, user research, and rapid product iteration — practices borrowed from the tech industry — to develop and market its drinks.

Key Events

Year	Event
2014	Binsen Tang sells ELEX Technology for \$434 million; establishes Challenger Ventures
2016	Founds Genki Forest with 30 people — all from the tech industry, none with beverage experience
2016	First product batch is a disaster — team destroys RMB 5 million of inventory at an additional cost of RMB 1 million; company survives on loans from Challenger Ventures
2016	Launches " Burning Tea " (燃茶) — a low-calorie, low-sugar oolong tea — via Weibo crowdfunding ; priced at RMB 6/bottle (premium for bottled tea)
2017	Team's daily routine: search Weibo for brand mentions, respond to every customer comment — building relationships with zero marketing budget
2018	Launches sparkling water (零卡气泡水) — zero-calorie, zero-sugar, in distinctive white bottles; immediate success — sales in months surpass what Burning Tea achieved in over a year
2018	Uses erythritol as sugar substitute — 70x more expensive than common alternatives (xylitol, aspartame) — justifies premium pricing through health positioning
2019	Shanghai sales reach 67% of Coca-Cola's level
2019	Launches milk-powdered drink with jasmine/Assam tea extracts and Xiancha (纤茶) based on traditional Chinese medicine ingredients
2020	Shanghai sales climb to 92% of Coca-Cola's
2020	Team grows to 3,000+ employees (from 30 in 2016)
2020	Begins building five proprietary factories across China to solve production capacity bottleneck
2020	Tang states that 95% of Genki Forest's planned products have yet to be launched
2021	Raises \$6 billion in funding; annual sales reach ~RMB 7 billion
2021	Uses KOL marketing with top Chinese influencers (Li Jiaqi, Viya) on Xiaohongshu and Douyin
2022	Targets exceeding RMB 10 billion in sales; products available in 40+ countries including US, Japan, Australia, UK

Year	Event
2022	Five factories fully operational — annual production capacity exceeds 5 billion bottles

3. Key Research Findings

- **Burning Tea customer feedback (2017):** Customers wanted more variety and bolder flavors.
- **Sugar-free positioning** resonated most strongly with early adopters.
- This feedback directly informed the development of the sparkling water line (2018), which surpassed Burning Tea's sales in months.

Questions

1. Idea Generation vs. Screening

Binsen Tang came from the gaming industry, not beverages. Why was this outsider perspective an advantage for idea generation, and what specific screening criteria did he need to evaluate that a beverage industry insider might have taken for granted?

2. Prototype Failure

The team's first batch of products (RMB 5 million) was destroyed at an additional cost of RMB 1 million. Was this a failure of the prototype stage or the concept testing stage? What should the team have done differently?

3. MVP and Refinement

Why was "Burning Tea" (2016) the MVP and not the sparkling water (2018)? What specific customer feedback from Burning Tea informed the development of sparkling water?

4. Branding Ethics

Genki Forest uses Japanese characters in its branding, deliberately creating the impression that it is a Japanese brand. Is this effective branding or misleading marketing? How does this relate to the concept of brand equity?

5. Product Life Cycle

Tang stated in 2020 that "95% of Genki Forest's planned products have yet to be launched." What does this reveal about the company's product portfolio management strategy? Why would a company in the growth stage already be planning so many new products?

6. Tech Company Approach

Genki Forest calls itself a "technology company," not a beverage company. What specific practices from the tech industry did they apply to product development, and how did these practices give them an advantage over traditional beverage companies?

2.5 Costco (开市客) — Case Handout

Topic: 2.5 Price

Background

Costco Wholesale Corporation is the world's third-largest retailer, operating over 890 warehouse clubs across 14 countries. Founded in 1983 in Seattle by **Jim Sinegal** and **Jeff Brotman**, Costco pioneered the membership warehouse model — customers pay an annual fee for the privilege of shopping at Costco's no-frills warehouses, where they find a limited selection of products at extremely low prices.

Costco's business model is radically different from traditional retailers. While most stores aim to maximize profit on each product sold, Costco **caps its markup at 14%** on most items and **15% on Kirkland Signature** (its private label). This means Costco intentionally limits how much money it makes on products — and instead generates almost all of its profit from **membership fees**.

As of 2025, Costco has over **135 million cardholders** worldwide, with a **membership renewal rate above 90%**. The company generates approximately **\$4.8 billion annually** from membership fees alone — a figure that represents nearly all of its operating profit.

Key Events

Year	Event
1976	Sol Price (Jim Sinegal's mentor) opens Price Club in San Diego — the first membership warehouse
1983	Jim Sinegal and Jeff Brotman open the first Costco in Seattle
1985	Costco introduces the hot dog + drink combo at \$1.50 — the price has never been raised
1993	Costco and Price Club merge to form PriceCostco (later renamed Costco Wholesale)
1995	Launches Kirkland Signature private label brand — now generates \$86 billion in annual sales
1997	Company officially renamed Costco Wholesale Corporation
2000s	Begins international expansion — Canada, UK, Japan, South Korea, Australia
2010	Costco becomes the #1 seller of organic foods in the US
2012	Costco becomes the #1 seller of wine in the world
2019	Opens first store in China (Shanghai) — 200,000 applications for membership before opening day
2020	COVID-19 drives record membership sign-ups; Costco's value proposition ("stock up, save") aligns with crisis shopping
2022	Costco raises US membership fee from \$60 to \$65 (first increase since 2017)
2024	Annual revenue exceeds \$250 billion ; market capitalization exceeds \$400 billion
2023	Sells 137 million rotisserie chickens in one year (up from 76 million in 2015)
2025	Operates 890+ warehouses in 14 countries; 310,000+ employees

3. Costco's Loss-Leader Strategy — Key Facts

- Rotisserie chicken is priced at **\$4.99** — this price has been in place since **2009** and has never been raised.

- The chicken is placed at the **very back of the store** — shoppers must walk through the entire warehouse to reach it, passing hundreds of products along the way.
 - In 2019, Costco built a **\$450 million poultry processing plant** in Fremont, Nebraska to control costs and protect the \$4.99 price point.
 - The Fremont plant ships **1 million chickens per week**.
 - Costco loses an estimated **\$30-40 million per year** selling rotisserie chicken at \$4.99 — intentionally, to drive store traffic.
 - Costco's **gross margin on products is approximately 12%**, compared to Walmart's approximately 24%. Costco compensates for lower margins through high sales volume and membership fees, which generate nearly all of its operating profit.
 - Costco **membership fees vary by country**: \$65/year in the US, £33.60/year in the UK, ¥299/year in China.
-

Questions

1. Loss-Leader Logic

Costco loses \$30-40 million per year on rotisserie chicken. Why doesn't Costco just raise the price of chicken to \$7 or \$8? What would be the consequences?

2. Membership as the Real Product

Costco's gross margin on products is ~12%, while Walmart's is ~24%. How does Costco make money with half the product margin?

3. The 14% Cap

Costco caps its markup at 14%. Most retailers mark up 25-50%. Why doesn't Costco raise its markup to 20% and make more profit on each sale?

4. Pricing Power Comparison

Xiaomi and Costco both sacrifice short-term profit for long-term gain. But their sources of pricing power are different. Compare how each company creates pricing power.

5. Pricing Strategy Identification

A new student says: "Costco uses penetration pricing because it sells products at low prices." Is this correct? Explain the difference between Costco's strategy and penetration pricing.

6. Legal Constraints

Costco charges \$65 for a membership in the US but charges different membership fees in different countries (e.g., £33.60 in the UK, ¥299 in China). Is this price discrimination? Is it legal?

2.5 Xiaomi (小米) — Case Handout

Topic: 2.5 Price

Background

Xiaomi Corporation is a Chinese electronics company founded in 2010 by **Lei Jun** (雷军), a serial entrepreneur who had previously led Kingsoft (a software company) and served as an angel investor in numerous tech startups. Xiaomi entered the smartphone market in 2011 with a radical proposition: sell flagship-quality phones at half the price of competitors.

Xiaomi's founding team included former executives from Google, Microsoft, and Motorola — engineers who understood both technology and global markets. The company had no retail stores, no advertising budget, and no manufacturing facilities. Instead, it sold phones exclusively online, used social media for marketing, and outsourced production to contract manufacturers. This "asset-light" model kept costs extremely low.

By 2024, Xiaomi had grown into the world's third-largest smartphone maker, with products sold in over 100 countries. The company expanded beyond phones into smart home devices, wearables, electric vehicles, and an entire ecosystem of connected products.

Key Events

Year	Event
2010	Lei Jun founds Xiaomi with a team of former Google, Microsoft, and Motorola engineers
2011	Launches the Mi 1 at 1,999 RMB (~\$310) — competitors with similar specs charge 4,000–5,000 RMB
2011	Original plan was 1,499 RMB, but manufacturing costs exceeded expectations; sold at near-cost
2011–2013	Sells phones exclusively online — no retail stores, no advertising; uses social media and word-of-mouth
2013	Launches Redmi line at even lower prices (799 RMB) to capture the budget segment
2014	Becomes China's #1 smartphone brand by market share; expands to India and Southeast Asia
2014	Mi 4 launched — price held at 1,999 RMB for fourth consecutive year, reinforcing "value" positioning
2018	Xiaomi listed on the Hong Kong Stock Exchange; market cap ~\$50 billion
2019	Spins off Redmi as an independent sub-brand — frees the Xiaomi brand to move upmarket
2019	Mi 9 launched at 2,999 RMB — first time the flagship price exceeds 1,999 RMB
2020	Mi 10 launched at 3,999 RMB — Xiaomi's first true premium flagship
2020	Lei Jun announces 5% hardware net profit margin cap — written into company's articles of association
2021	Xiaomi announces entry into the electric vehicle market with a \$10 billion investment
2024	Mi 15 launched at 4,499 RMB — premium positioning fully established
2024	SU7 Ultra electric car launched at 814,900 RMB (~\$113,000) — competing with Tesla and Porsche
2024	Xiaomi's "Human × Car × Home" ecosystem connects phones, cars, and smart home devices

3. Xiaomi Revenue Model — Key Facts

Revenue Source	Gross Margin	Role
Hardware (smartphones, IoT devices)	~5% (capped)	Customer acquisition tool — gets users into the ecosystem
Internet services (advertising, app store, games, fintech)	~72%	Main profit driver — monetizes the user base
Ecosystem products (smart home, wearables, lifestyle)	~15-20%	Growth driver — expands ecosystem stickiness

Key insight: *Xiaomi makes most of its profit from internet services, not hardware. The 5% hardware cap is a deliberate strategy to maximize the user base, which is then monetized through high-margin internet services.*

4. Penetration Pricing — Key Concepts

Six Features of Penetration Pricing

#	Feature	Definition
1	Low initial price	Setting price lower than competitors to attract customers quickly
2	Market share acquisition	Gaining significant market share early to deter new entrants
3	Volume sales and economies of scale	Selling in large volumes reduces per-unit costs, maintaining margins over time
4	Customer loyalty and retention	Building a loyal base that continues purchasing even as prices increase
5	Barrier to entry	Low price point makes it difficult for competitors to enter without incurring losses
6	Long-term profitability	Sacrificing short-term profits to achieve long-term gains through scale and retention

Four Limitations of Penetration Pricing

#	Limitation	Risk
1	Low profit margins and cost recovery	Initial low prices may not recover costs if volume doesn't materialize
2	Quality perception and brand value	Consumers may associate low price with low quality, damaging the brand
3	Dependency on price competition	Over-reliance on price makes it hard to compete on quality, innovation, or service
4	Customer retention and loyalty	Price-sensitive customers may switch when prices increase or competitors offer lower prices

Questions

1. Penetration Pricing Features

Xiaomi sold the Mi 1 at 1,999 RMB when comparable phones cost 4,000+ RMB. Using the six features of penetration pricing listed in the case, explain which feature was MOST critical to Xiaomi's success in the Chinese market.

2. Penetration Pricing Limitations

Which of the four limitations of penetration pricing was the biggest risk for Xiaomi, and how did the company address it?

3. Strategy Shift

Xiaomi used penetration pricing in 2011 but shifted to value-based pricing by 2020. What made this shift possible? Could Xiaomi have launched the Mi 1 at 4,499 RMB in 2011?

4. Pricing Power Evolution

In 2011, Xiaomi had almost no pricing power. By 2024, it could sell a car for 814,900 RMB. What specific factors increased Xiaomi's pricing power over time?

5. The 5% Rule

Lei Jun capped hardware profit at 5% — written into the company's legal documents. How does a company with a 5% profit cap still become one of the world's most valuable technology companies?

6. Xiaomi vs. Costco

Both Xiaomi and Costco use pricing strategies that sacrifice short-term profit for long-term gain. Compare their approaches: How are they similar? How are they different?

2.6 Stanley — Case Handout

Topic: 2.6 Place and Channels

Background

Stanley (officially Stanley 1913) is an American brand that has manufactured insulated drinkware and food storage products since **1913**, when inventor **William Stanley Jr.** patented the first all-steel vacuum bottle. For over a century, Stanley was known for its rugged, durable thermoses used by construction workers, military personnel, and outdoor enthusiasts.

By 2019, Stanley's annual revenue was approximately **\$70 million** — respectable but stagnant. The brand had a loyal but narrow customer base: men who valued durability over style. Then, in the span of just four years, Stanley underwent one of the most dramatic channel transformations in consumer brand history — growing from \$70 million to approximately **\$750 million** in annual revenue by 2023.

The catalyst was not a new product. It was a **new channel strategy** — selling the same type of product through different places, to a completely different customer.

Key Events

Year	Event
1913	William Stanley Jr. patents the first all-steel vacuum bottle; Stanley brand founded
1913–2015	Stanley builds a reputation as a rugged, utilitarian brand for construction workers, military, and outdoorsmen
~2016	Stanley launches the Quencher tumbler — a large, cup-holder-friendly insulated tumbler. It does not sell well in hardware stores.
2019	The Buy Guide (Ashlee LeSueur, Taylor Colange, Linley Hutchinson) — a lifestyle blog run by three women — discovers the Quencher and loves it
2019	The Buy Guide purchases 5,000 Quenchers and resells them on their blog; sells out in hours
2019	The Buy Guide writes to Stanley urging them to keep making the Quencher; Stanley had been planning to discontinue it due to poor sales through existing channels
2020	Stanley hires Terence Reilly as president; Reilly previously transformed Crocs from an "ugly shoe" into a fashion brand
2020–2021	Reilly identifies the Quencher's untapped potential among women; begins channel transformation
2021	Stanley launches colorful Quencher editions; begins selling through Target — a retailer whose core shoppers match the new target customer
2021	Stanley builds its DTC (direct-to-consumer) website (stanley1913.com) for exclusive drops and full brand control
2022	Stanley uses influencer marketing on TikTok and Instagram; Quencher becomes a social media phenomenon
2023	Revenue reaches approximately \$750 million — a 10x increase from 2019
Nov 2023	A woman's car catches fire; her Stanley Quencher survives with ice still inside. She posts a TikTok video that goes mega-viral. Stanley's president responds personally and offers to buy her a new car.
Dec 2023	Starbucks x Stanley limited-edition red Quencher launched exclusively at Target; sells out in minutes; resale prices reach \$300+
2024	Stanley faces market saturation — too many colors, too many drops, resale market frustration, criticism of artificial scarcity

Year	Event
2024	Stanley launches in international markets including China, expanding its channel strategy globally

3. Target Partnership — Key Facts

- Target's core shoppers are women aged 18–40 — exactly the Quencher's new target customer
- Target is known for trendy, design-forward, affordable products — aligns with Quencher's appeal
- Target's in-store displays and marketing aligned with Stanley's new brand image
- Hardware stores (traditional Stanley channel) cater to a male, construction-oriented demographic

Questions

1. Channel Type Identification

Before 2019, Stanley sold Quenchers through hardware stores like Home Depot. After 2020, Stanley sold through Target and its own website. Classify each channel as direct or indirect, and explain how the channel type affected Stanley's control over the customer experience.

2. Why Hardware Stores Failed

Stanley's Quencher did not sell well in hardware stores. Using the channel selection factors (cost, profitability, customer experience, reach), explain why this channel was a poor fit for the Quencher.

3. Why Target Worked

Stanley chose Target as its primary retail partner. What specific factors made Target a better channel for the Quencher than hardware stores?

4. Direct vs. Indirect Trade-off

Stanley uses both Target (indirect) and stanley1913.com (direct). Why doesn't Stanley sell ONLY through its own website? What would it lose?

5. The Buy Guide as an Unofficial Channel

The Buy Guide bought 5,000 Quenchers from Stanley and resold them on their blog. Was The Buy Guide acting as a direct channel, an indirect channel, or something else? What does this story reveal about channel selection?

6. When Channels Go Too Far

By 2024, Stanley faced criticism for too many limited-edition drops, reseller markups, and artificial scarcity. How can a channel strategy become too aggressive? What is the risk to the brand?

2.6 观夏 To Summer — Case Handout

Topic: 2.6 Place and Channels

Background

观夏 (To Summer) is a Chinese niche fragrance brand founded in 2019 in Beijing by **Elvis Liu** (刘慧璞). The brand specializes in Chinese cultural fragrances — incense, candles, perfumes, and home scent products — all inspired by traditional Chinese aesthetics and natural ingredients.

The brand's Chinese name "观夏" means "observing summer," evoking a sense of contemplation and seasonal beauty. Its English name "To Summer" carries the same poetic feeling. The brand positions itself around "东方人文香" (**Eastern humanistic fragrance**) — fragrances that tell stories about Chinese landscapes, seasons, poetry, and cultural memory.

From its founding, 观夏 took a radically different approach to distribution: it **refused to sell on any third-party platform** (no Tmall, no JD.com, no Douyin Shop) and limited sales to its own **WeChat mini-program** (with scheduled drops) and a small number of **boutique experience stores**. This deliberate channel restriction became the brand's defining characteristic — and its competitive advantage.

As of 2024, 观夏 operates fewer than 10 physical stores across China, yet commands some of the highest prices in the Chinese fragrance market and has a devoted following among young, educated Chinese consumers.

Key Events

Year	Event
2019	Elvis Liu founds 观夏 in Beijing; launches with a small collection of home fragrance products
2019	Opens first boutique in Beijing's Guozijian (国子监) hutong — a restored traditional courtyard that blends fragrance retail with cultural experience
2019	Launches WeChat mini-program as the ONLY online sales channel — products available only during scheduled weekly "drops"
2020	Refuses offers from Tmall, JD.com, and Douyin to join their platforms — maintains direct-channel-only strategy
2020	Opens Shanghai Hunan Road (湖南路) boutique — a restored old Shanghai lane house with art installations and a fragrance library
2021	Products regularly sell out within minutes during WeChat drops; customers share screenshots on Xiaohongshu
2021	Launches signature fragrance collection inspired by Chinese landscapes: "昆仑煮雪" (Kunlun Snow), "颐和金桂" (Summer Palace Osmanthus)
2022	Opens Chengdu Citang Street (祠堂街) boutique — restored historical building; becomes a cultural landmark
2022	Media coverage of 观夏's stores as cultural spaces — generates significant PR without paid advertising
2023	Expands to additional cities including Shenzhen, Hangzhou, Nanjing — each store uniquely designed to reflect local culture
2024	Continues to operate fewer than 10 stores — deliberately slow expansion to maintain exclusivity
2024	Maintains zero presence on any third-party e-commerce platform; WeChat mini-program remains the only online channel

Questions

1. Channel Type Classification

观夏 sells only through its WeChat mini-program and its own boutique stores. What type of channel are each of these? Why does 观夏 refuse to use indirect channels like Tmall or Sephora?

2. Channel Selection Trade-offs

观夏 deliberately limits its reach by refusing to sell on major platforms. What does 观夏 gain from this strategy, and what does it sacrifice? Is this a good trade-off?

3. The WeChat Mini-Program as Channel Innovation

观夏's WeChat mini-program only sells products during scheduled "drops" — most products sell out in minutes. How does this differ from a normal e-commerce store (like Tmall), and why does this serve 观夏's channel strategy?

4. Store as Brand Experience

观夏's boutique stores are described as "brand temples" rather than retail locations. How does this approach to physical stores differ from a traditional retailer like Sephora? What does 观夏 gain by investing so much in the store experience?

5. Channel Comparison

Stanley expanded its channels from hardware stores to Target + DTC. 观夏 refuses all third-party channels and sells only directly. Both strategies are successful. Why can two opposite strategies both work?

6. Growth Decision

观夏 is currently considering whether to open stores in 5 more cities or to finally launch on Tmall. Which option would you recommend, and why?

2.7 Florasis (花西子) — Case Handout

Topic: 2.7 Promotion and Marketing Communications

Background

Florasis (花西子) is a Chinese cosmetics brand founded in 2017 by **Hua Mantian** (花满天, real name Wu Chenglong 吴成龙), a former marketing executive at the cosmetics company 百雀羚. The brand name "花西子" combines "花" (flower) and "西子" (a classical nickname for the legendary beauty Xi Shi from ancient China).

Florasis positioned itself around "**东方美学**" (**Eastern aesthetics**) — blending traditional Chinese art, culture, and heritage with modern cosmetics. Every product is designed with Chinese cultural motifs: carved lipsticks inspired by traditional relief art, powder compacts with lotus and phoenix designs, and packaging featuring embroidery patterns.

From 2017 to 2020, Florasis grew from zero to approximately **30 billion RMB (~\$4.2 billion)** in annual transaction volume, becoming one of China's top cosmetics brands. The company achieved this through a marketing strategy that used every tool in the promotional mix — and pioneered new forms of digital marketing.

Key Events

Year	Event
2017	Hua Mantian founds Florasis in Hangzhou, China; launches with "Eastern aesthetics" positioning
2017	First products feature traditional Chinese design motifs — carved lipsticks, floral compacts
2018	Partners with Li Jiaqi (李佳琦) for livestream selling on Taobao Live — Li Jiaqi's passionate demos of Florasis lipsticks drive massive sales
2019	Florasis becomes one of the top-selling cosmetics brands on Tmall during Double 11 (Singles' Day)
2019	Launches the "Miao Impression" (苗族印象) collection — products inspired by Miao ethnic minority silver craftsmanship; generates massive PR coverage
2020	Enters the Japanese market — products sold on Amazon Japan with "Chinese beauty" positioning; Japanese media covers the brand as a cultural phenomenon
2020	Transaction volume reaches approximately 30 billion RMB (~\$4.2B)
2021	Partners with Dunhuang Research Academy for a limited-edition collection inspired by Dunhuang cave murals — major PR event
2021	Expands to Southeast Asia (Thailand, Malaysia, Philippines) through Shopee and Lazada
2022	Enters the US market through Amazon and its own DTC website
2022	Runs billboard ads in Times Square, New York — media advertising for international brand awareness
2023	79-yuan eyebrow pencil controversy : Li Jiaqi responds to a viewer questioning the price by saying "Have you worked hard enough? Have your wages gone up?" — massive social media backlash damages both Li Jiaqi's and Florasis's reputation
2023	Florasis issues a PR statement addressing the controversy; begins to diversify away from over-reliance on Li Jiaqi
2024	Continues international expansion; launches in Europe ; builds out KOC (Key Opinion Consumer) strategy to reduce KOL dependency

3. Florasis Marketing — Key Facts

Direct Marketing Examples

Channel	Detail
WeChat mini-program	Personalized product recommendations based on purchase history
Customer messages via WeChat	Birthday offers, loyalty rewards, new product alerts
Email campaigns	Targeted at international customers

Platform Strategy

Platform	What It Enables
Xiaohongshu (小红书)	Product discovery, KOC (Key Opinion Consumer) reviews
Douyin (抖音)	Short video content, livestream selling
WeChat	Customer retention, personalized DTC (direct-to-consumer)
Taobao/Tmall	Transaction data, customer demographics

Sales Promotion

Florasis runs limited-time discount bundles during major shopping festivals (e.g., Singles' Day/Double 11, 618), offers free sample gifts with purchase, and releases seasonal gift sets at promotional prices.

Questions

1. Promotional Mix Tools

Florasis uses all five tools in the promotional mix. For each tool, give one specific example of how Florasis uses it and explain what the tool achieves that the others cannot.

2. Personal Selling at Scale

Li Jiaqi's livestreams reach millions of viewers simultaneously. Is this still personal selling, or has it become media advertising? Explain using the CED's definitions.

3. Consequential vs. Routine Purchases

A customer watches Li Jiaqi's livestream and buys a Florasis lipstick for the first time (consequential purchase). The same customer later reorders the same lipstick through the WeChat mini-program (routine purchase). How do the promotional tools differ for each purchase?

4. Digital Marketing Advantages

Florasis uses Xiaohongshu, Douyin, WeChat, and Taobao/Tmall. What can Florasis learn from each platform's data that traditional cosmetics brands (using only TV ads and magazine ads) could never learn?

5. PR and Cultural Storytelling

Florasis's PR strategy frames every product launch as a cultural event (Miao collection, Dunhuang collaboration). Why is this more effective than simply running more advertisements?

6. Diversifying the Promotional Mix

After the 79-yuan controversy, Florasis began reducing its dependence on Li Jiaqi. What specific steps could Florasis take to diversify its promotional mix and reduce the risk of a single spokesperson damaging the brand?

3.4 DK Coffee Lab — Business Expenses

Topic: 3.4 Business Expenses

Company: DK Coffee Lab

Background

DK Coffee Lab is a specialty coffee roaster and café founded in 2022 in Portland, Oregon, by **Daniel Kim**, a former software engineer who left the tech industry to pursue his passion for specialty coffee. The company operates two business lines: **retail cafés** (selling brewed drinks and pastries directly to consumers) and a **wholesale roasting operation** (selling freshly roasted beans to local restaurants, offices, and grocery stores). As of 2025, DK Coffee Lab operates **three café locations** in Portland and a dedicated **roasting facility** that supplies beans to over 40 wholesale accounts.

Daniel started DK Coffee Lab with **\$120,000** in personal savings and a small loan from a family member. He did not take outside investment — every dollar of startup funding came from his own pocket or close relationships. The first café opened in a 900-square-foot storefront in Portland's Alberta Arts District after five months of planning, legal setup, and build-out.

DK Coffee Lab's competitive advantage is **direct-trade sourcing**: Daniel travels to coffee farms in Colombia, Ethiopia, and Guatemala twice a year to personally select beans, negotiating directly with farmers rather than going through commodity brokers. This sourcing model produces higher-quality coffee but creates **higher and more variable direct costs** than competitors who buy commodity-grade beans on the open market.

As of 2025, DK Coffee Lab generates approximately **\$1.8 million in annual revenue** across its three cafés and wholesale accounts. The company employs **28 people** — baristas, a head roaster, a small operations team, and Daniel himself. The business is **profitable but thin-margin**: net income is approximately 6–8% of revenue, which is typical for the specialty coffee industry.

Key Events

Year	Event
Jan 2022	Daniel Kim leaves his software engineering job; begins writing a business plan for a specialty coffee roaster and café
Mar 2022	Registers DK Coffee Lab as an LLC; hires a business attorney (\$3,500 in legal fees); obtains a food service license and a commercial roasting permit (\$1,200 in licensing fees)
Apr 2022	Signs a 3-year lease on a 900 sq ft storefront in the Alberta Arts District; pays first and last month's rent plus a \$4,000 security deposit (\$11,400 total upfront)
May-Sep 2022	Build-out of the café: plumbing, electrical, interior construction, furniture, signage, POS system, and a commercial espresso machine (\$45,000); purchases a 15 kg coffee roaster for a future roasting operation (\$28,000)
Jun 2022	First sourcing trip to Colombia — selects three single-origin lots; commits to purchasing 2,400 lbs of green coffee beans at \$4.50/lb (\$10,800 — initial inventory)
Oct 2022	Café #1 opens — first month revenue is \$18,000; operating costs exceed revenue; Daniel does not pay himself a salary
2023	Café #1 stabilizes at ~\$32,000/month in revenue; launches wholesale roasting, selling beans to 12 local restaurants and offices; hires 8 employees
Jun 2023	Purchases a commercial delivery van (\$35,000) for wholesale deliveries; adds commercial auto insurance and product liability insurance (\$6,800/year combined)
Jan 2024	Opens Café #2 using retained earnings from Café #1 — total build-out cost: \$62,000 (higher due to larger space and kitchen equipment for pastries)
Sep 2024	Opens Café #3 and moves roasting operations to a separate 2,000 sq ft roasting facility — facility lease: \$3,800/month; build-out: \$22,000
2025	Annual revenue reaches \$1.8 million; wholesale accounts grow to 40+; employs 28 people; begins planning an e-commerce website for direct-to-consumer online sales

3. DK Coffee Lab Financial Data

Startup Cost Breakdown

Item	Cost
Espresso machines (2)	\$7,000
Grinders (2)	\$2,400
Brewing equipment	\$1,400
POS system	\$3,500
Lease deposit	\$11,100
Renovation	\$17,000
Initial inventory	\$14,000
Smallwares	\$5,200
Furniture	\$4,200
Signage	\$3,100
Launch marketing	\$4,200
Professional fees	\$2,500
Working capital	\$12,000
Insurance (first year)	\$17,400
Contingency (10%)	\$10,470
Total Startup Cost	~\$115,700

Funding Sources:

Source	Amount	Terms
Personal savings	\$100,000	Daniel's own capital
Uncle loan	\$20,000	Repaid over 18 months, no interest

Fixed vs. Variable Monthly Costs (Per Cafe)

Fixed Costs: \$9,570/month per cafe

Fixed Cost Item	Monthly Amount
Rent	\$3,700
Insurance	\$1,450
Loan payment	\$1,200
Software	\$520
Base salaries	\$2,700
Total Fixed	\$9,570

Variable Costs: ~\$8,000/month (coffee beans, milk, cups, supplies, hourly wages — fluctuates with sales volume)

Roasting Facility

Item	Amount
Roasting facility rent	\$45,600/year

Insurance Breakdown

Insurance Type	Annual Cost
General liability	\$4,800
Property insurance	\$3,600
Workers' compensation	\$4,200
Business interruption	\$2,400
Product liability	\$2,400
Total Insurance	\$17,400/year

Monthly Operating Expenses (Company-Wide)

Expense Category	Monthly Amount
Rent	\$14,900
Manager salaries	\$18,000
Barista wages	\$8,400
Coffee beans	\$4,200
Milk & supplies	\$3,100
Insurance	\$1,450
Utilities	\$2,800
Marketing	\$1,500
Software/tech	\$520
Loan payment	\$1,200
Maintenance	\$800
Miscellaneous	\$380
Total Monthly Operating Expenses	\$51,250
Total Annual Operating Expenses	\$615,000

Questions

1. Classifying Startup Costs

Daniel spent \$115,700 to launch DK Coffee Lab., classify each of the following as either a **one-time expenditure** or an **initial expense**: (a) the \$3,500 attorney fee, (b) the \$10,800 in green coffee beans, (c) the \$28,000 roaster, and (d) the \$4,200 in launch marketing. Why does the distinction matter for financial planning?

2. Total Startup Capital

Daniel funded his \$115,700 startup with \$100,000 in personal savings and a \$20,000 family loan. Startup costs are one-time expenditures plus initial expenses incurred while establishing the business, calculate whether Daniel had enough

startup capital. What happens if Café #1's first three months generate only \$15,000/month in revenue while fixed costs are \$9,570/month and variable costs are ~\$8,000/month?

3. Direct vs. Indirect Costs

DK Coffee Lab's wholesale roasting operation buys green coffee beans, roasts them, and sells packaged bags to restaurants and grocery stores. Direct costs are tied to production of specific goods; indirect costs are costs of running the business, classify each of the following: (a) green coffee beans, (b) the roaster operator's salary, (c) the accounting software subscription, and (d) the roasting facility rent. Explain why the classification of roasting facility rent as a "direct cost" might surprise some students.

4. Fixed vs. Variable

During a slow month, DK Coffee Lab's Café #1 serves 300 drinks/day instead of the usual 500. Fixed expenses do not change with production levels; variable expenses increase as production increases, explain which of the following costs decrease and which stay the same: (a) rent, (b) green coffee beans, (c) barista wages (hourly), (d) insurance, and (e) cups and lids. What is the strategic implication of having high fixed costs during a slow month?

5. COGS vs. Cost of Sales

DK Coffee Lab operates two business lines: the **roasting operation** (selling packaged beans — a good) and the **cafés** (serving drinks — a service)., explain why the direct costs of the roasting operation are called **COGS** while the direct costs of the cafés are called **cost of sales**. What is the key difference between goods and services that drives this distinction?

6. Insurance and Risk

Daniel carries \$17,400/year in insurance across five policies. He considered dropping product liability insurance (\$2,400/year) to save money. Businesses buy insurance to protect against financial losses; businesses vary in their willingness to accept risk and/or pay for insurance, evaluate Daniel's decision to keep the policy. If DK Coffee Lab served 500 customers/day across three cafés, and one customer filed a food-contamination lawsuit costing \$100,000, how many years of product liability premiums would it take to equal the cost of that single lawsuit?

7. Operating Expenses in Practice

DK Coffee Lab's company-wide operating expenses total approximately \$51,250/month. Businesses face recurring indirect costs called operating expenses, which are typically fixed and include occupancy expenses, salaries, marketing, supplies, utilities, maintenance, and insurance, identify which of DK Coffee Lab's operating

expenses from the table above are fixed and which are semi-variable. If Daniel's busiest café generates \$45,000/month in revenue while his slowest generates only \$22,000/month, which operating expenses does each café share equally, and what does this mean for the profitability of the slower location?

Keep this handout for reference throughout Unit 3.

3.5 DK Coffee Lab — Financial Capital

Topic: 3.5 Financial Capital

Company: DK Coffee Lab, Part 2

Continues from: 3.4 DK Coffee Lab (Business Expenses)

Background

This case continues the story of **DK Coffee Lab**, the specialty coffee roaster and café founded in 2022 by **Daniel Kim** in Portland, Oregon. (See the 3.4 handout for the full startup history and cost structure.)

By early 2025, DK Coffee Lab operates **three café locations** and a **dedicated roasting facility**, employs 28 people, and generates approximately **\$1.8 million in annual revenue**. The business is profitable — net income is roughly 6–8% of revenue (~\$108,000–\$144,000/year). Daniel has repaid the \$20,000 family loan from the original startup and has accumulated approximately **\$95,000 in retained earnings** (profits saved inside the business over three years).

Now Daniel faces a pivotal decision. He sees three growth opportunities:

1. **Café #4** — a larger location in Portland's Pearl District with a kitchen for food service. Estimated build-out cost: **\$85,000**.
2. **E-commerce platform** — a direct-to-consumer website selling roasted beans online, with national shipping. Estimated development and first-year operations cost: **\$60,000**.
3. **Roasting capacity expansion** — upgrading the roasting facility with a larger roaster (60 kg) to serve a growing wholesale base. Estimated cost: **\$75,000**.

The total investment needed is approximately **\$220,000**. Daniel has \$95,000 in retained earnings and \$30,000 in personal savings — a combined **\$125,000**. He is **\$95,000 short**. This is where the question of **external financial capital** begins.

Key Events

Year	Event
2022	Daniel bootstraps DK Coffee Lab with \$100,000 in personal savings + \$20,000 family loan (see 3.4 handout)
2022–2024	Business grows from 1 café to 3 cafés + roasting facility; all growth funded by retained earnings (bootstrapping)
Early 2025	Daniel identifies three expansion opportunities totaling \$220,000; has \$125,000 available — needs \$95,000 more
Mar 2025	Meets with a Small Business Administration (SBA) loan officer at a local bank to discuss a \$100,000 business loan
Apr 2025	A former tech colleague, Sarah Park , offers to invest \$100,000 in exchange for 15% equity in DK Coffee Lab
May 2025	Daniel's college friend, Michael Torres , offers to lend \$50,000 at 8% interest (below the bank's 10.5% rate)
Jun 2025	Daniel must choose: accept the bank loan (debt), accept Sarah's offer (equity), accept Michael's offer (informal loan), or combine sources
Jul 2025	Daniel converts DK Coffee Lab from an LLC to a C-corporation in preparation for future growth and potential equity investors
Aug 2025	After developing a detailed business plan and financial projections, Daniel presents his pitch to all three potential funders
Sep 2025	Daniel secures funding and begins executing the expansion plan

3. DK Coffee Lab Funding and Financial Data

Bootstrapping Sources (2022–2024)

Bootstrapping Source	Amount	Details
Personal savings	\$100,000	Daniel's entire software engineering savings
Uncle loan	\$20,000	Repaid within 18 months; no interest charged
Retained earnings	~\$95,000	All net income from 2023–2024 reinvested into the business

Café #4 Break-Even Analysis

Metric	Value
Monthly fixed costs	\$14,200
Variable cost per drink	\$2.15
Average price per drink	\$5.75
Contribution margin per drink	\$3.60
Monthly break-even volume	~3,945 drinks/month (~132/day)
Capacity	500 drinks/day (15,000/month)
Break-even as % of capacity	~26%

Wholesale Revenue

Metric	Value
Monthly wholesale revenue	\$45,000
Monthly wholesale costs	\$18,000
Payment terms	Net-30 (clients pay 30 days after delivery)

SBA Loan — Portland Community Bank

Detail	Value
Lender	Portland Community Bank (SBA 7(a) program)
Amount	\$100,000
Interest rate	10.5% annual
Term	5 years (60 monthly payments)
Monthly payment	~\$2,150
Total interest paid	~\$29,000
Eligibility requirements	3+ years of operation; proven revenue; 3 years of financial statements

Angel Investor Offer — Sarah Park

Detail	Value
Investor	Sarah Park (former tech colleague)
Investment	\$100,000
Equity offered	15% of DK Coffee Lab
Implied valuation	\$667,000

Friends-and-Family Loan — Michael Torres

Detail	Value
Lender	Michael Torres (college friend)
Amount	\$50,000
Interest rate	8% annual
Term	3 years
Monthly payment	~\$1,566
Total interest paid	~\$6,400

Daniel Kim's Credit Profile

Detail	Value
Credit score	780
Equipment collateral value	~\$60,000

Team Qualifications

Team Member	Role	Background
Daniel Kim	Founder/CEO	8 years as software engineer at Google
Maria Santos	Head Roaster	12 years in specialty coffee; former roastmaster at Stumptown Coffee Roasters
James Liu	Operations Manager	MBA from Portland State University; 5 years in restaurant management

Product-Market Fit Evidence

Metric	Value
Customer return rate	90%
Wholesale accounts	40+
Year-over-year revenue growth	25%
Price premium over competitors	15% (direct-trade sourcing)

Market Data

Market	Size
Portland specialty coffee market	\$180 million/year
National e-commerce coffee market	\$5 billion/year

Comparable Transactions

Transaction	Valuation Multiple
Seattle specialty roaster (sale)	1.2× annual revenue

Questions

1. The Bootstrapping Ceiling

Daniel bootstrapped DK Coffee Lab from \$0 to \$1.8M in revenue over three years without any outside funding., explain why bootstrapping is no longer sufficient for DK Coffee Lab's next phase of growth. What is the specific financial constraint that forces Daniel to seek external capital?

2. Break-Even Analysis

Café #4 has monthly fixed costs of \$14,200, an average variable cost of \$2.15 per drink, and an average drink price of \$5.75. Entrepreneurs evaluate their need for external capital by calculating how many goods or services they would need to sell in a period to break even, calculate the monthly break-even point in number of drinks. If Café #4 has a capacity of 500 drinks/day, at what percentage of capacity does the café break even? What does this tell Daniel about the risk level of this expansion?

3. Growth Investment and Cash Flow Timing

Established businesses seek external financial capital for new product development, replacing fixed assets, and increasing sales volume and (businesses seek external capital to manage cash flow because revenue collection can be irregular while expenses must always be paid), answer both parts: (a) Which of Daniel's three expansion projects (Café #4, e-commerce, roasting capacity) represents new product development, which represents replacing fixed assets, and which represents increasing sales volume? (b) DK Coffee Lab's wholesale clients pay on Net-30 terms, but Daniel must buy beans and pay staff immediately. If DK Coffee Lab has \$45,000/month in wholesale revenue and \$18,000/month in wholesale costs, how much cash is "trapped" in accounts receivable at any given time? Why does this timing mismatch create a need for external capital?

4. Debt vs. Equity Trade-off

Daniel must choose between Sarah Park's \$100,000 equity investment (15% ownership) and the bank's \$100,000 loan (10.5% interest, 5 years)., calculate the total cost of each option over five years. Under what business outcome is the **loan cheaper**, and under what outcome is the **equity cheaper**?

5. Friends and Family Financing

Michael Torres offers to lend Daniel \$50,000 at 8% interest — 2.5 percentage points below the bank's 10.5% rate. New businesses often borrow from friends and family or use equity financing, explain why Michael's rate is below market. What risks does this arrangement create that do not exist with a bank loan?

6. Business Maturity and Funding Options

Established businesses with proven revenue can obtain bank loans and (corporations can obtain funds by issuing bonds or shares of stock), answer both parts: (a) Why is DK Coffee Lab eligible for an SBA bank loan in 2025 when it would not have been eligible in 2022? What specific evidence of "proven revenue and capacity to repay" does the bank require? (b) Daniel's attorney suggests issuing corporate bonds to raise the \$95,000. Explain why this is or is not a practical option for a business of DK Coffee Lab's size.

7. Lender Benefits and Risks

Portland Community Bank is considering Daniel's \$100,000 loan request., explain: (a) What financial asset does the bank receive in exchange for providing the loan, and what income does it earn? (b) What is the bank's primary risk, and how does the bank protect itself against that risk? (c) If DK Coffee Lab defaults and the bank seizes Daniel's equipment (worth \$60,000), how much would the bank lose on its \$100,000 loan?

8. Investor Returns and Capital Gain

Sarah Park invests \$100,000 for 15% of DK Coffee Lab., answer: (a) What two ways can Sarah earn a return on her investment? If Daniel reinvests all profits and pays no dividends for five years, how does Sarah earn a return? (b) If DK Coffee Lab's value grows from \$667,000 to \$2,000,000 over five years, what is Sarah's capital gain? What is her approximate annual rate of return, calculated (total dollars gained ÷ price of the asset)?

9. Risk Tolerance

Sarah Park expects a 15–30% annual return on her \$100,000 investment. Portland Community Bank expects a 10.5% annual return on its \$100,000 loan. Michael Torres expects only 8%. Lenders and investors vary in their risk tolerance; they expect a higher rate of return when they invest in riskier assets, explain why these three funders have different expected returns. What does this reveal about the relationship between risk and return?

10. The Business Plan and Pitch

Daniel must prepare a pitch to convince both the bank and Sarah to fund his expansion. Lenders and investors require a business plan that includes value

proposition, market research, marketing strategy, and financial projections and (lenders and investors may consider the qualifications of the leadership team), answer: (a) What specific financial projections must Daniel include to justify a \$95,000 funding request? (b) How does Daniel's team (see the Team Qualifications table) strengthen his pitch to Sarah, who is evaluating the business as an equity investor rather than a lender?

11. Valuation and Product-Market Fit

Sarah values DK Coffee Lab at \$667,000 (based on her \$100K for 15% offer). Daniel believes the company is worth \$1,000,000. Lenders and investors rely on financial reports and external industry data to estimate business valuation and (a funding request is more likely to succeed when the business provides evidence of product-market fit), answer: (a) What specific evidence from DK Coffee Lab's track record demonstrates product-market fit? (b) If Daniel negotiates a \$1,000,000 valuation, how much equity would Sarah's \$100,000 buy? (c) How do comparable transactions in the specialty coffee industry support or challenge Daniel's \$1,000,000 valuation claim?

Keep this handout for reference throughout Unit 3. This case continues in 3.7 DK Coffee Lab, Part 3 (The Balance Sheet and Net Worth).

3.6 Hershey — The Income Statement

Topic: 3.6 The Income Statement

Company: Hershey

Background

The Hershey Company is one of the largest chocolate and confectionery manufacturers in the world, headquartered in Hershey, Pennsylvania. Founded in 1894 by **Milton S. Hershey**, the company produces iconic brands including Hershey's Kisses, Reese's Peanut Butter Cups, Kit Kat (under license in the US), Twizzlers, and Ice Breakers. As of 2024, Hershey generates approximately **\$11.2 billion in annual revenue**, employs over **19,000 people**, and sells products in more than **80 countries**.

Hershey's business model is straightforward: the company **manufactures and sells confectionery products** (chocolate, candy, mints, and snacks) through retail channels including grocery stores, convenience stores, vending machines, and increasingly through e-commerce. Approximately **90% of revenue** comes from North America.

In 2024, Hershey faces a **major financial challenge**: the global price of **cocoa beans** — the primary raw material for chocolate — surged to record highs. Cocoa prices reached over **\$10,000 per metric ton** in early 2024, more than **tripling** from \$3,000 in late 2022. This is the most severe commodity cost increase in the chocolate industry in decades, driven by poor harvests in West Africa (which produces ~70% of the world's cocoa) caused by climate change, disease, and aging trees.

This cocoa price surge directly impacts Hershey's **Cost of Goods Sold (COGS)** and compresses the company's **profit margins**. Hershey's management must decide how to respond: absorb the cost increase (reducing profits), raise prices (risking lower sales volume), reformulate products (reducing cocoa content), or some combination of all three.

Key Events

Year	Event
1894	Milton S. Hershey founds the Hershey Chocolate Company in Lancaster, Pennsylvania
1900	Introduces the Hershey's Milk Chocolate Bar — the first mass-produced chocolate in America
1907	Introduces Hershey's Kisses — now produces over 70 million Kisses per day
1928	H.B. Reese invents Reese's Peanut Butter Cups — later acquired by Hershey in 1963
1970	Hershey becomes a publicly traded company on the NYSE (ticker: HSY)
2018	Acquires SkinnyPop parent company Amplify Snack Brands for \$1.6 billion — diversifying beyond chocolate into healthier snacks
2021	Revenue exceeds \$8 billion for the first time; acquires Pirate's Booty and other snack brands
2022	Revenue reaches \$10.4 billion (+14% year-over-year) driven by price increases and strong demand; net profit reaches \$1.64 billion
2023	Cocoa prices begin rising sharply; Hershey implements additional price increases; revenue grows to \$11.2 billion but COGS rises faster, compressing margins; net profit falls to \$1.45 billion
Early 2024	Cocoa prices surge past \$10,000/metric ton (up from \$3,000 in late 2022); Hershey announces further price increases of 5–7% and product size reductions; analysts project margin pressure for 2024–2025
2024	Revenue slightly declines to \$11.16 billion as price increases reduce consumer demand; COGS reaches \$6.58 billion ; net profit falls to \$1.50 billion ; Hershey begins exploring cocoa alternatives and supply chain hedging strategies

Hershey Income Statement Summary (Fiscal Years 2022–2024)

All figures in billions of USD (rounded). Based on publicly available Hershey financial reports.

Income Statement Item	2022	2023	2024
Net Revenue	\$10.42	\$11.16	\$11.16
Less: Cost of Goods Sold (COGS)	(\$5.68)	(\$6.32)	(\$6.58)
= Gross Profit	\$4.74	\$4.84	\$4.58
Less: Operating Expenses			
Selling, general & administrative (SG&A)	(\$2.06)	(\$2.20)	(\$2.22)
Other operating items	(\$0.03)	(\$0.04)	(\$0.03)
= Total Operating Expenses	(\$2.09)	(\$2.24)	(\$2.25)
= Operating Profit	\$2.65	\$2.60	\$2.33
Less: Interest Expense	(\$0.16)	(\$0.19)	(\$0.21)
= Pretax Income	\$2.49	\$2.41	\$2.12
Less: Tax Expense	(\$0.57)	(\$0.58)	(\$0.52)
= Net Profit (Bottom Line)	\$1.92	\$1.83	\$1.60

Profit Margins (2022-2024)

Margin	2022	2023	2024	Trend
Gross Profit Margin (Gross Profit ÷ Revenue)	45.5%	43.4%	41.0%	↓ Declining
Operating Profit Margin (Operating Profit ÷ Revenue)	25.4%	23.3%	20.9%	↓ Declining
Net Profit Margin (Net Profit ÷ Revenue)	18.4%	16.4%	14.3%	↓ Declining

Year-over-Year Change	2022→2023	2023→2024
Revenue growth	+7.1%	+0.0%
COGS growth	+11.3%	+4.1%
Net profit change	−4.7%	−12.6%

Questions

1. Income Statement Structure

Review Hershey's income statement for 2022–2024. An income statement organizes information into revenue, COGS, and operating expenses, plus interest and taxes, identify the three largest line items by dollar amount on Hershey's 2024 income statement. Why is it important to separate costs into these categories rather than listing all expenses in a single total?

2. Gross Profit and COGS

Gross profit = revenue – COGS, calculate Hershey's gross profit margin for each year (2022–2024). What specific cost driver caused gross profit to decline from \$4.74B to \$4.58B even as revenue grew? Why is gross profit margin the first margin analysts examine when evaluating a company facing rising input costs?

3. Operating Expenses and Operating Profit

, explain the difference between COGS and operating expenses using specific Hershey examples. If Hershey's advertising spending (a selling expense) increased by \$100 million in 2024, would this affect gross profit, operating profit, or both? Explain.

4. Interest, Taxes, and the Bottom Line

, trace the calculation from operating profit to net profit for Hershey's 2024 data. Interest expense increased from \$0.16B (2022) to \$0.21B (2024). What does this suggest about Hershey's use of debt? How does this increase affect pretax income and, ultimately, net profit?

5. Profit Margin Analysis

, calculate all three profit margins (gross, operating, net) for both 2022 and 2024. Which margin declined the most in percentage-point terms? What does this tell you about where in the income statement Hershey's financial performance deteriorated most severely?

6. Benchmarking and Percent Change

, answer both parts: (a) Hershey's 2024 gross profit margin (41.0%) is above the industry average (~40%). Does this mean Hershey has no reason to be concerned? Why or why not? (b) Using the percent change formula, calculate the rate of change in COGS from 2022 to 2024. Compare this to the rate of change in revenue over the same period. What does the gap between these two percentages reveal?

7. Financial Uncertainty and PESTEL

Businesses face financial uncertainty because incomes and expenses fluctuate in response to competitive pressure and PESTEL forces, identify which specific PESTEL force (Political, Economic, Social, Technological, Environmental, Legal) is primarily responsible for the cocoa price surge. How does this external force propagate through Hershey's income statement — which specific line items are affected, and in what order?

8. Projected Income Statements

, review the projected 2025 income statement for Hershey. (a) The projection assumes revenue grows 3% while COGS grows 3.3%. Why would Hershey accept a scenario where costs grow faster than revenue? (b) What are three specific risks that could cause Hershey's actual 2025 results to be significantly worse than the projection?

9. Consumer Budgeting Parallel

, draw a direct parallel between Hershey's income statement and a consumer's monthly budget. If a consumer earns \$5,000/month after taxes (net pay), spends \$2,000 on essentials (rent, food, transportation), \$1,500 on discretionary items (entertainment, dining out), and \$300 on student loan payments, calculate their "net profit margin" (savings ÷ income). How does this compare to Hershey's 2024 net profit margin? What lesson from Hershey's margin compression applies to personal budgeting?

10. Revenue Estimation

Future revenues are estimated based on pricing strategies and market research about customer demand and industry trends, explain how Hershey would estimate its 2025 revenue. If Hershey implements a 4% price increase but market research predicts a 1% decline in unit volume, what is the projected revenue growth rate? Under what conditions could this estimate be significantly wrong?

11. Expense Estimation and Budgeting

Future COGS and operating expenses are estimated based on planned production processes, supply chain costs, and projected expenses, answer: (a) Hershey's COGS projection for 2025 is \$6.80B. What specific data inputs would Hershey use to

arrive at this number? (b) Why is R&D spending projected to increase 8% — faster than any other operating expense category? How does this spending relate to Hershey's response to the cocoa cost challenge?

12. Developing a Projected Income Statement

, imagine you are developing a projected income statement for a new chocolate startup that plans to sell artisan chocolate bars for \$8 each. You expect to sell 50,000 bars in Year 1. Your COGS is \$3.50 per bar. Fixed operating expenses (rent, salaries, marketing) total \$120,000 per year. Interest expense is \$5,000. The tax rate is 24%. Calculate the projected: (a) revenue, (b) gross profit and gross profit margin, (c) operating profit and operating profit margin, and (d) net profit and net profit margin.

Keep this handout for reference throughout Unit 3.

3.7 DK Coffee Lab — The Balance Sheet and Net Worth

Topic: 3.7 The Balance Sheet and Net Worth

Company: DK Coffee Lab, Part 3

Continues from: 3.4 (Business Expenses) and 3.5 (Financial Capital)

Background

This case continues the story of **DK Coffee Lab**, the specialty coffee roaster and café founded by **Daniel Kim** in Portland, Oregon. (See the 3.4 and 3.5 handouts for the startup and financing history.)

After evaluating his funding options in mid-2025, Daniel made the following decisions:

Decision	Outcome
SBA bank loan	Accepted — \$100,000 at 10.5% interest, 5-year term, starting October 2025
Michael Torres (friend loan)	Accepted — \$50,000 at 8% interest, 3-year term, starting October 2025
Sarah Park (angel investor)	Declined — Daniel decided not to give up equity; he wanted to retain full ownership
Entity conversion	Completed — DK Coffee Lab converted from an LLC to a C-corporation in July 2025

Daniel combined the \$150,000 in loans with \$95,000 of his own funds (\$70,000 retained earnings + \$25,000 personal investment) to fund all three expansion projects:

Project	Cost	Status by Dec 2025
Café #4 (Pearl District)	\$85,000	Open — launched November 2025
E-commerce website	\$60,000	Live — soft-launched December 2025; first orders shipping January 2026
Roasting capacity upgrade (60 kg roaster)	\$75,000	Operational — installed November 2025

As of **December 31, 2025**, DK Coffee Lab operates **four cafés**, a roasting facility, and an e-commerce platform. The company employs **36 people** and is projecting **\$2.4 million in annual revenue for 2026** (up from \$1.8M in 2025, driven by Café #4 and e-commerce).

Daniel's accountant has prepared the company's first **balance sheet as a C-corporation** — dated December 31, 2025. Daniel is reviewing it for the first time.

Key Events

Year	Event
Jul 2025	DK Coffee Lab converts from LLC to C-corporation ; Daniel issues 1,000 shares of common stock to himself at \$100/share (\$100,000 in stock equity)
Sep 2025	Secures SBA bank loan (\$100,000) and Michael Torres's friend loan (\$50,000) — total external capital: \$150,000
Oct 2025	Begins build-out of Café #4; installs new 60 kg roaster; begins e-commerce development
Nov 2025	Café #4 opens ; new roaster is fully operational
Dec 2025	E-commerce website soft-launches ; Daniel receives first balance sheet from his accountant
Jan 2026	Daniel reviews the balance sheet to assess whether DK Coffee Lab has sufficient working capital to fund day-to-day operations across four cafés and the e-commerce platform

DK Coffee Lab Balance Sheet — December 31, 2025

Assets

	Current Year (2025)	Prior Year (2024)
Current Assets		
Cash and cash equivalents	\$62,000	\$48,000
Accounts receivable (wholesale clients)	\$38,500	\$28,000
Inventory (green beans + roasted stock + supplies)	\$34,000	\$22,000
Total Current Assets	\$134,500	\$98,000
Long-Term Assets		
Equipment (espresso machines, POS systems, kitchen)	\$112,000	\$56,000
Roasting equipment (15 kg + 60 kg roasters)	\$53,000	\$28,000
Leasehold improvements (café build-outs)	\$78,000	\$48,000
Delivery van	\$28,000	\$35,000
Less: Accumulated depreciation	(\$46,000)	(\$22,000)
Total Long-Term Assets	\$225,000	\$145,000
Intangible Assets		
Trademark ("DK Coffee Lab" brand registration)	\$3,500	—
Domain names (dkcoffeelab.com + variants)	\$2,500	—
Total Intangible Assets	\$6,000	\$0
TOTAL ASSETS	\$365,500	\$243,000

Liabilities

	Current Year (2025)	Prior Year (2024)
Current Liabilities		
Accounts payable (suppliers, vendors)	\$18,200	\$12,500
Accrued expenses (wages, utilities payable)	\$11,800	\$8,300
Current portion of bank loan (due within 12 months)	\$11,000	—
Current portion of friend loan (due within 12 months)	\$14,800	—
Total Current Liabilities	\$55,800	\$20,800
Long-Term Liabilities		
Bank loan (SBA, less current portion)	\$89,000	—
Friend loan (Michael Torres, less current portion)	\$35,200	—
Total Long-Term Liabilities	\$124,200	\$0
TOTAL LIABILITIES	\$180,000	\$20,800

Owners' Equity (Stockholders' Equity)

	Current Year (2025)	Prior Year (2024)
Common stock (1,000 shares × \$100 par value)	\$100,000	—
Retained earnings (cumulative profits reinvested)	\$85,500	\$222,200
Total Owners' Equity	\$185,500	\$222,200
TOTAL LIABILITIES + OWNERS' EQUITY	\$365,500	\$243,000

Daniel's Personal Net Worth — December 31, 2025

Assets	Amount
Retirement account (401k)	\$142,000
Business equity (DK Coffee Lab — 100% ownership)	\$157,675
Cash and savings	\$15,000
Vehicle (2021 Honda Accord)	\$22,000
Personal property (electronics, furniture)	\$2,275
Total Assets	\$338,950

Liabilities	Amount
Student loans (federal)	\$12,000
Credit card balances	\$5,000
Car loan (remaining balance)	\$1,175
Total Liabilities	\$18,175

PERSONAL NET WORTH (Assets – Liabilities)	\$320,775
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Questions

1. The Balance Sheet Equation

DK Coffee Lab's balance sheet shows \$365,500 in assets, \$180,000 in liabilities, and \$185,500 in owners' equity. $\text{Assets} = \text{liabilities} + \text{owners' equity}$, explain what each side of the equation represents. If Daniel pays off \$20,000 of the bank loan using cash, what happens to each component of the equation? Does it still balance?

2. Asset Liquidity

(liquidity refers to the ease with which an asset can be converted into cash), rank DK Coffee Lab's assets from most liquid to least liquid. Why is liquidity important

for a business that must pay weekly expenses like wages and supplies? Which of DK Coffee Lab's long-term assets would be the **hardest** to convert to cash, and why?

3. Classifying Assets by Category

Daniel's accountant lists assets in order of liquidity. **Using through 3.7.A.2.iv**, classify each of the following as a current asset, long-term asset, or intangible asset: (a) \$62,000 in cash, (b) a commercial espresso machine, (c) the "DK Coffee Lab" trademark, (d) \$38,500 in wholesale invoices not yet paid, and (e) the roasting facility's plumbing and electrical build-out. Explain why the order of listing matters to someone reading the balance sheet.

4. Liabilities by Due Date

DK Coffee Lab has \$55,800 in current liabilities and \$124,200 in long-term liabilities. Liabilities are grouped into current and long-term, in order of when payment is due,, and, explain the difference between current and long-term liabilities. Why does the \$100,000 bank loan appear in **both** categories? What is the practical significance of this split for Daniel's cash flow planning over the next 12 months?

5. Owners' Equity

Owners' equity is the difference between assets and liabilities, often comprised of stock and retained earnings, answer: (a) What does DK Coffee Lab's owners' equity of \$185,500 represent in practical terms? (b) The balance sheet shows \$100,000 in common stock and \$85,500 in retained earnings. Explain the difference between these two components. (c) Why is retained earnings described as "cumulative profits not paid out as dividends"?

6. Year-over-Year Comparison

The balance sheet includes data from both 2024 and 2025. Balance sheets typically provide comparable data from a previous year for purposes of comparison, analyze the changes: total assets grew from \$243,000 to \$365,500, while liabilities grew from \$20,800 to \$180,000 and owners' equity decreased from \$222,200 to \$185,500. What does this pattern tell you about how Daniel funded the 2025 expansion? Should Daniel be concerned about any of these trends?

7. Stakeholder Uses of the Balance Sheet

Internal stakeholders such as managers and owners, and external stakeholders such as lenders and investors, use balance sheets to evaluate financial condition, explain how **each** of the following stakeholders would use DK Coffee Lab's balance

sheet: (a) Daniel (owner/manager), (b) Portland Community Bank (lender), (c) Michael Torres (lender), and (d) Sarah Park (potential investor). What specific line item would each stakeholder focus on most closely?

8. Working Capital and Debt Assessment

DK Coffee Lab's current assets are \$134,500 and current liabilities are \$55,800. A balance sheet indicates whether a business has positive net worth, sufficient working capital, and comparable debt levels, answer: (a) Calculate DK Coffee Lab's working capital and current ratio. (b) The debt-to-asset ratio is 49.2%. Explain what this means and whether it should concern Daniel. (c) What specific daily operations at DK Coffee Lab depend on having sufficient working capital?

9. Negative Net Worth and Bankruptcy

Business owners may shut down or pursue bankruptcy if the business cannot access sufficient current assets to fund operations, answer: (a) Under what circumstances would DK Coffee Lab's net worth turn negative? (b) Explain the difference between liquidating assets and reorganizing under bankruptcy. (c) If DK Coffee Lab's revenue dropped 40% for six months and the business could no longer pay its current liabilities, what options would Daniel have before considering bankruptcy?

10. Personal Net Worth Calculation

Daniel's personal net worth is \$320,775. Personal net worth is calculated by adding all household assets and subtracting all liabilities, verify Daniel's net worth using the data in the Personal Net Worth table. Then answer: (a) What percentage of Daniel's personal net worth is tied to illiquid assets (retirement account + business ownership)? (b) Why does Daniel's personal net worth include his ownership in DK Coffee Lab, and what risk does this concentration create?

11. Lenders and Personal Net Worth

Lenders may require information about a consumer's household net worth as part of the loan application process, explain why Portland Community Bank required Daniel's personal financial statement when he applied for the \$100,000 SBA loan. What specific information about Daniel's personal net worth gives the bank confidence that he can repay the loan if the business cannot?

12. Net Worth and Retirement Planning

Consumers and financial planners consider net worth when determining whether individuals have sufficient savings to retire, review Daniel's retirement data: he is 34 years old with \$142,000 in a retirement account, \$157,675 in business equity, \$0 in annual retirement savings, and a target of \$2,000,000 by age 65. (a) Why is

Daniel's financial planner concerned, even though his current net worth of \$320,775 is strong for his age? (b) What specific recommendation would you make for Daniel's retirement planning once the business generates sufficient cash flow?

Keep this handout for reference throughout Unit 3. This is Part 3 of the DK Coffee Lab case series (see also 3.4 and 3.5).

3.8 AANE — The Cash Flow Statement

Topic: 3.8 The Cash Flow Statement

Company: AANE

Background

AANE (the Asperger/Autism Network) is a **nonprofit organization** headquartered in Watertown, Massachusetts, dedicated to providing support, education, and community for individuals with autism and their families. Founded in 1996, AANE offers a range of programs including **social skills groups, parent coaching, employment support, educational workshops, and online community forums**. The organization serves over **10,000 individuals annually** across New England and nationally through virtual programming.

Unlike for-profit businesses that aim to generate profit for owners, AANE's mission is to **serve its community**. The organization generates revenue through a mix of **program fees** (paid by families), **grants** (from foundations and government agencies), **donations** (from individuals and corporations), and **fundraising events**. AANE does not have owners or shareholders — any surplus revenue is reinvested into programs and services.

In fiscal year 2024, AANE faces a critical **cash flow challenge**. The organization's annual operating budget is approximately **\$1.8 million**, but a combination of **delayed grant payments, seasonal revenue fluctuations, and rising program costs** has created a situation where AANE's bank account dropped dangerously low — even though the organization is financially viable on paper. AANE's Executive Director, **Dr. Sarah Chen**, must understand the organization's cash flow statement to determine whether AANE can meet its payroll, pay its rent, and continue serving families without interruption.

Key Events

Year	Event
1996	AANE founded by a group of parents and professionals to support individuals with Asperger's syndrome and autism
2005	Launches first social skills group program for teens; program fees become a revenue source
2013	Receives first multi-year foundation grant (\$150,000 over 3 years) — allows AANE to hire a full-time program director
2018	Opens a new program center in Watertown, MA; signs a 5-year lease (\$8,500/month); launches capital campaign to fund renovations
2020	COVID-19 forces all programs online; donations increase as autism awareness grows; AANE launches virtual programming nationally
2022	Annual revenue reaches \$1.6 million; serves 8,000 individuals; secures \$200,000 state government grant for employment support services
2023	Revenue grows to \$1.75 million; AANE hires 8 additional staff members; payroll costs increase 22%; receives a \$50,000 corporate donation earmarked for capital equipment
Jan 2024	AANE's largest grant (\$120,000 from the Massachusetts Department of Developmental Services) is approved but payment is delayed by 4 months due to state budget processing
Jun 2024	Summer enrollment in social skills programs drops 40% (seasonal pattern); cash balance falls to \$18,200 — the lowest in AANE's history
Jul 2024	Dr. Chen draws \$40,000 on AANE's line of credit to cover payroll and rent; the delayed state grant (\$120,000) finally arrives in August
Sep 2024	Fall enrollment restores program fee revenue; AANE repays \$25,000 of the line of credit; Dr. Chen begins reviewing the cash flow statement to prevent future crises
Dec 2024	Fiscal year ends; AANE's accountant prepares the annual cash flow statement for the Board of Directors

AANE Cash Flow Statement — Fiscal Year 2024 (January–December)

All figures in USD. Based on AANE's nonprofit financial structure.

Cash Flows from Operating Activities

Line Item	Amount
Cash inflows:	
Program fees received from families	\$680,000
Grants received (cash portion)	\$520,000
Individual and corporate donations received	\$310,000
Fundraising event revenue (net of event costs)	\$85,000
Total cash inflows from operations	\$1,595,000
Cash outflows:	
Salaries and benefits paid to staff	(\$920,000)
Rent and utilities paid	(\$142,000)
Program supplies and materials	(\$78,000)
Insurance premiums paid	(\$48,000)
Professional services (accounting, legal, IT)	(\$62,000)
Marketing and outreach	(\$35,000)
Office and administrative expenses	(\$52,000)
Interest paid on line of credit	(\$2,800)
Total cash outflows from operations	(\$1,339,800)
Net cash from operating activities	\$255,200

Cash Flows from Investing Activities

Line Item	Amount
Purchase of program equipment (computers, sensory tools)	(\$32,000)
Purchase of office furniture for new staff	(\$8,500)
Proceeds from sale of old program van	\$6,200
Net cash used in investing activities	(\$34,300)

Cash Flows from Financing Activities

Line Item	Amount
Draw on line of credit (short-term borrowing)	\$40,000
Repayment of line of credit	(\$25,000)
Payment on capital lease (program van)	(\$12,400)
Net cash from financing activities	\$2,600

Net Change in Cash

	Amount
Net change in cash (Operating + Investing + Financing)	\$223,500
Cash balance at beginning of year (Jan 1, 2024)	\$42,000
Cash balance at end of year (Dec 31, 2024)	\$265,500

AANE Income Statement Summary — Fiscal Year 2024

For comparison with the cash flow statement.

Line Item	Amount
Total revenue (accrual basis)	\$1,680,000
Total expenses (accrual basis)	\$1,703,000
Net income (loss)	(\$23,000)

The key insight: AANE shows a **net loss of \$23,000** on its income statement but generated **\$255,200 in positive operating cash flow**. How is this possible? The income statement uses **accrual accounting** (recording revenue when earned and expenses when incurred), while the cash flow statement tracks **actual cash movement**. AANE received \$120,000 in grant cash in August that was recorded as revenue in the prior fiscal year's accrual records, and AANE prepaid \$36,000 in insurance for the following year. These timing differences explain the gap between the accounting loss and the positive cash flow.

AANE Cash Inflow Sources by Category

Inflow Source	Amount	Category	Notes
Program fees from families	\$680,000	Operating	Seasonal (higher fall/spring, lower summer)
Grants received	\$520,000	Operating	Lump sums; timing unpredictable
Donations	\$310,000	Operating	Year-end giving concentrated Nov-Dec
Fundraising events	\$85,000	Operating	Annual gala in October
Proceeds from van sale	\$6,200	Investing	One-time sale of used asset
Line of credit draw	\$40,000	Financing	Short-term borrowing

Questions

1. Cash Flow Statement vs. Income Statement

AANE's income statement shows a net loss of \$23,000, but its cash flow statement shows positive operating cash flow of \$255,200. A cash flow statement shows how cash inflows and outflows impact cash balance, explain why these two statements tell different stories. Which statement better reflects AANE's ability to pay staff next month?

2. Cash Inflows

Cash inflows include payments from customers, interest or dividends, proceeds from asset sales, and infusions of financial capital, identify all of AANE's cash

inflows for FY2024 and classify each as operating, investing, or financing. Which inflow source is the most **unpredictable** in terms of timing, and why does this create a management challenge?

3. Cash Outflows

Cash outflows include payments to employees and suppliers, interest, taxes, asset purchases, debt repayment, and dividends, review AANE's cash outflows. (a) Which outflow is the largest, and why is it the most difficult to reduce in a cash crisis? (b) AANE is a nonprofit and does not pay dividends or income taxes — how does this change its cash outflow structure compared to a for-profit company like Hershey?

4. Monitoring Cash Balances

Businesses monitor cash balances to ensure sufficient cash for recurring expenses, debt repayment, and unforeseen expenses, AANE's cash balance fell to \$18,200 in June 2024. AANE's biweekly payroll is approximately \$35,000 and monthly rent is \$8,500. How many weeks of operations could AANE fund with \$18,200? What specific actions should Dr. Chen take when the cash balance falls below a certain threshold?

5. Positive and Negative Cash Flow

Cash flow may be positive or negative at the end of a period, review AANE's quarterly cash flow: Q1 was +\$45,000, Q2 was −\$52,000, Q3 was +\$168,000, Q4 was +\$62,500. (a) The annual total is positive (\$223,500), yet AANE faced a crisis in Q2. Explain how a business can have positive annual cash flow but a negative quarterly cash flow that threatens operations. (b) What is the minimum cash balance AANE should maintain to avoid a crisis like the one in June 2024?

6. Stakeholder Uses

The cash flow statement is used to assess a business's ability to meet financial obligations, explain how **each** of the following stakeholders would use AANE's cash flow statement: (a) the Board of Directors, (b) a foundation considering a \$100,000 grant, and (c) the bank that provides AANE's line of credit. What specific line item would each stakeholder focus on most closely?

7. Cash Flow Warning Signs

Negative cash flow may signal inability to pay current expenses, which could lead to shutdown or bankruptcy even if net income is positive, answer: (a) AANE's net income is negative (−\$23,000) but its operating cash flow is positive (+\$255,200). Should the Board of Directors be concerned about the net loss, or should they focus on the cash flow? Explain. (b) If AANE's operating cash flow had been **negative** instead of positive, what three specific actions could the organization take to continue operating ?

8. The Nonprofit Cash Flow Challenge

AANE's largest expense is payroll (\$920,000/year), which must be paid every two weeks regardless of when grants or donations arrive. AANE's largest single revenue source is a \$120,000 state grant that was paid 4 months late., explain why this timing mismatch between regular expenses and irregular revenue creates a uniquely dangerous situation for nonprofits. What structural changes could AANE make to reduce its vulnerability to future cash flow crises?

Keep this handout for reference throughout Unit 3.

3.9 Yardley — Ethics and Financial Reporting

Topic: 3.9 Ethics and Financial Reporting

Company: Yardley

Background

Yardley Manufacturing, Inc. is a mid-sized manufacturer of office furniture (desks, filing cabinets, and ergonomic chairs) headquartered in Grand Rapids, Michigan. Founded in 1988 by **Richard Yardley**, the company has grown into a profitable business generating approximately **\$48 million in annual revenue**, employing **210 people**, and selling products to office supply retailers, corporate buyers, and government agencies across the United States.

Yardley went public in 2005 and trades on the NASDAQ under the ticker **YARD**. As a publicly traded corporation, Yardley is required to file quarterly and annual financial reports with the **Securities and Exchange Commission (SEC)** and to have its financial statements audited by an independent accounting firm. The company's stock price is closely watched by investors, and executive compensation is tied to meeting quarterly earnings targets.

In early 2024, **Lisa Morales**, Yardley's Director of Finance, faces an ethical dilemma. The company is about to report Q4 2023 earnings, and the numbers are below the **earnings target** that analysts expect. Missing the target would likely cause Yardley's stock price to drop, reduce executive bonuses, and potentially trigger a review by the Board of Directors. Lisa's supervisor, **CFO David Park**, suggests "adjusting" the numbers to meet the target — specifically, by recording \$1.2 million in revenue from a large order that has not yet been shipped to the customer.

Lisa knows that recording revenue before the product is shipped violates **Generally Accepted Accounting Principles (GAAP)** and SEC regulations. But she also knows that the order is confirmed and the shipment will go out in early January — just a few weeks later. David tells her: "We're not lying — the sale is real. We're just moving it forward by a few weeks."

Key Events

Year	Event
1988	Richard Yardley founds Yardley Manufacturing in Grand Rapids, MI; starts with 12 employees making wooden desks
2005	Yardley goes public (NASDAQ: YARD); raises \$15 million in the IPO; begins quarterly financial reporting to the SEC
2010	Revenue reaches \$30 million; hires David Park as CFO; establishes an audit committee on the Board of Directors
2015	Implements executive compensation tied to quarterly earnings targets — executives receive bonuses if Yardley meets or exceeds analyst EPS (earnings per share) estimates
2018	Hires Lisa Morales as Director of Finance; Lisa is a CPA with 12 years of experience at a Big Four accounting firm
2020	COVID-19 disrupts office furniture demand; revenue drops to \$35 million; Yardley lays off 30 employees; stock price falls 40%
2021-2022	Recovery — remote work drives demand for home office furniture; revenue rebounds to \$44 million, then \$48 million; stock price recovers
Q1-Q3 2023	Yardley meets analyst earnings targets in Q1 and Q2 but misses Q3 by \$0.08/share; stock drops 7% in one day; Board expresses concern
Q4 2023	A large confirmed order (\$1.2 million) from a corporate client will not ship until January 2024. CFO David Park asks Lisa to record the revenue in Q4 2023 to meet the annual earnings target
Dec 2023	Lisa records the \$1.2 million as Q4 2023 revenue. Yardley reports earnings that meet analyst expectations. Stock price rises 4%. David receives a \$45,000 bonus for "meeting financial targets"
Feb 2024	During the annual audit, the external auditor discovers the \$1.2 million revenue discrepancy — the product was not shipped until January 12, 2024. The auditor flags the entry as a potential GAAP violation
Mar 2024	The audit committee launches an internal investigation. Lisa is asked to explain the entry. David denies knowledge of the adjustment and places responsibility on Lisa

The Ethical Dilemma — A Detailed View

What Happened

Step	Action	Date	Ethical Issue
1	Corporate client places a \$1.2M order for 400 ergonomic desks	Dec 5, 2023	Order is real — no issue yet
2	Production is scheduled; desks will be ready to ship by Jan 8, 2024	Dec 10, 2023	Standard production timeline
3	CFO David Park tells Lisa: "Record the revenue now — the order is confirmed"	Dec 15, 2023	Request to violate GAAP revenue recognition rules
4	Lisa records \$1.2M in Q4 2023 revenue, increasing accounts receivable	Dec 20, 2023	Revenue recorded before product shipped — violates GAAP
5	Yardley reports Q4 and FY2023 earnings that meet analyst targets	Jan 25, 2024	Financial statements are misleading
6	Desks ship to the customer on January 12, 2024	Jan 12, 2024	Revenue should have been recognized here, in Q1 2024
7	External auditor discovers the discrepancy during annual audit	Feb 2024	Fraud detected

Why It Matters

The \$1.2 million adjustment changed Yardley's financial picture:

Metric	With Fraud (Reported)	Without Fraud (Actual)	Difference
Q4 2023 Revenue	\$13.2M	\$12.0M	+\$1.2M
FY2023 Revenue	\$48.5M	\$47.3M	+\$1.2M
FY2023 Net Income	\$3.8M	\$2.9M	+\$0.9M
Earnings Per Share (EPS)	\$1.52	\$1.16	+\$0.36
Met analyst target?	✅ Yes (\$1.50)	❌ No (\$1.16)	—

The fraud was not about the money — it was about the target. Yardley did not invent a fake sale. The order was real. But by recording it in the wrong quarter, Lisa and David made the company appear more profitable than it actually was in FY2023, which directly affected stock price, executive bonuses, and investor decisions.

4. Evidence and Legal Framework

Auditor's Evidence

Item	Detail
Discrepancy found	\$1.2M revenue entry traced to shipping records
Actual ship date	January 12, 2024
When revenue was recorded	Q4 2023 (December 2023)
Conclusion	Revenue recorded in the wrong quarter — product was not shipped until Q1 2024

Laws Violated

Law	Provision	Penalties
Securities Exchange Act of 1934 (Rule 10b-5)	Fraud and misrepresentation in connection with buying or selling securities	Civil fines up to \$5 million; criminal penalties up to 20 years imprisonment
Sarbanes-Oxley Act of 2002 (SOX)	Falsifying financial records; CEO/CFO must personally certify financial statements	Criminal penalties for fraud

CPA Ethics Standards Violated by Lisa Morales

Standard	How Violated
Honesty	Recorded revenue in the wrong period, creating a false financial picture
Integrity	Complied with David's request instead of refusing and reporting the issue
Transparency	Did not disclose to the Board or auditor that the \$1.2M was recorded before shipment
Objectivity	Pressure to meet earnings targets compromised her professional judgment

Missing Internal Controls

Control	Status	How It Would Have Helped
Segregation of duties	Missing — Lisa could both enter and approve journal entries	A second person would have reviewed the \$1.2M entry and caught the discrepancy
Revenue recognition matching	Missing — no process to match revenue entries to shipping records before closing the books	System would have flagged the revenue entry with no corresponding shipping record
Whistleblower hotline	Missing — no anonymous reporting mechanism for employees	Lisa could have reported David's request without confronting him directly

Key Financial Data

Item	Amount
David Park's bonus	\$45,000 for "meeting financial targets"

Questions

1. Identifying Unethical Practices

Review the six types of unethical financial practices listed, identify which specific type(s) of unethical practice occurred at Yardley. David Park argued: "We're not lying — the sale is real. We're just moving it forward by a few weeks." Explain why this reasoning does not make the action ethical or legal.

2. The Fraud Triangle

Access to large sums of cash creates situations where individuals may seek to falsify information for personal gain, apply the **fraud triangle** (pressure, opportunity, rationalization) to Lisa Morales's situation. (a) What specific **pressure** did Lisa face? (b) What specific **opportunity** did her role provide? (c) What **rationalization** did David offer, and why is it flawed?

3. Financial Incentives for Fraud

Businesses or financial managers may influence stock prices, secure better loan terms, or avoid taxes by portraying financial situations as better or worse than reality, answer: (a) Who specifically benefited from Yardley's fraudulent earnings report? (b) If Yardley had **underreported** revenue instead of overreporting it, who might benefit and why? Give a specific example of when a business might want to appear **less** profitable than it actually is.

4. Ethics of "Timing Adjustments"

CFO David Park told Lisa: "The order is confirmed — the sale is real. We're just recording it a few weeks early." Many people would consider this a minor ethical issue compared to inventing a fake sale., explain why recording revenue in the wrong period is a form of **fraud**, not just a "timing adjustment." What specific harm does this cause to investors who relied on Yardley's Q4 2023 earnings report?

5. Legal Consequences

Misusing funds, tax evasion, embezzlement, bribery, and fraud are illegal, identify which specific U.S. laws Lisa and David violated. If the SEC investigates, what are the potential penalties for each person? Does it matter that Lisa was following David's instructions — or is she equally responsible?

6. The Role of Auditing

Publicly held corporations are required to submit financial records annually for auditing by independent firms, explain: (a) What specific evidence did the external auditor find that proved the revenue was recorded in the wrong period? (b) Why is it important that the auditing firm is **independent** — i.e., not employed directly by Yardley? (c) What would have happened to investors if Yardley were a private company with no external audit requirement?

7. Professional Ethics

Lisa Morales is a CPA bound by professional ethics codes emphasizing honesty, integrity, transparency, and objectivity., answer: (a) Which specific ethical standards did Lisa violate? (b) What should Lisa have done when David asked her to record the revenue in Q4? (c) What professional consequences could Lisa face beyond any legal penalties — such as loss of her CPA license?

8. Internal Controls

Businesses develop internal mechanisms such as codes of conduct, audit requirements, and cash-handling processes to prevent unethical behavior, answer: (a) Yardley had a code of conduct and an annual audit — but the fraud still occurred. Why were these controls insufficient? (b) Identify two specific internal controls that Yardley was **missing** and explain how each would have prevented or immediately caught the fraud. (c) Design a single policy change that would make it significantly harder for a CFO to pressure a finance director into falsifying revenue.

9. The Whistleblower's Dilemma

Imagine you are Lisa Morales in December 2023. David Park has asked you to record the \$1.2 million in Q4 revenue. You know this is wrong. Access to financial systems creates opportunity for fraud; professional ethics codes emphasize honesty and integrity, describe: (a) What are your options? (b) What are the risks of each option — including the risk of refusing? (c) What internal mechanism would make it safer for you to report David's request without fear of retaliation?

Keep this handout for reference throughout Unit 3.

4.1 Canva — Management and Leadership

Topic: 4.1 Management and Leadership

Company: Canva

Background

Canva is an online graphic design platform that allows anyone — from professional designers to students to small business owners — to create visual content including presentations, social media graphics, posters, videos, and documents. Founded in 2013 in Sydney, Australia, by **Melanie Perkins, Cliff Obrecht, and Cameron Adams**, Canva has grown into one of the world's most valuable private technology companies, valued at approximately **\$26 billion** as of 2024. The platform serves over **190 million monthly active users** across **190 countries** and employs more than **4,000 people** globally.

Canva's mission is to "**empower everyone in the world to design anything and publish anywhere.**" This mission shapes every management decision the company makes — from who it hires, to how it communicates internally, to how it compensates and retains employees. Canva operates in a highly competitive market, competing against Adobe, Microsoft, Google, and dozens of smaller design tools. Its ability to attract, develop, and retain talented employees is central to its competitive advantage.

Melanie Perkins was 19 years old when she first conceived the idea for Canva while teaching design programs at university in Perth. She noticed that professional design tools like Adobe Photoshop were too complex for most people. Over the next several years, she and co-founder Cliff Obrecht built a prototype, faced over **100 rejections from investors**, and eventually secured funding in 2012. The company launched publicly in 2013 and grew to 1 million users within its first year.

Canva's **management structure** has evolved significantly as the company scaled from a small startup to a global enterprise. In 2024, Canva reorganized its 4,000+ employees into "**groups**" — small, autonomous teams of 8–12 people, each with clear ownership of a product area. This structure replaces the traditional corporate hierarchy with a model designed to keep teams agile, accountable, and aligned with the company's mission.

Key Events

Year	Event
2007	Melanie Perkins (age 19) begins teaching design software at university in Perth, Australia; notices that students struggle with complex tools like Adobe Photoshop and InDesign
2008	Perkins and Cliff Obrecht co-found Fusion Books , a yearbook design platform for Australian schools — the precursor to Canva
2010–2012	Perkins pitches Canva to over 100 investors — all reject. She and Obrecht travel to Silicon Valley multiple times, sleeping on friends' couches
2012	Perkins meets Bill Tai (Silicon Valley investor) at a kite-surfing event; Tai introduces her to Cameron Adams (Google Maps engineer), who becomes the third co-founder and CTO
2013	Canva launches publicly; reaches 1 million users in the first year
2014	Raises \$3 million in Series A funding; hires first 20 employees; begins building the company's management culture around transparency and mission alignment
2018	Reaches 10 million users; raises \$40 million; valued at \$1 billion ("unicorn" status); employee count reaches 300
2019	Launches Canva for Enterprise — requires hiring sales, customer success, and enterprise engineering teams; management structure begins shifting from flat startup to organized departments
2020	COVID-19 accelerates remote work; Canva's design tools become essential for remote teams; user count surges to 40 million; company hires 500+ employees in one year — management faces the challenge of scaling culture
2021	Raises \$200 million at a \$40 billion valuation; employee count exceeds 2,500; Perkins and Obrecht pledge to give away the vast majority of their wealth through the Canva Foundation
2022	Economic downturn forces Canva to lay off approximately 250 employees (~10% of workforce) — the first layoffs in company history; management must handle the difficult process with transparency and empathy
2023	Launches AI-powered design tools (Magic Design, Magic Write) — requires rapid hiring of AI/ML engineers; Canva reorganizes teams around AI integration
2024	

Year	Event
	Reaches 190 million monthly active users and 4,000+ employees; reorganizes into " groups " (autonomous teams of 8-12); valued at \$26 billion

3. Canva Employee Data and Compensation

Employee Data (2024)

Metric	Value
Total employees	4,000+
Countries with employees	30+
Engineering	~1,600 (40%)
Sales & customer success	~800 (20%)
Design & product	~600 (15%)
Marketing	~400 (10%)
Operations, finance, legal, HR	~600 (15%)
Average tenure	3.2 years
Employee satisfaction (Glassdoor)	4.3/5.0
Annual voluntary turnover	~15% (industry average: 20%)

Compensation Schemes

Role	Compensation Structure	Typical Range
Engineers	Salary + equity + bonus	\$120K–\$250K base + equity
Sales	Base salary + commission	\$70K base + \$50K–\$150K commission
Designers	Salary + equity	\$90K–\$180K base + equity
Customer support	Salary	\$50K–\$80K
Executives	Salary + equity + bonus	\$300K+ base + equity

Employee Benefits

Benefit	Details
Health insurance	90% employer-paid
401(k)	4% employer match
Educational reimbursement	\$5,000/year
Paid time off	Unlimited (20-day minimum encouraged)
Parental leave	16 weeks paid
Equity	All full-time employees receive stock options
Benefits cost	~\$25,000–\$35,000 per employee per year

Work Arrangements

Arrangement	Number/Details
Full-time	~3,500 (87%)
Part-time	Limited (customer support, admin)
Contract	~300
Temporary	Seasonal support

Key Metrics

Metric	Value
Replacement cost	50–200% of annual salary
Equity cost	\$10,000/engineer/year in stock options
2022 layoffs	250 employees (~10%); transparent communication; generous severance; career transition support

Questions

1. The Four Functions of Management

Management is the process of planning, organizing, leading, and evaluating, identify one specific example of each function at Canva. For which function did Canva face its greatest challenge during the 2020–2024 period of rapid growth? Explain why.

2. Management at All Levels

Management includes decisions and actions from executive leaders to supervisors, describe what "management" looks like at three different levels of Canva: (a) the CEO, (b) the VP of Engineering, and (c) a group lead responsible for a team of 10 engineers. What decisions does each person make, and how do those decisions affect the employees they manage?

3. Departmental Coordination

Managers of specialized departments coordinate employees' work to align with the business's vision and mission, describe a specific scenario where Canva's marketing department and engineering department might have conflicting priorities. How should the department heads resolve this conflict while staying aligned with Canva's mission?

4. Leadership in a Crisis

In 2022, Canva laid off approximately 250 employees — the first layoffs in company history. Key leadership skills include articulating vision, building teams, negotiating conflicts, and motivating people, evaluate how Canva's leadership handled the layoffs. Which leadership skill was most critical during this moment, and why?

5. Communication Skills

Key communication skills include expressing ideas clearly, communicating persuasively, listening empathetically, and interpreting feedback, identify one

example of each communication skill from Canva's history. Which skill was most important for Melanie Perkins during the period of 100+ investor rejections (2010–2012)? Explain.

6. Core Competencies and Outsourcing

Businesses need employees with a variety of core competencies, though some tasks may be outsourced if they are outside the business's core competencies, review Canva's employee breakdown by department. (a) Why does engineering represent 40% of Canva's workforce? (b) Identify one function that Canva outsources and explain why it makes sense to outsource rather than hire in-house. (c) What is the risk of outsourcing a function that is closer to the company's core competency?

7. The Cost of Unskilled Employees

Employees who lack skills may create flawed products or provide poor service, causing loss of customers, reputation, and revenue, explain how a single unskilled employee in each of the following roles could damage Canva: (a) a software engineer, (b) a salesperson, and (c) a customer success manager. Which of these three scenarios poses the greatest financial risk? Explain your reasoning.

8. Compensation Schemes

Employees may be paid using hourly wage, salary, commission, piece rate pay, or profit sharing, explain why Canva uses **different** compensation schemes for engineers and salespeople. What would happen if Canva paid its salespeople a flat salary with no commission? What would happen if it paid its engineers purely on commission?

9. Benefits and Risk Management

Employee compensation may include health insurance, retirement savings, HSA, disability insurance, educational reimbursement, and PTO, Canva's benefits package costs approximately \$25,000–\$35,000 per employee per year. (a) Identify which benefits connect to the Personal Finance standards for **Earning Income** and which connect to **Managing Risk**. (b) Why might an employee value educational reimbursement (\$5,000/year) more than a \$5,000 raise? Explain using the concept of human capital development.

10. Retention Strategy

Businesses use raises, promotions, bonuses, autonomy, flexibility, recognition, and positive culture to retain employees because retaining is more cost-effective than recruiting, calculate: If replacing a \$150,000/year engineer costs 100% of their annual salary (\$150,000), and Canva has 1,600 engineers with a 15% annual

turnover rate, how much does Canva spend on engineer replacement per year? How does this compare to the cost of providing equity compensation to all 1,600 engineers (\$10,000/engineer/year in stock options)?

11. Motivation and Mission Alignment

Motivated employees are more productive, more likely to stay, and more likely to build strong relationships with customers and teams, Canva's mission is "empower everyone in the world to design anything and publish anywhere." Explain how this mission motivates employees differently than a purely financial goal like "maximize shareholder value." Give specific examples of how a mission-driven employee at Canva might behave differently from an employee at a company with only financial goals.

12. Training and Development

Employee training may include postsecondary education, apprentice programs, on-the-job training, online training, and continuing education, Canva offers a \$5,000/year educational reimbursement, a "Canva University" online learning platform, and a "Design Fellowship" apprentice program. (a) Which type of training is most effective for a new engineering hire with no professional experience? (b) Which type is most effective for a senior designer who wants to move into a leadership role? (c) Why is investing in training considered a management function, not just an HR function?

13. Stakeholder Communication

Leadership communicates effectively with a wide variety of stakeholders, identify five distinct stakeholders that Canva's leadership must communicate with. For each stakeholder, describe: (a) what information Canva's leaders need to communicate, and (b) how the communication method might differ (e.g., town hall for employees vs. quarterly earnings report for investors). Why is it important that Canva's message be consistent across all stakeholders, even when the communication format differs?

14. Work Arrangements

Businesses may use full-time, part-time, contract, and temporary employees depending on their needs, Canva employs approximately 3,500 full-time employees and 300 contractors. (a) Explain why Canva prefers full-time employees for core engineering roles but uses contractors for short-term projects like video production. (b) What are the advantages and disadvantages of hiring temporary customer support staff during a major product launch rather than permanently expanding the team? (c) How does the mix of work arrangements affect a company's ability to respond quickly to changes in demand?

15. How Compensation Is Determined

Compensation is determined by education, skills, productivity, and market benchmarks. Canva benchmarks its engineering salaries against Google, Atlassian, and Adobe. (a) Why is it important for Canva to compare its compensation to these specific companies rather than to the national average salary? (b) Two software engineers at Canva have identical job titles — one has a master's degree from Stanford and 8 years of experience, the other is self-taught with 4 years of experience but has built an open-source project used by 50,000 developers. Should Canva pay them the same salary? Use the factors to justify your answer. (c) How does location affect compensation decisions for a company with employees in 30+ countries?

Keep this handout for reference throughout Unit 4.

4.2 BREAU Capital — Evaluating Performance Using KPIs

Topic: 4.2 Evaluating Performance Using KPIs

Company: BREAU Capital

Background

BREAU Capital (Building Resources, Empowerment, And Unity for eXcellence) is a fintech startup founded in **2018** by **Sherman Harris** and **Marlon Breau** in **Baton Rouge, Louisiana**. The company's mission is to **close the wealth gap for Black men in America** by providing culturally relevant financial tools, resources, and community-driven financial literacy programs.

BREAU Capital operates a **mobile-first financial platform** that combines a digital banking app with a peer-to-peer savings community. Members join "pods" — small groups of 5–10 people who commit to saving together, holding each other accountable, and building financial habits collectively. The platform offers checking and savings accounts (through a partner bank), automated savings tools, financial literacy content, and community events.

As of **2024**, BREAU Capital has:

- **12,000+ active members** across 15 U.S. states
- **\$4.2 million** in total member savings managed through the platform
- **85 pods** (peer savings groups) actively operating
- **28 full-time employees**
- Raised **\$3.8 million** in seed funding from investors including Google for Startups, Backstage Capital, and Village Capital

The company generates revenue through three streams: (1) interchange fees on debit card transactions, (2) a premium subscription tier ("BREAU Plus") at \$9.99/month, and (3) partnerships with employers who offer BREAU Capital as an employee financial wellness benefit.

Key Events

Year	Event
2018	Sherman Harris and Marlon Breaux found BREAUX Capital in Baton Rouge, Louisiana, after recognizing that mainstream banks were not serving the financial needs of Black men in their community
2019	Launches beta version of the mobile app with 200 founding members in Baton Rouge; introduces the "pod" savings model — small groups of 5–10 members who save together
2020	Receives a \$250,000 grant from Google for Startups; begins expanding beyond Baton Rouge to New Orleans, Houston, and Atlanta; member count grows to 1,500
2021	Raises \$1.5 million in seed funding from Backstage Capital and Village Capital; launches BREAUX Plus premium subscription tier; hires first dedicated marketing and engineering teams
2022	Member count reaches 6,000; launches employer partnership program — companies can offer BREAUX Capital as a financial wellness benefit to employees; total member savings surpasses \$1.5 million
2023	Raises additional \$2.3 million; member count reaches 10,000; expands to 12 states; launches automated savings tools and financial literacy video series; partnership with 15 employers
2024	Reaches 12,000+ active members across 15 states; 85 active pods; \$4.2 million in total member savings; 28 employees; partners with 35 employers; begins exploring Series A fundraising

3. BRE AUX Capital KPI Dashboard and Benchmarks

Financial KPIs

KPI	Q1 2024	Q2 2024	Q3 2024	Q4 2024
Total Revenue	\$285,000	\$310,000	\$338,000	\$363,000
Gross Profit	\$199,500	\$217,000	\$236,600	\$254,100
Gross Profit Margin	70.0%	70.0%	70.0%	70.0%
Operating Expenses	\$580,000	\$620,000	\$660,000	\$695,000
Operating Profit (Loss)	\$(380,500)	\$(403,000)	\$(423,400)	\$(440,900)
Cash on Hand	\$2,380,000	\$2,150,000	\$1,980,000	\$1,850,000
Cash Burn Rate (monthly)	\$143,000	\$152,000	\$158,000	\$163,000

Customer KPIs

KPI	Q1 2024	Q2 2024	Q3 2024	Q4 2024
Active Members	10,200	10,800	11,500	12,100
New Members (quarterly)	800	900	1,100	1,000
Customer Acquisition Cost (CAC)	\$175	\$160	\$140	\$135
Customer Lifetime Value (CLV)	\$480	\$510	\$540	\$560
CLV:CAC Ratio	2.7:1	3.2:1	3.9:1	4.1:1
Customer Satisfaction (NPS)	62	65	68	72
Member Retention Rate (quarterly)	91%	92%	93%	94%
BRE AUX Plus Conversion Rate	30%	32%	34%	35%
Active Pods	62	68	76	85
Average Pod Size	7.2	7.4	7.5	7.6

Operations KPIs

KPI	Q1 2024	Q2 2024	Q3 2024	Q4 2024
App Uptime	99.2%	99.5%	99.7%	99.8%
Customer Support Response Time	4.2 hrs	3.8 hrs	3.1 hrs	2.6 hrs
Feature Release Cycle Time	6 weeks	5 weeks	4 weeks	3.5 weeks
Employer Partnerships (cumulative)	20	25	30	35
Member Savings Growth (quarterly)	+ \$280,000	+ \$340,000	+ \$420,000	+ \$480,000
Financial Literacy Course Completion Rate	22%	28%	34%	41%

Industry Benchmarks

KPI	BREAUX Capital (Q4 2024)	Fintech Industry Average	Assessment
Gross Profit Margin	70.0%	65%	Above benchmark
Customer Acquisition Cost	\$135	\$200	Below benchmark (good)
Customer Lifetime Value	\$560	\$450	Above benchmark
CLV:CAC Ratio	4.1:1	3.0:1	Above benchmark
Monthly Churn Rate	~1.5%	3.0%	Below benchmark (good)
NPS Score	72	45	Well above benchmark
Employee-to-Customer Ratio	1:432	1:500	Below benchmark (room to improve)

Benchmark Comparison with Management Actions

KPI	BREAUX Q4 2024	Benchmark	vs. Benchmark	Management Action
Gross Profit Margin	70.0%	65% (fintech avg)	+5.0 pts	Maintain current pricing and cost structure
CAC	\$135	\$200 (fintech avg)	-\$65	Acquisition spending is efficient; consider scaling marketing
CLV	\$560	\$450 (fintech avg)	+\$110	Members generate more value than average; continue retention programs
CLV:CAC Ratio	4.1:1	3.0:1	+1.1x	Strong unit economics; attractive to investors
NPS	72	45 (fintech avg)	+27	Exceptional satisfaction; leverage for referrals
Monthly Churn	1.5%	3.0% (fintech avg)	-1.5 pts	Retention is strong; monitor for changes
Cash Burn Rate	\$163K/mo	N/A (internal)	vs. \$143K (Q1)	+14% — Burn is increasing; must slow or raise funding
Cash Runway	~11 months	18 months (startup best practice)	-7 months	Critical — need to extend runway through revenue growth or fundraising
Operating Profit Margin	-127%	-40% (early-stage fintech)	-87 pts	Losses are larger than typical; need path to profitability

BREAUX Capital Financial Data (2024)

Revenue Breakdown

Revenue Stream	Annual Revenue	% of Total
Interchange fees (debit card transactions)	\$680,000	52%
BREAUX Plus subscriptions (4,200 subscribers × \$9.99/mo × 12)	\$503,000	38%
Employer partnership fees (35 employers × \$8,000 avg/yr)	\$280,000	10%*
Total Revenue	\$1,296,000	100%

*Note: Employer partnerships are a newer, faster-growing revenue stream.

Income Statement Summary (Year Ending December 31, 2024)

Line Item	Amount
Total Revenue	\$1,296,000
Cost of Revenue (payment processing, partner bank fees)	\$388,800
Gross Profit	\$907,200
Operating Expenses	
Salaries & Benefits (28 employees)	\$1,680,000
Marketing & Customer Acquisition	\$420,000
Technology & Infrastructure	\$310,000
Office & Administrative	\$145,000
Total Operating Expenses	\$2,555,000
Operating Profit (Loss)	\$(1,647,800)

Cash Flow Summary

Category	Amount
Operating Cash Flow	\$(1,420,000)
Investing Cash Flow (equipment, software)	\$(185,000)
Financing Cash Flow (funding received)	\$2,300,000
Net Cash Flow	\$695,000
Cash on Hand (December 31, 2024)	\$1,850,000

Questions

1. Selecting KPIs

A KPI is a data point used to measure a business's performance, including progress toward goals and effectiveness of strategy. BREAU Capital tracks many data points including active members, app downloads, office square footage, NPS, CLV:CAC ratio, and financial literacy course completion rate. (a) Which of these are true KPIs and which are just data points? Explain your criteria. (b) A BREAU Capital manager proposes adding "number of social media followers" as a KPI. Evaluate whether this should be a KPI using the criteria — does it measure progress toward goals or strategy effectiveness?

2. Mission-Aligned KPIs

Managers select KPIs that relate to their stated mission and goals, profitability, and ability to remain competitive and viable. BREAU Capital's mission is to "close the wealth gap for Black men." Identify the three KPIs from the case that best measure progress toward this mission. Explain why each one connects to the mission. Then identify one KPI that measures profitability and one that measures long-term viability.

3. Financial Health

Businesses monitor financial health using KPIs such as revenue, gross profit, gross profit margin, operating profit, COGS, operating expenses, and cash flow, analyze BREAU Capital's financial health using the Income Statement and Cash Flow data. (a) Calculate the operating profit margin for Q4 2024. (b) With \$1,850,000 in cash and a monthly burn rate of \$163,000, how many months of runway does BREAU have? (c) What three actions could management take to extend the runway? Rank them by feasibility.

4. Customer KPIs

Businesses measure marketing and sales goals using KPIs such as CAC, CLV, customer satisfaction, customer retention, total sales, and market share, BREAU Capital's CLV:CAC ratio improved from 2.7:1 in Q1 to 4.1:1 in Q4 2024. (a) Explain what this ratio means in plain language. (b) Which improved more — CAC decreased or CLV increased? Use the data to support your answer. (c) Why is this ratio more useful than looking at CAC or CLV alone?

5. Operations KPIs

Businesses measure operations goals using KPIs such as per-unit cost, delivery cost, order accuracy, and on-time delivery percentage, BREAU Capital's operations KPIs include app uptime (99.8%), customer support response time (2.6 hours), and feature release cycle time (3.5 weeks). (a) Why is "app uptime" important for a fintech company? What would happen if uptime dropped to 95%? (b) BREAU's support response time improved from 4.2 hours (Q1) to 2.6 hours (Q4). What operational changes might explain this improvement? (c) The CED mentions "per-unit cost" and "order accuracy" as operations KPIs. How would you translate these concepts into KPIs for BREAU Capital (a software platform, not a manufacturer)?

6. Internal vs. External Benchmarks

A benchmark is a reference point; businesses may base benchmarks on internal historical data or external industry standards, BREAU Capital compares its performance to both its own historical data and fintech industry averages. (a) Give one example of an internal benchmark and one example of an external benchmark from the case. (b) BREAU's NPS is 72 vs. the fintech industry average of 45. Explain what this means and why it matters. (c) What are the limitations of comparing BREAU's KPIs to general fintech industry averages? What would be a better external benchmark?

7. Benchmark-Driven Decisions

Businesses compare KPI data to selected benchmarks to assess performance against a known standard, review the "Comparing KPIs to Benchmarks" table. (a) Identify the KPI where BREAU Capital most significantly outperforms the benchmark and the KPI where it most significantly underperforms. (b) Based on these two KPIs, what specific decisions should BREAU's management team make? (c) If you could only track THREE KPIs going forward, which three would you choose and why? Justify using the benchmarking data.

8. Interpreting Financial KPIs Together

, BREAU Capital's gross profit margin is 70% (healthy) but its operating profit margin is –127% (deeply negative). (a) Explain how a company can have a high

gross profit margin but a deeply negative operating profit margin. What does this tell you about the company's spending? (b) A journalist writes: "BREAUX Capital loses money on every customer it serves." Is this statement accurate? Use the financial KPIs to evaluate this claim. (c) At what revenue level would BREAUX need to operate to break even (operating profit = \$0)? Show your calculation.

9. KPIs Across Industries

KPIs vary based on the characteristics of the business and the industry, compare BREAUX Capital's KPIs to those of a traditional bank (e.g., Bank of America). Identify three KPIs that both businesses would track and three that are unique to each. Explain why the KPIs differ based on the business model.

10. The CAC Trend

, BREAUX Capital's CAC decreased from \$175 (Q1) to \$135 (Q4 2024), while new members per quarter increased from 800 to 1,000. (a) Explain why CAC might decrease as the company grows. (b) If BREAUX increased its marketing budget by 50% next quarter, would you expect CAC to stay at \$135, decrease, or increase? Explain your reasoning using the concept of diminishing returns. (c) What is the maximum CAC BREAUX can afford if it wants to maintain a CLV:CAC ratio of at least 3.0:1?

11. Benchmarking Cash Runway

, BREAUX Capital has approximately 11 months of cash runway, while the startup best practice benchmark is 18 months. (a) Explain what "cash runway" means and why 18 months is the recommended benchmark. (b) What specific steps should BREAUX's management take to close the 7-month gap? Consider both increasing revenue and reducing costs. (c) If BREAUX raises a \$5 million Series A, how would this change the runway calculation? Show your work.

Keep this handout for reference throughout Unit 4.

4.3 ExpressionMed — Strategy and Decision Making

Topic: 4.3 Strategy and Decision Making

Company: ExpressionMed

Background

ExpressionMed is a small business founded in **2018** by **Meghan Sharkus** in **Chicago, Illinois**, when she was just 17 years old. The company designs and manufactures **decorative adhesive patches and accessories** for people who wear **continuous glucose monitors (CGMs)** — medical devices used by people with diabetes to track their blood sugar levels 24/7.

CGMs like the Dexcom G6/G7 and Abbott FreeStyle Libre are small sensors worn on the abdomen or arm that continuously measure glucose levels. While these devices are medically essential, many users — especially children and teenagers — feel self-conscious about wearing them. The devices look clinical and can draw unwanted questions or stares. Meghan, who was diagnosed with Type 1 diabetes at age 4, experienced this firsthand and created ExpressionMed to solve the problem.

ExpressionMed's products are **thin, colorful, waterproof adhesive overlays** that stick over the CGM sensor, allowing users to express their personality while wearing their medical device. The patches come in hundreds of designs — from sports teams and florals to abstract art and holiday themes. They also serve a practical function: the adhesive helps the CGM stay attached to the skin longer, reducing the frequency of sensor reattachments.

As of **2024**, ExpressionMed:

- Serves **150,000+ customers** in the U.S. and 30+ countries
 - Offers **500+ designs** across CGM patches, insulin pump skins, and medical device accessories
 - Employs **12 full-time employees** and 8 part-time production staff
 - Operates from a **4,500 sq ft production facility** in Chicago
 - Revenue: **\$3.2 million** (2024)
 - Products are sold through the company's website (expressiomed.com) and Amazon
-

Key Events

Year	Event
2012	Meghan Sharkus (age 12) is diagnosed with Type 1 diabetes; begins wearing a CGM; feels self-conscious about the visible medical device
2017	Meghan (age 17) begins designing adhesive patches in her parents' basement; sells first patches on Etsy
2018	Founds ExpressionMed as a formal business; launches Shopify website; sells 500 patches in the first 3 months
2019	Revenue reaches \$120,000; Meghan appears on local news and diabetes community podcasts; customer base grows to 5,000
2020	COVID-19 drives online shopping surge; revenue triples to \$360,000; hires first 2 full-time employees; moves production from basement to a small rented workshop
2021	Introduces patches for the Dexcom G7 and FreeStyle Libre 3; launches custom design service (customers upload their own designs); revenue reaches \$800,000
2022	Expands product line to insulin pump skins (for Omnipod, Tandem, Medtronic); revenue reaches \$1.5 million; grows to 8 employees; begins selling on Amazon
2023	Revenue reaches \$2.4 million; launches international shipping; introduces "ExpressionMed Kids" line with child-friendly designs; partners with 3 diabetes nonprofit organizations for co-branded patches
2024	Revenue reaches \$3.2 million; 20 employees (12 full-time, 8 part-time); faces a critical strategic decision about the company's next phase of growth

ExpressionMed Financial Data (2024)

Income Statement Summary

Line Item	Amount
Total Revenue	\$3,200,000
COGS (materials, production labor, packaging)	\$1,120,000
Gross Profit	\$2,080,000
Gross Profit Margin	65.0%
Operating Expenses	
Salaries & Benefits	\$720,000
Marketing & Advertising	\$380,000
Rent & Utilities (production facility)	\$96,000
Shipping & Fulfillment	\$240,000
Software & Technology	\$85,000
Other Operating Expenses	\$65,000
Total Operating Expenses	\$1,586,000
Operating Profit	\$494,000
Operating Profit Margin	15.4%

Revenue by Product Line (2024)

Product Line	Revenue	% of Total
CGM Patches (Dexcom G6/G7)	\$1,760,000	55%
CGM Patches (FreeStyle Libre)	\$800,000	25%
Insulin Pump Skins	\$480,000	15%
Custom Designs & Accessories	\$160,000	5%
Total	\$3,200,000	100%

Revenue by Channel (2024)

Channel	Revenue	% of Total
Company Website (Shopify)	\$2,080,000	65%
Amazon	\$800,000	25%
Wholesale (pharmacies, diabetes clinics)	\$320,000	10%
Total	\$3,200,000	100%

The Strategic Decision: December 2024

ExpressionMed is at a crossroads. The company has grown steadily for 6 years, but Meghan and her leadership team must decide how to invest the company's **\$600,000 in available capital** to drive the next phase of growth. After extensive research, the team has identified **three strategic options**:

Option A: Expand into Retail Distribution

Partner with major pharmacy chains (CVS, Walgreens) and durable medical equipment (DME) suppliers to sell ExpressionMed patches in physical stores.

Factor	Details
Investment Required	\$450,000 (retail packaging redesign, sales team hire, trade shows, slotting fees)
Projected Additional Revenue (Year 1)	\$800,000
Projected Additional Revenue (Year 2)	\$1,500,000
ROI (Year 1)	$(\$800,000 - \$450,000) \div \$450,000 = \mathbf{78\%}$
Timeline	9–12 months to first retail shelf
Risk Level	Medium — retail partnerships are competitive; slotting fees are non-refundable if products don't sell

Option B: Launch a Subscription Model ("Patch of the Month")

Offer customers a monthly subscription box with 3–4 exclusive designs delivered to their door for \$19.99/month.

Factor	Details
Investment Required	\$200,000 (subscription platform development, exclusive design creation, packaging, marketing)
Projected Additional Revenue (Year 1)	\$480,000 (2,000 subscribers × \$19.99 × 12 months)
Projected Additional Revenue (Year 2)	\$1,200,000 (5,000 subscribers)
ROI (Year 1)	$(\$480,000 - \$200,000) \div \$200,000 = \mathbf{140\%}$
Timeline	3–4 months to launch
Risk Level	Low-Medium — subscription model proven in adjacent markets; risk is subscriber churn

Option C: Develop Smart CGM Integration Technology

Invest in R&D to develop a patch with embedded NFC chip that connects to the ExpressionMed app, allowing users to track their CGM sensor placement, share glucose data visualizations with their care team, and receive reminders to change sensors.

Factor	Details
Investment Required	\$580,000 (R&D, app development, NFC chip sourcing, regulatory review)
Projected Additional Revenue (Year 1)	\$150,000 (limited launch with 1,000 beta users at \$149.99/product)
Projected Additional Revenue (Year 2)	\$900,000 (full launch)
ROI (Year 1)	$(\$150,000 - \$580,000) \div \$580,000 = \mathbf{-74\%}$ (negative in Year 1)
Timeline	12–18 months to market
Risk Level	High — technology development is uncertain; regulatory requirements may delay launch; competitive threat from CGM manufacturers adding their own features

PACED Decision Matrix (Preliminary Data)

Criteria	Weight	Option A: Retail	Option B: Subscription	Option C: Smart Tech
ROI (Year 1)	25%	78%	140%	–74%
Revenue potential (Year 2)	20%	\$1,500,000	\$1,200,000	\$900,000
Investment required	15%	\$450,000	\$200,000	\$580,000
Timeline to market	15%	9–12 months	3–4 months	12–18 months
Risk level	10%	Medium	Low-Medium	High
Mission alignment (helping people with diabetes)	10%	Medium	Medium	High
Competitive advantage	5%	Low	Medium	High

Questions**1. Defining Strategy**

A strategy is a plan or approach to achieving a goal; businesses pursue differing strategies based on unique capabilities, competitive landscape, and industry, (a) identify ExpressionMed's overarching strategy. (b) How does ExpressionMed's strategy differ from Dexcom's strategy? (c) Why can two companies in the same industry have completely different strategies?

2. Data-Driven Strategy

Businesses identify, gather, and track specific data to define a strategy, evaluate effectiveness, and modify the strategy, ExpressionMed expanded into insulin pump skins after customer survey data showed 40% of CGM users also wear pumps. (a) Identify the data categories (financial, customer, competitor, market) that ExpressionMed used to make this decision. (b) What other data would you want before investing in the pump skin expansion? (c) How would ExpressionMed know if the pump skin strategy was successful after 12 months? What KPIs would you track?

3. Resource Mobilization

Defining a clear strategy facilitates the mobilization and alignment of resources, explain how ExpressionMed's financial, human, and physical resources would be mobilized differently under Option A (Retail) vs. Option C (Smart Tech). Which option requires the most significant reallocation of resources? Why?

4. Strategy vs. Tactics

Businesses use strategy to guide decision making and the development of tactics, ExpressionMed's strategy is "grow revenue by expanding into new sales channels." Identify three specific tactics that would advance this strategy under Option A (Retail) and three tactics under Option B (Subscription). Explain how each tactic directly supports the strategy.

5. PACED Model Application

A deliberative process includes defining the problem, developing alternatives, establishing criteria, and evaluating alternatives — the PACED model, walk through each step of the PACED model for ExpressionMed's decision. (a) State the problem clearly in one sentence. (b) Are the three options comprehensive, or is there a fourth alternative the team overlooked? (c) Which step of PACED do you think is most difficult for a founder like Meghan Sharkus, and why?

6. Quantifiable vs. Intangible Criteria

Decision-making criteria include both quantifiable costs/benefits and intangible costs/benefits, review the criteria in ExpressionMed's decision matrix. (a) Which criteria are quantifiable and which are intangible? (b) If ExpressionMed used ONLY quantifiable criteria, which option would win? (c) Why is it important to include intangible criteria even though they are harder to measure? Give a specific example from the case.

7. ROI Analysis

Decision-making criteria include financial considerations such as ROI, which measures additional profit generated by an investment divided by the cost, (a) calculate the Year 1 ROI for each option. (b) Calculate the Year 2 ROI for each option (using cumulative revenue and the same investment cost). (c) Which option has the best Year 1 ROI? The best Year 2 ROI? Why might they be different? What does this tell you about the tradeoff between short-term and long-term returns?

8. Weighted Scoring Matrix

Managers use strategic frameworks to systematically evaluate relevant variables against long-term goals, review the weighted scoring matrix. (a) If Meghan changed the weight of "mission alignment" from 10% to 25% (reducing "ROI" weight from 25% to 10%), which option would win? Show the new calculation. (b) What does

this tell you about how the choice of weights affects the decision? (c) Who should decide the weights — the founder, the employees, the investors, or the customers? Justify your answer.

9. Conflicting Criteria

Managers sometimes must prioritize conflicting criteria with limited or imperfect data, resulting in imperfect decision making, the case identifies a conflict between short-term ROI and long-term vision. (a) Identify two other conflicts in ExpressionMed's decision. (b) If you were Meghan Sharkus, which option would you choose? Justify your decision using at least three criteria from the matrix. (c) What information would reduce the uncertainty in this decision?

10. Competitive Advantage Through Strategy

Businesses pursue strategies to achieve competitive advantage, ExpressionMed competes against other CGM patch companies (Pump Peelz, GrifGrips, Skin Grip). (a) What is ExpressionMed's current competitive advantage? (b) Which of the three options (A, B, C) would most strengthen this advantage? (c) Which option might weaken it? Explain.

11. Market and Organizational Considerations

Criteria may include market considerations, operational considerations, and organizational considerations, Option A requires selling through CVS and Walgreens. (a) What market considerations make retail attractive? (b) What operational challenges would ExpressionMed face in supplying retail stores that it doesn't face selling direct-to-consumer online? (c) How might hiring retail sales staff affect ExpressionMed's organizational culture?

12. Imperfect Decision Making

, suppose Meghan chooses Option C (Smart Tech) despite it scoring lowest on the weighted matrix. (a) What legitimate reasons might justify this choice? (b) What risks does she face if the technology development takes longer or costs more than projected? (c) How could she mitigate these risks while still pursuing Option C?

Keep this handout for reference throughout Unit 4.

4.4 Crepes & Waffles and Square Meal Feeds — Strategic Frameworks: Porter's Five Forces and SWOT Analysis

Topic: 4.4 Strategic Frameworks: Porter's Five Forces and SWOT Analysis

Companies: Crepes & Waffles, Square Meal Feeds

Background: Crepes & Waffles

Crepes & Waffles is one of Colombia's most recognized restaurant chains, founded in **1980** by **Beatriz Mejía Arango** and **Eduardo Macías Tofiño** in **Medellín, Colombia**. What began as a small creperie in a shopping center has grown into a major food service company with over **80 restaurants** across Colombia, **Panama, Mexico, Ecuador, Peru, Chile, and Spain**, employing more than **3,500 people**.

The company specializes in **sweet and savory crepes, waffles, salads, and beverages**, positioning itself in the **casual dining** segment with a focus on quality ingredients, attractive presentation, and a welcoming atmosphere. The restaurants are primarily located in **shopping centers and malls**, targeting middle-class families, young professionals, and shoppers.

Crepes & Waffles is notable for its **social impact hiring model**: the company has a long-standing practice of employing **single mothers** as its primary workforce, providing them with stable income, benefits, training, and career advancement opportunities. Approximately **70% of its workforce** are single mothers. This hiring model is central to the company's identity and brand.

Crepes & Waffles Financial Data (2024, Estimated)

Metric	Value
Total Revenue (all markets)	~\$180 million (USD equivalent)
Number of Restaurants	80+
Countries	7 (Colombia, Panama, Mexico, Ecuador, Peru, Chile, Spain)
Employees	3,500+
Average Ticket Size	\$12.50 (Colombia), \$18.00 (international)
Gross Profit Margin	~58%
Operating Profit Margin	~12%
Revenue from Colombia	75% of total
Revenue from International	25% of total
Customer Satisfaction Rating	4.5/5.0 (Google Reviews average)
Average Restaurant Revenue	~\$2.25 million/year

Background: Square Meal Feeds

Square Meal Feeds is a **livestock and pet feed manufacturer** founded in **2016** by **Jake Thompson** and **Sarah Nguyen** in **Stillwater, Oklahoma**. The company produces and sells **premium animal feed** — including feed for cattle, horses, poultry, goats, and dogs — through a direct-to-consumer model and regional farm supply stores.

Square Meal Feeds differentiates itself from large commodity feed companies (like Cargill, Purina, and Land O'Lakes) by offering **customized, nutritionist-formulated feed blends** tailored to the specific needs of individual farms and animals. Instead of selling generic "cattle feed," Square Meal works with each customer to analyze their animals' nutritional requirements and formulate a custom blend.

The company operates from a **15,000 sq ft production facility** in Stillwater and sources grain from local Oklahoma farmers. As of 2024, Square Meal Feeds serves **1,200 customers** across Oklahoma, Kansas, Texas, and Arkansas — primarily small and medium-sized farms (50–500 head of cattle) and horse owners.

Square Meal Feeds Financial Data (2024)

Metric	Value
Total Revenue	\$4.8 million
COGS (grain, supplements, packaging)	\$3,120,000
Gross Profit	\$1,680,000
Gross Profit Margin	35.0%
Operating Expenses	\$1,320,000
Operating Profit	\$360,000
Operating Profit Margin	7.5%
Number of Customers	1,200
Average Revenue per Customer	\$4,000/year
Employees	18
Production Capacity	50 tons/month
Current Utilization	65% (32.5 tons/month)

Revenue by Product Line

Product Line	Revenue	% of Total
Cattle Feed (custom blends)	\$2,400,000	50%
Horse Feed	\$960,000	20%
Poultry Feed	\$576,000	12%
Goat & Sheep Feed	\$384,000	8%
Dog Food (premium)	\$480,000	10%
Total	\$4,800,000	100%

Key Events

Crepes & Waffles Timeline

Year	Event
1980	Beatriz Mejía and Eduardo Macías open the first Crepes & Waffles restaurant in a Medellín shopping center
1985	Expand to Bogotá; begin developing the social impact hiring model focused on single mothers
1995	Reach 15 restaurants in Colombia; establish standardized recipes and training programs
2001	Open first international location in Panama; begin exporting the brand
2008	Expand to Ecuador and Mexico; reach 50 restaurants
2015	Enter Peru and Chile; revenue surpasses \$100 million; employ 2,500+ people
2020	COVID-19 forces temporary closure of 80% of locations; launch delivery service within 3 weeks; revenue drops 35%
2022	Recovery; open first location in Spain (Madrid); reach 80 restaurants; introduce digital ordering kiosks
2024	Revenue reaches ~\$180 million; 80+ restaurants in 7 countries; exploring expansion into Brazil and the U.S. Hispanic market

Square Meal Feeds Timeline

Year	Event
2016	Jake Thompson and Sarah Nguyen found Square Meal Feeds in Stillwater, Oklahoma; produce custom cattle feed for 50 local farms
2017	Expand to horse feed and poultry feed; reach 150 customers; hire first nutritionist
2019	Revenue reaches \$1.5 million; expand sales to Kansas and Texas; begin selling through 5 regional farm supply stores
2020	Revenue reaches \$2.2 million; expand production facility from 5,000 to 15,000 sq ft; hire 5 additional employees
2022	Revenue reaches \$3.5 million; launch premium dog food line; reach 900 customers across 4 states
2024	Revenue reaches \$4.8 million; 1,200 customers; 18 employees; facing increasing competition from large feed companies launching their own "custom" blends

Questions

1. Understanding the Five Forces

Porter's Five Forces evaluates competitive intensity, attractiveness, and potential profitability; the five forces are competitive rivalry, threat of new entrants, threat of substitutes, customer power, and supplier power, explain why an entrepreneur considering opening a new restaurant should analyze Porter's Five Forces before investing. Which of the five forces is most important for a restaurant owner to evaluate, and why?

2. Defining Each Force

, define each of the five forces in your own words and provide one specific example from either Crepes & Waffles or Square Meal Feeds: (a) **Competitive rivalry** — what determines the intensity of rivalry? (b) **Threat of new entrants** — what determines how easy it is for new businesses to enter? (c) **Threat of substitute products** — what makes a product a "substitute" vs. a direct competitor? (d) **Customer power** — what factors give buyers power to drive prices lower? (e) **Supplier power** — what gives resource providers the ability to raise input costs? Which force do you think is most dangerous for Square Meal Feeds? Explain.

3. Competitive Rivalry

Businesses evaluate rivalry by identifying the number of direct competitors and the degree of product differentiation; rivalry is strong if there are many competitors with equivalent products and businesses have little pricing power, compare competitive rivalry for Crepes & Waffles vs. Square Meal Feeds. (a) Why does Crepes & Waffles face stronger rivalry despite having 80+ locations? (b) How does Square Meal Feeds' custom formulation process reduce the intensity of rivalry? (c) What could Square Meal Feeds do to further differentiate itself if large competitors like Cargill begin offering custom blends?

4. Barriers to Entry

Businesses evaluate threat of new entrants by assessing barriers to entry; the threat is strong if barriers are low and new businesses can easily capture market share, (a) identify three barriers to entry for Crepes & Waffles' industry (casual dining). (b) Identify three barriers to entry for Square Meal Feeds' industry (animal feed). (c) Which business is more vulnerable to new entrants? What specific actions could that business take to increase barriers?

5. Substitute Products

The threat is strong if customers have access to alternative products that are less expensive, easier to access, or higher quality, (a) list five substitutes for Crepes & Waffles and rate each as low, medium, or high threat. (b) List three substitutes for Square Meal Feeds' custom cattle feed and explain which is the most dangerous. (c) How does Crepes & Waffles' location in shopping centers both increase and decrease the threat of substitutes?

6. Customer and Supplier Power

customer power is strong if there are few customers, high acquisition costs, and low switching costs; supplier power is strong if there are few resource providers and high switching costs, Square Meal Feeds has only 1,200 customers and depends on volatile grain markets. (a) Calculate what would happen to Square Meal's operating profit if grain prices increased 15% (assume COGS increases proportionally and revenue stays constant). (b) What strategies could Square Meal use to reduce both customer power and supplier power simultaneously?

7. SWOT Classification

strengths are internal advantages; weaknesses are internal disadvantages; opportunities are external favorable factors; threats are external unfavorable factors, classify each of the following as S, W, O, or T for Square Meal Feeds: (a) "Grain prices increased 20% this year." (b) "Square Meal employs the only animal

nutritionist in the Stillwater area." (c) "The USDA announced new grants for small agricultural businesses." (d) "Square Meal has no website or e-commerce capability." (e) "A severe drought is forecast for Oklahoma next year."

8. Internal Capabilities

SWOT evaluates internal capabilities such as financial, physical, and human resources, as well as intangible assets like brand recognition, reputation, and intellectual property, compare the internal capabilities of Crepes & Waffles and Square Meal Feeds. (a) Which business has stronger financial resources? How does this affect its strategic options? (b) Identify one intangible asset for each business and explain whether it is a strength or weakness. (c) Square Meal Feeds' production facility is only 65% utilized. Is this a strength or a weakness? Explain.

9. External Factors and PESTEL

SWOT evaluates external factors including potential market size, customer preferences, PESTEL factors, and Porter's Five Forces, identify one PESTEL factor (Political, Economic, Social, Technological, Environmental, or Legal) for each SWOT quadrant for Crepes & Waffles. For each factor, explain whether it creates an opportunity or a threat and how the business should respond.

10. Strategic Decisions from SWOT

Businesses use SWOT results to build on strengths, address weaknesses, capitalize on opportunities, and respond to threats, Square Meal Feeds' SWOT reveals a strength (custom formulation expertise) and an opportunity (organic feed market growing 8%/year). (a) Propose a specific strategy that combines this strength and opportunity. (b) Now consider Square Meal's weakness (no e-commerce) and the threat (large companies entering custom feed). Propose a strategy that addresses both simultaneously. (c) Which of your two proposed strategies should Square Meal prioritize? Justify using the financial data.

11. Five Forces Comparison

the five forces shape competition; an environment is more attractive when forces are weak, compare the overall attractiveness of the casual dining industry (Crepes & Waffles) vs. the specialty animal feed industry (Square Meal Feeds). (a) In which industry is it easier to earn a profit? Use the five forces data and the financial margins to support your answer. (b) If you were an entrepreneur choosing between these two industries, which would you enter? Explain using at least three forces. (c) Does a less attractive industry mean a business cannot succeed? Use Crepes & Waffles as an example.

12. SWOT Limitations

, a student argues: "SWOT analysis is just making lists — it doesn't actually help businesses make decisions." (a) Evaluate this argument. Is SWOT just a description tool, or is it a decision-making tool? (b) Using Square Meal Feeds' SWOT, demonstrate how the analysis leads to at least two specific, actionable decisions. (c) What are the limitations of SWOT? What information does it NOT capture?

13. Applying Both Frameworks Together

, Square Meal Feeds is considering expanding into the premium dog food market (currently 10% of revenue). (a) Apply Porter's Five Forces to the premium dog food market — how does each force compare to the cattle feed market? (b) Apply SWOT to evaluate Square Meal's ability to compete in premium dog food. (c) Based on your Five Forces and SWOT analysis, should Square Meal invest more heavily in dog food? Propose a specific strategy.

Keep this handout for reference throughout Unit 4.